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COLLEGE OF DISTANCE EDUCATION

ENTREPRENEURSHIP

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ABOUT THIS BOOK

This Course Book **"Entrepreneurship"** has been exclusively written by experts in the discipline to up-date your general knowledge of English Language in order to equip you with the basic tool you will require for your professional work as a teacher and an administrator.

This three-credit course book of thirty-six (36) sessions has been structured to reflect the weekly three-hour lecture for this course in the University. Thus, each session is equivalent to a one-hour lecture on campus. As a distance learner, however, you are expected to spend a minimum of three hours and a maximum of five hours on each session.

To help you do this effectively, a Study Guide has been particularly designed to show you how this book can be used. In this study guide, your weekly schedules are clearly spelt out as well as dates for quizzes, assignments and examinations.

Also included in this book is a list of all symbols and their meanings. They are meant to draw your attention to vital issues of concern and activities you are expected to perform.

Blank sheets have been also inserted for your comments on topics that you may find difficult. Remember to bring these to the attention of your course tutor during your face-to-face meetings.

We wish you a happy and successful study.

Prof. Mrs, Rosemond Boohene
Prof. Boakye Mensah

ACKNOWLEDGEMENT

It has become a tradition in academic circles to acknowledge the assistance one received from colleagues in the writing of an academic document. Those who contributed in diverse ways toward the production of this particular course book merit more than mere acknowledgement for two main reasons. First, they worked beyond their normal limits in writing, editing and providing constant support and encouragement without which the likelihood of giving up the task was very high. Second, the time span for the writing and editing of this particular course book was so short that their exceptional commitment and dedication were the major factors that contributed to its accomplishment.

It is in the foregoing context that the names of **Prof. Mrs, Rosemond Boohene and Prof. Boakye Mensah** of University of Cape Coast, who wrote and edited the content of this course book for CoDEUCC, will ever remain in the annals of the College. This special remembrance also applies to those who assisted me in the final editing of the document.

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Any limitations in this course book, however, are exclusively mine. But the good comments must be shared among those named above.

Prof. Isaac Galyuon
(Provost)

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SYMBOLS AND THEIR MEANINGS

INTRODUCTION

OVERVIEW

UNIT OBJECTIVES

SESSION OBJECTIVES

DO AN ACTIVITY

NOTE AN IMPORTANT POINT

TIME TO THINK AND ANSWER QUESTION(S)

REFER TO

READ OR LOOK AT

SUMMARY

SELF- ASSESSMENT TEST

ASSIGNMENT

INTRODUCTION

OVERVIEW

SUMMARY

INTRODUCTION

OVERVIEW

SUMMARY

UNIT 1: NATURE OF ENTREPRENEURSHIP AND SMALL BUSINESS MANAGEMENT

OUTLINE

Session 1: The Nature and Development of Entrepreneurship
Session 2: The Entrepreneurial Personality
Session 3: The Entrepreneurial Process
Session 4: Entrepreneurship and the Environment
Session 5: Advantages and Disadvantages of Entrepreneurship
Session 6: The Role of Small Businesses in Economic Development

Hello and welcome to yet another exciting year. Have you heard the slogans "Golden Age of Business" and "The Private Sector as the Engine of Growth"? These slogans are related to what you are about to discover shortly. In this module we are going to discuss an interesting topic. Can you try your best guess? Well the module is on entrepreneurship and small business management. I hope by the end of these discussions you would have changed your mind either to establish your own business or expand an existing one to bring the slogans mentioned above into reality.

Objectives

By the end of this unit, you should be able to:

a) describe the historical development of entrepreneurship;
b) explain entrepreneurial personality
c) explain entrepreneurial process;
d) evaluate entrepreneurship and the environment;
e) assess the advantages and disadvantages of entrepreneurship;
f) examine the role of small businesses to economic development.

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: THE NATURE AND DEVELOPMENT OF ENTREPRENEURSHIP

Welcome to this introductory session. Before we try to understand any field of endeavor, there is the need to trace its historical development. Hence you will agree with me that we have to examine the evolution of the concept entrepreneurship and entrepreneur so that we can understand how the whole field evolved.

Objectives

By the end of this session, you should be able to:

a) Explain the evolution and nature entrepreneurship;
b) examine the various definitions of entrepreneurship;
c) lists the types of entrepreneurs;
d) briefly explain the reasons why people choose entrepreneurship as a career.

Let's set the ball rolling.

1.1The Evolution of Entrepreneur and Entrepreneurship

The word entrepreneur is derived from the French word 'entreprende', which means, "to undertake." Before the Middle Ages the word was used to describe someone who signs a contract with a money person to sell his goods. In the middle ages, the entrepreneur was used to describe both an actor and a person who managed large production projects on behalf of the government using the resource provided without taking any risks. The connection between risk and entrepreneurship was established in the 17th century with the entrepreneur entering into a contract with the government to manage large projects. In this instance the contract price is fixed and therefore the any resulting profits or loss is the entrepreneur's.

In the 18th century the entrepreneur was distinguished from the capital provider and hence the entrepreneur was the person who received capital to undertake business activities. Furthermore, the entrepreneur was frequently not distinguished from a manager in the 19th and 20th centuries and was seen as someone who organizes and operates an enterprise for personal gain. In addition, he pays current prices for the materials consumed in the business for the use of the various factors of production (Hisrich and Peters 1998). Thus the entrepreneur as an innovator was established during this period.

Having briefly discussed the evolution of the terms entrepreneur and entrepreneurship let us look at the various definitions for the terms in the next session.

1.2 Definition of Entrepreneur and Entrepreneurship

Quite naturally, when approaching a new subject matter, students often ask for definitions. However, the definitions of entrepreneur are many and varied. No one seems to capture its full essence. The economist sees an entrepreneur as someone who brings resources, labor, materials and other assets into combinations that make their value greater than before. On the other hand, psychologists view the entrepreneur as a person driven by certain forces which include the need for achievement and to escape authority of others. Finally, the entrepreneur is seen as an aggressor, competitor, and source of supply and customer satisfaction to the businessman.

List the names of any entrepreneurs you know.

Since we now know who an entrepreneur is, the question left for us to answer is what entrepreneurship? Entrepreneurship is the practice of starting new organizations or revitalizing mature organizations, particularly new business generally in response to identified opportunities. Hisrich and Peters (1998, p. 9) define entrepreneurship as the 'process of creating something new with value by devoting the necessary time and effort, assuming the accompanying financial, psychic and social risks and receiving the resulting rewards of monetary and personal satisfaction and independence'. Barringer and Ireland (2008, p. 6) on the other hand view entrepreneurship as 'the process by which individuals pursue opportunities without regard to the resources they currently control'. Other definitions include 'entrepreneurship as the dynamic process of creating wealth', 'the organizing and reorganizing of social mechanisms to turn resources and situations into practical account' and 'the acceptance of risk and failure'. From these definitions one would observe that these writers emphasized on key words such as newness, organizing, creating wealth and risk-taking which are all associated with entrepreneurship.

Entrepreneurship is often a difficult undertaking, as a vast majority of new businesses fail. Entrepreneurial activities are substantially different depending on the type of organization that is being started. It ranges in scale from solo projects (even involving the entrepreneur only part-time) to major undertakings creating many job opportunities.

1.3 Types of Entrepreneurs

The classification of entrepreneurs is useful as a prelude to researching their activities, considering their efforts and developing policies to support them. This sub session considers several ways in which entrepreneurs may be classified.

Entrepreneurs can be classified as either opportunist or craft. Opportunists' entrepreneurs tend to think not in terms of a grand vision, but in terms of what can be exploited in their environment. They are resourceful and are quick thinkers when it comes to manipulating resources and opportunities, and are characterized by a level of restlessness that makes them want to move from one business to another. Typically, they would work on a new business idea and try to make it take off, but once it does take off they tend to lose interest and move on. Craft entrepreneurs on the other hand, participate directly in the work of the enterprise, including participating manually, in all phases of the production. They are also responsible directly and personally for the management of the enterprise and have their vocational qualifications required for the exercise of their profession, the training of apprentices and the direction of skilled workers.

Furthermore, entrepreneurs can also be classified as nascent, serial, novice and portfolio. Nascent entrepreneurs are people who are (alone or with others) actively engaged in creating a new venture, and who expect to be the owner or part owner of this start-up.

A serial entrepreneur is an entrepreneur who starts a new business after having already started and exited a previous business venture. In contrast with an entrepreneur who starts a single company and operates it as a career, a serial entrepreneur may treat entrepreneurship as a profession. A serial entrepreneur's expertise may be in creating new ventures, but not necessarily in operating those ventures in the long-term. As with entrepreneurship in general, ventures created by serial entrepreneurs can experience high rates of failure.

Novice entrepreneurs are individuals with no prior minority or majority business ownership experience either as a business founder, an inheritor or a purchaser of an independent business but who currently own a minority or majority equity stake in an independent business that is either new, purchased or inherited.

Finally, portfolio entrepreneurs, a sub-type of habitual entrepreneurs are individuals who own more than one business simultaneously. They are individuals who currently have minority or majority ownership stakes in two or more independent businesses that are either new, purchased and /or inherited.

Look for an entrepreneur in your community and write a three page profile of him/ her.

1.4 Reasons Why People become Entrepreneurs

The three primary reasons why people become entrepreneurs and start their own firms are to be their own boss, pursue their own ideas and realize financial rewards. The first of these reasons – being one's own boss-is given most commonly as many entrepreneurs want to be their own boss because either they have had a long-time ambition to own their own firm or because they have become frustrated working in traditional jobs. This does not mean, however, that entrepreneurs are difficult to work with or that they have trouble accepting authority.

The second reason why people start their own firms is to pursue their own ideas. Some people are naturally alert, and when they recognize ideas for new products or services, they have a desire to see those ideas realized.

Finally, people start their own firms to pursue financial rewards. Entrepreneurship is an opportunity that can provide new and interesting challenges. The new challenges can become very rewarding as you work through them, not only financially, but on a personal level as well. This motivation, however, is typically secondary to the first two.

Can you think of any other reasons why people become entrepreneurs? List them for your FTF discussions.

To sum up we looked at the evolution of the words 'entrepreneur' and entrepreneurship'. In addition, we examined the various definitions of the two terms followed by an explanation of the types of entrepreneurs. We ended our discussions in this session by identifying some of the reasons why people enter into entrepreneurship.

Assess yourself by answering the questions below.

Self Assessment Questions
Exercise 1.1

1. Define entrepreneurship in your own words.
2. Who is an entrepreneur?
3. Lists the types of entrepreneurs discussed in this session
4. Outline any other three motives that drive people into entrepreneurship.

Were you able to answer all the questions?

Well done and keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- issues that are not clear; and
- difficult topics, if any.

SESSION 2: ENTREPRENEURIAL PERSONALITY

From what we have discussed so far in the previous session, one is inclined to believe that people who are described as entrepreneurs are expected to exhibit some type of behaviors. Thus, the study of personality provides many insights into why entrepreneurs behave the way they do.

Objectives

By the end of this session you should be able to:

a) define personality
b) explain the entrepreneurs role
c) mention and explain the characteristics of successful entrepreneurs

Read on……..

2.1 Definition of Personality

Before we define personality, let us try to answer this question. Is entrepreneurial inclination / motivation / success a result of some specific personality factor? Well we will give the answer to this question at the end of the session.

Personality is defined as the characteristics of an individual that cause consistent patterns in that individual's behaviour overtime. Personality represents the predisposition to have particular beliefs, attitudes, and behaviours. Personality is discussed in terms of traits. A trait is a characteristic, usually expressed as a dimension on which a person can be measured. For example, height is a trait because everyone has height in feet, inches or centimeters. Personality trait therefore, refers to relatively enduring characteristics inside the individual that are likely to predispose that individual to particular beliefs, attitudes and behavior.

Do entrepreneurs have (or are of) a specific personality (type)? Let us answer this question by looking at the role of entrepreneurs in the business environment.

2.2 The entrepreneur's Role in Business

Specifying entrepreneurs on the basis of their role is based on an understanding of their economic functions. Key entrepreneurial roles are as follows:

1. The entrepreneur combines economic factors such as capital, material and labour and resources to create or add value to a product or service for consumers.
2. Entrepreneurs enhance economic efficiency by providing competitive pressures on established players in a market.
3. The entrepreneur accepts uncertainty by taking risk and managing risk situations.

4. Entrepreneurs maximize investors' returns and thereby emphasizing the importance of firm's stakeholders.
5. Entrepreneur processing market information by analyzing and synthesizing them in order to exploit the opportunity identified on the market.

If entrepreneurs are expected to perform these roles in business then what is it about entrepreneurs that allow them to seize opportunities that others pass by? There must be something quite unique about the entrepreneurial individual that gives him or her propensities to gain economically in the midst of the change, chaos and confusion. Thus, what are the characteristics of successful entrepreneurs?

2.3 Characteristics of Successful Entrepreneurs

An entrepreneur is a person who has decided to take control of his future and become self-employed, whether by creating his own unique business or working as a member of a team. There are several character traits and work ethics that are common to successful entrepreneurs.

The first characteristic shared by successful entrepreneurs is a passion for their business, whether it is in the context of a new firm or an existing business. This passion typically stems from the entrepreneur's belief that the business will positively influence people's lives.

Secondly, successful entrepreneurs have a "head for business." They are always thinking of new ideas and new ways to make money or increase their business. They are not afraid to put these ideas to use. Furthermore, entrepreneurs compete within themselves and believe that success or failure lies within their personal control or influence. They do not see non-successes as failures but as learning experiences.

Thirdly successful entrepreneurs are usually honorable people who tend to form strong associations with others who share this work ethic. In addition, they do set aside time for leisure activities and family. Their principal form of relaxation is their work, but they do realize the importance of downtime and spend time with their family.

Finally, entrepreneurs are professionals. Whether working from their bedroom, the kitchen table or a modern, well-appointed home office, they operate just as they would if they were in an expensive office building in a major city. When they are working, they do not let outside influences distract them.

In general, entrepreneurs are people who have high energy, feel self-confident, set long-term goals, and view money and financial security as a measure of accomplishment and

piece of mind. They persist in problem solving, take risks, learn from failures (their own and from others), take the initiative, accept personal responsibility and use all available resources to achieve their success.

Outline the general characteristics of entrepreneurs?

Is there a difference between entrepreneurs and small business owners?

To summarize, this session examined personality in general and attempted to link it to the entrepreneurial role in business. This was followed by an evaluation of some of the characteristics of successful entrepreneurs.Assess yourself by answering the questions below.

Self Assessment Questions
Exercise 1.2

Do you have what it takes to succeed? Take this Entrepreneur Quiz to see how you fare.

1. When it comes to developing relationships with new people:
a. I enjoy it, meeting new people energizes me
b. I do when I have to, but I find meeting new people intimidating
2. When I make decisions:
a. I always consider how my decisions will affect the bottom line
b. I think more about how my decision will affect those involved
3. My talent lies in:
a. Analyzing the current situation
b. Looking at the possibilities
4. When it comes to selling my products, my ideas and myself:
a. I enjoy the challenge
b. I feel uncomfortable with the whole process
5. What really gets my juices going is:
a. Planning and completing a project
b. Conceiving the idea for a project
6. When it comes to day-to-day administrative duties:
a. I am detail-oriented and organized
b. I have trouble staying focused
7. I feel most comfortable:
a. After I make a decision, I like to know that things are settled

b. Before I make a decision, I prefer to stay open to possibilities
8. When things don't go as planned:
a. I get thrown off-balance
b. I go with the flow
9. I prefer a work environment that is:
a. Lively, where I am able to interact with others throughout the day
b. Quiet, where I am able to focus on my work
10. When I think about writing a business plan:
a. I start planning how and where to begin
b. I shudder
Did you answer all the questions? Good on you.

Refer to the last page of the book for answers to all SAQ items.

SESSION 3: THE ENTREPRENEURIAL PROCESS

Hello and welcome again to this session. I hope you still have the inquisitive mind for what we are about to discover. That is, we are going to continue with our discussions on entrepreneurship in this session by looking at the various activities involved in the entrepreneurial process.

Objectives

By the end of this session you should be able to

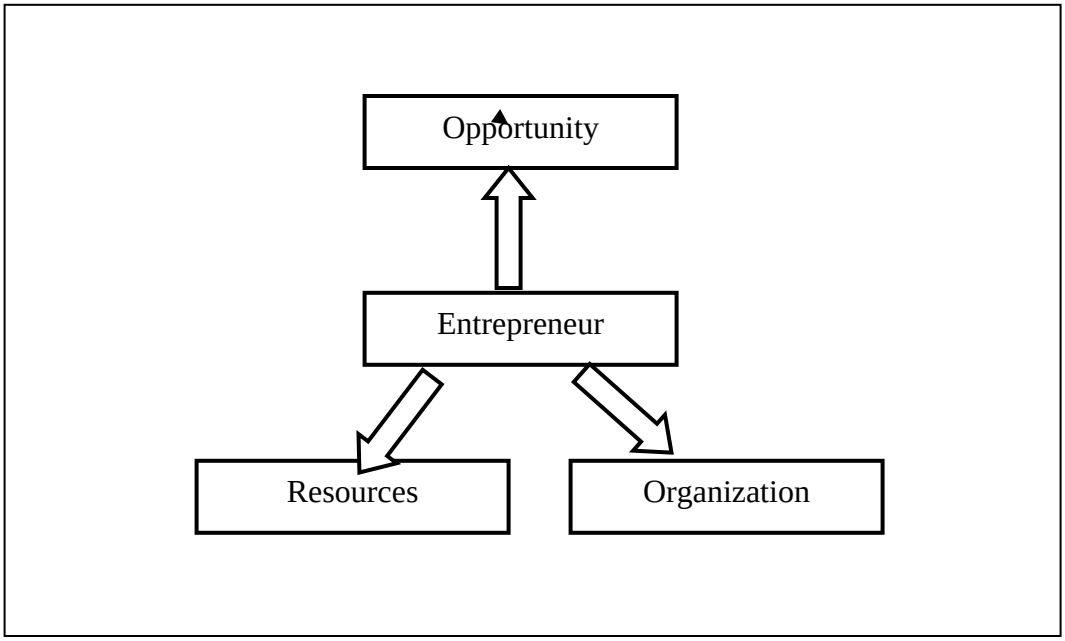
a) explain the entrepreneurial process;
b) mention the various approaches to the entrepreneurial process;
c) describe the factors that influence the entrepreneurial process;
d) list the various entrepreneurial task.

3.1 The Entrepreneurial process

Every entrepreneurial venture is different, although there is a common process that underlies each. Every entrepreneurial venture is different in its particulars, but there is a common process that underlies each. The basic process involves four contingencies (things that are always present but take a variety of forms) coming together. The entrepreneur is the individual or team that leads and develops the venture. He or she identifies an opportunity that is a gap in the market that presents the possibility of doing something new, different and better (from the perspective of buyers) and so the chance to create new value. This is followed by the organization whereby a system is devised to co-ordinate the activities of the people who make up the venture and the use of its resources. Finally the entrepreneur brings resources together in order to build the venture and pursue the opportunity (these relationships are depicted in Figure 1). Each of these four contingencies interact in the process of generating new value. The central interactions are that:

- The entrepreneur is responsible for identifying, evaluating and analysing new opportunities.
- The entrepreneur is responsible for attracting and managing the process of acquisition of new resources.
- The entrepreneur is responsible for leading and directing the organisation.

Figure 1: The Entrepreneurial Process



Source: Wickham (2007).

3.2 Factors that Influence the Entrepreneurial Process

Various approaches are used to examine the entrepreneurial process. These are the psychological, sociological and situational approaches.

3.2.1 A Psychological Approach

Scholars have explored entrepreneurship examining personality traits of people who starts new businesses.

Personality Characteristics

Entrepreneurial research has identified a number of personality characteristics that differentiate entrepreneurs from others. Among the most frequently discussed are the need for achievement, locus of control and risk-taking propensity.

The need for Achievement

The entrepreneurial need for achievement, or n Ach, was first identified as a personality trait by McClelland in his work on economic development. People with high levels of n Ach have a strong desire to solve problems on their own, enjoy setting goals and

achieve them through their own efforts, and like receiving feedback on how they are doing. They are moderate risk takers.

Locus of Control

A second trait often associated with entrepreneurship is locus of control. In locus-of-control theory, there are two types of people:

1. externals, those who believe that what happens to them is a result of fate, chance, luck, or forces beyond their control; and
2. internals, those who believe that for the most part the future is theirs to control through their own effort. Clearly, people who undertake a new business must believe that their effort will have something to do with the business's future performance.

Risk-taking Propensity

Related to the need for achievement is risk-taking propensity. Since the task of new venture creation is apparently fraught with risk and the financing of these ventures is often called risk capital, scholars have tried to associate risk-taking propensity to entrepreneurs.

3.2.2 Sociological Approach

The sociological approach tries to explain the social conditions from which entrepreneurs emerge and the social factors that influence the decision. There are four factors which include negative displacement, being between things, positive push, and positive pull.

Negative Displacement

Begins with the notion that people who find themselves displaced in some negative way may become entrepreneurs. Negative displacement is the marginalization of individuals or groups of individuals from the core of society. These individuals or groups may be seen as 'not fitting in' to the main flow of social and economic life.

"Between Things"

People who are between things are also more likely to seek entrepreneurial outlets than those who are in the 'middle of things". For a example migrants who have moved from one location to the other or politicians who are no more in politics and are looking for something else to do.

Positive Pull

Positive influences also lead to the decision to investigate entrepreneurship, and these are called positive pull influences. They can come from a potential partner, a mentor,

parent, customer or investor. For example, the potential partner encourages the individual with the offer of sharing experience and helping with the work and spreading the risk.

Positive Push
The final category of situations that provide impetus and momentum for entrepreneurship is termed positive push. Positive push factors include such things as career path that offers entrepreneurial opportunities or education that gives the individual the appropriate knowledge and opportunity.

3.2.3 Situational Characteristics
Once the individuals' inclination for entrepreneurship has been activated, situational characteristics help determine if the new venture will take place.

Perceptions of Desirability
Entrepreneurship must be seen as desirable to be pursued. The factors that affect the perceptions of desirability can come form the individual's culture, family, peers and colleagues, or mentors.

Perceptions of Feasibility
Entrepreneurship must be seen as feasible if the process is to continue. Readiness and desirability are not enough. Potential entrepreneurs need models and examples of what can be accomplished. They require emotional, financial and physical support from others.

By way of summary the session started with the entrepreneurial process. This was followed a discussion of the various approaches to the study of the entrepreneurial process. The session ended with the factors that influence the entrepreneurial process.

Assess yourself by answering the questions below.

Self Assessment Questions
Exercise 1.3

1. Explain the entrepreneurial process.
2. Outline the components of the entrepreneurial process
3. Examine the three main factors that influence the entrepreneurial process
4. Briefly discuss the situational characteristics that influence the entrepreneurial process
5. Mention the components of the sociological approach.
6. What do you understand by internal and external locus of control.

Did you answer all the questions?

Well done and keep it up!
Refer to the last page of the book for answers to all SAQ items.

SESSION 4: ENTREPRENEURSHIP AND THE ENVIRONMENT

Hello and welcome again to the fourth session of this unit. So far our previous discussions have centered on the nature of entrepreneurship and the entrepreneurial process. Every endeavor, private or public is influenced by the environment within which it operates and entrepreneurship is no exception. Entrepreneurs need to understand the economic, technological, socio-cultural and competitive realities in thee environment including the capacity to understand evolutionary processes in the future. They need to understand how institutions work, and how individuals react in order to introduce activities and products that serve peoples' need and that are sustainable economically and politically.

Objectives

By the end of this session you should be able to:

a) list the various elements in the entrepreneurial environment
b) explain the environmental factors that influence the entrepreneurial process

The level of entrepreneurial activity in any economy is determined by a number of environmental factors. These factors are the economic, technological, political, legal, socio-cultural and competitive environments.

4.1 Economic Environment

The economic environment covers factors such as population, interest rates and inflation that influence business activities. For example, as the number of people in an economy grows, the population's carrying capacity for new organizations is increased. Consequently there are more opportunities for new ventures. Monetary policies also affect interest rates and exchange rates. If interest rates are high it means it is expensive to borrow money, this increases cost of production.

In addition, the general state of the economy also affects prices of resources and demand for goods and services. If the economy is in a recession demand for goods and services are low because people do not have the money to buy things.

Entrepreneurial activities are encouraged where resources such as capital, infrastructure and skilled labor are readily available. The deregulations of institutions which provide these resources (such as banks) help to increase the availability of such re

Can you mention any industry in Ghana that has been deregulated?

4.2 Technological Environment

The rate of technological development in an economy is another dimension of the environment which affects business operations. Every firm has techniques it uses to secure, produce and distribute its goods and services. Entrepreneurs will have to anticipate even the short term future and all the potential new technologies that could affect the firm.

Technological development and infrastructure also influence communication, transportation and production processes. It affects the quality of raw materials, employee productivity, consumer needs and tastes. For example, there is high demand for technologically advanced products which make life easier such as household cleaning and cooking equipment, and telecommunication equipment such as mobile phones and internet facilities.

4.3 Political Environment

The political climate in any country affects entrepreneurship. If the government is unstable or corrupt entrepreneurship will be discouraged because business owners cannot be certain whether they will be allowed to access any rewards they accumulate from their efforts and whether they can obtain returns that are commensurate to the risks they take. Entrepreneurs prefer free market economies with democratic governments and freedom of choice. Such environments ensure efficient allocation of resources and create opportunities. However, some entrepreneurs have performed well in chaotic environments.

4.4 Legal Environment

Legal structures encourage entrepreneurship by protecting both business owners and consumers. The business and corporation laws also govern the way people do business and their relationships with various stakeholders – such as suppliers, consumers, shareholders and finance providers. In general the legal system minimizes distortions to the free market system and encourages entrepreneurs to respond to opportunities. A poor legal system breeds corruption, distorts operation of the free market and prevents efficient allocation of resources.

4.5 Socio-cultural Environment

Current social factors in the environment taste and preferences of consumers, which determine products and services produced, have created demand for new products and services such as new clothes, electrical gadgets and new ways of eating.

Another aspect of the socio-cultural environment which affects entrepreneurship is the level of individualism within the society. Entrepreneurship is also often associated with independence and individualism. Individual rather than collective rewards are emphasized. Entrepreneurs may therefore not be attracted to societies where equal distribution of wealth is the norm. Individual rewards encourage risk-taking, initiative -

taking and innovation. Having said this it is important to add that social support systems and networks such as friends, family, and business support groups promote entrepreneurship.

4.6 Competitive Environment

The competitive environment which is the last environmental factor we will look at refers to the level of competition in the industry in which the firm operates. It also comprises a number of components. The first is the intensity of competition within the industry. Competition may be monopolistic (no competitors) or perfect (all industry participants compete directly against each other). In most cases businesses are able to differentiate their products from those of their competitors and are therefore able to enjoy some degree of monopoly. In other words most industries have monopolistic competition.

The second component of the competitive environment is the ease with which firms can enter the industry. Prospective businesses may be deterred from joining the industry where there are significant entry barriers such as large capital requirements, requirements of specific skills and knowledge, patented products, regulatory policies and economies scale.

The availability of substitute products is the third component of the competitive environment. If there are close substitutes to a product this will place a limit on the price which a firm can charge for the products. Consumers will switch to the new product if the price is low enough to enable them recoup the cost of switching. This means if there a close substitutes profit margins are likely to be low in the industry.

The relative abilities of suppliers and buyers to influence production and demand of the product are also part of the competitive environment. Suppliers pose a threat where few companies control most of the supplies and where it is costly for buyers to switch to other products. Suppliers also have more power where it is cheaper for firms to buy the supplies than to make them in-house. Buyers pose a threat where they are few (for example where the firm sells to one or few large firms or to the government). Buyers also pose a threat where it costs little for them to switch on to other brands or substitutes (such as with the mobile phone deals).

SUMMARY

In sum, this session examined the environmental factors that influence entreprenurship. We looked at the economic, technological, political, legal, socio-cultural and competitive environments respectively and how they affect businesses activities.

Assess yourself by answering the questions below.

Self Assessment Questions
Exercise 1.4

1. Mention the environmental factors that influence entrepreneurship.
2. Explain the environmental factors that influence entrepreneurship.
3. Briefly explain two factors in the competitive environment that effect entrepreneurship.

Were you able to answer all the questions? Good on you!

Refer to the last page of the book for answers to all SAQ items.

SESSION 5: ADVANTAGES AND DISADVANTAGES OF ENTREPRENEURSHIP

Hi, do you know that to everything in life there are advantages and disadvantages? Well entrepreneurship is no exception. As a matter of fact, entrepreneurship involves a lot of risk taking, yet it can pay off very nicely as well with rewards such as profits and the opportunity to be your own boss and make your own decisions. This session will therefore consider the advantages and disadvantages of entrepreneurship

Objectives

At the end of this session you should be able to:

a) mention and explain the advantages of entrepreneurship;
b) briefly discuss the disadvantages of entrepreneurship.

5.1 Advantages of Entrepreneurship

Every successful entrepreneur brings about benefits not only for himself/ herself but for the municipality, region or country as a whole. The benefits are discussed below.

Develop New Markets

Under the modern concept of marketing, markets are people who are willing and able to satisfy their needs. In economics, this is called effective demand. Entrepreneurs are resourceful and creative. They can create customers or buyers. This makes entrepreneurs different from ordinary businessmen who only perform traditional functions of management like planning, organization, and coordination.

Discover new sources of materials

Entrepreneurs are never satisfied with traditional or existing sources of materials. Due to their innovative nature, they persist on discovering new sources of materials to improve their enterprises. In business, those who can develop new sources of materials enjoy a comparative advantage in terms of supply, cost and quality.

Mobilize capital resources

Entrepreneurs are the organizers and coordinators of the major factors of production, such as land labor and capital. They properly mix these factors of production to create goods and service. Capital resources, from a layman's view, refer to money. However, in economics, capital resources represent machines, buildings, and other physical productive resources. Entrepreneurs have initiative and self-confidence in

accumulating and mobilizing capital resources for new business or business expansion.

Introduce New Technologies, New Industries And New Products.
Aside from being innovators and reasonable risk-takers, entrepreneurs take advantage of business opportunities, and transform these into profits. Thus, they introduce something new or something different. Such entrepreneurial spirit has greatly contributed to the modernization of our economy. Every year, there are new technologies and new products. All of these are intended to satisfy human needs in more a convenient and pleasant way.

Create Employment
The biggest employer is the private business sector. Millions of jobs are provided by the factories, service industries, agricultural enterprises, and the numerous entrepreneurial businesses. For instance, Casford Communication and Consultancy Centre (C.C.C.C), MidByren Company Limited and super department stores like MELCOM, Woolworths and others employ hundreds of workers. Likewise giant companies like Ernest Chemist and Capital O2 Group of Companies are big job creators. Such massive employment has multiplier and accelerator effects in the whole economy. More jobs mean more incomes. This increases demand for goods and services. This stimulates production. Again, more production requires more employment.

5.2 Disadvantages of Entrepreneurship

Although entrepreneurship has many benefits and provides many opportunities, potential entrepreneurs should be aware of its drawbacks.

Uncertainty of income
Opening and running a business provides no guarantees that an entrepreneur will earn enough money to survive. Some startups barely earn enough to provide the entrepreneur with adequate income. Thus, starting your own business means that you must be willing to give up the security of a regular paycheck.

Work schedule
Launching and running a business can be an extremely rewarding experience, but it can also be a stressful one. The work schedule of an entrepreneur is never predictable, an emergency can come up in a matter of a second and late hours will have to be put in. This is because failure means total financial ruin as well as a serious financial blow.

Long hours of work

Business start-ups often demand that long hours and hard work from the entrepreneurs. Because entrepreneurs must do everything themselves, owners experience intense, draining workdays. Many entrepreneurs start down the path of entrepreneurship thinking that they will own the business to discover later the business owns them.

Complete responsibility
Owning a business is highly rewarding, but many entrepreneurs find that they must make decisions on issues about which they are not really knowledgeable. Thus, when there is no one to ask pressure can quickly build on the entrepreneur. Furthermore, there may be times when the entrepreneurs find themselves working with employees who lack of experience in.

Discouragement
Launching a business requires dedication, discipline and tenacity. Thus entrepreneurs will run into obstacles along the way and some may appear to be insurmountable.

Let's recap some of the issues discussed in this session. Some advantages of entrepreneurship were explained. Issues such as job creation, stimulation of demand and discovering of new ideas were covered. The session ended by looking at the disadvantages of entrepreneurship.

Assess yourself by answering the questions below.

Self Assessment Questions
Exercise 1.5

1. List and explain four advantages of entrepreneurship
2. Discuss three disadvantages of entrepreneurship.

Were you able to answer all the questions?

Well done and keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- issues that are not clear; and
- difficult topics, if any.

SESSION 6: THE ROLE OF SMALL BUSINESS IN ECONOMIC DEVELOPMENT

Welcome to the sixth and final part of this introductory unit. I hope you have enjoyed the previous sessions. As this course covers both entrepreneurship and small business we cannot conclude the unit without discussing small businesses.

The small business sector in Ghana has played an important role in the transition of the Ghanaian economy from that of state-led to private-oriented development strategies. It is considered a more reliable vehicle for balanced, equitable and harmonious socio-economic development, and responsible for providing employment to about 65 per cent of the urban labour force (Kayanula and Quartey 2000). In Ghana, small businesses constitute about 90 per cent of all registered establishments offering goods and services to a majority of the populace (Aryeetey and Fosu 2005). This session therefore seeks to discuss their activities and the role they play in the Ghanaian economy.

Objectives

By the end of this session you should be able to:

a) define a small business;
b) list activities undertaken by small businesses;
c) examine the role of small businesses in economic development.

Let's begin ……..

6.1 Nature and Definition of Small Business in Ghana

Small businesses have been variously defined, but the most commonly used criterion is number of employees. When this definition is applied, however, confusion arises about the cut off points used by the various official sources (Osei et al. 1993). The Ghana Statistical Service (GSS) in its industrial statistics considers firms with less than 10 employees as small scale businesses and their counterparts with more than 10 employees as medium and large-sized businesses. The lack of clarity around the definition is evidenced by the GSS referring to businesses with up to 9 employees as Small and Medium Businesses in its national accounts (Osei et al. 1993). In defining small scale businesses in Ghana, Steel and Webster (1990), used an employment cut-off point of 30 employees. Osei et al. (1993) on the other hand, divided small-scale businesses into 3 categories: (i) micro - employing, less than 6 people; (ii) very small - employing 6 to 9 people; and (iii) small with 10 to 29 employees.

An alternative criterion used for defining small businesses is the value of fixed assets in the organization. Osei et al (1993) however, point out that the National Board for Small Scale Industries (NBSSI) in Ghana applies both the fixed asset and number of employees' criteria. The NBSSI defines a small scale enterprise as one with not more than 9 workers, and with plant and machinery (excluding land, buildings and vehicles) not exceeding Gh₵1,000 in value. A point of caution is that the process of valuing fixed assets poses a problem, as the continuous depreciation in the exchange rate makes such definitions untenable.

6.2 Activities and Nature of Small Businesses

As with most economies, small businesses in Ghana span a wide range of activities both in formal and informal sectors, and comprise businesses in retail services, wholesale, construction, manufacturing and food processing (Osei et al. 1993). Specifically, typical small businesses include activities such as: soap and detergent making, food processing, tailoring, wood processing, furniture manufacturing, electronic assembly, agro processing, and retail and wholesale trade (Dawson 1993; Osei et al. 1993; Quartey 2003). However, the state of the Ghanaian economy report for 2005 revealed that in 2004, wholesale and retail trade was the second largest contributor to GDP (6.9 per cent) next to government services (10.7 per cent) in the overall services sector (29.5 per cent) (Institute of Statistical Social and Economic Research 2005).

Small businesses in Ghana are distributed across urban centers and rural areas, although the majorities are concentrated around a few principal cities and towns (Boeh-Ocansey 1996). The urban-based small businesses have grown more rapidly than the rural based businesses because of the presence of wage-earning labour force within the confines of their locality (Boeh-Ocansey 1996). Urban businesses are further classified into organised and unorganized sectors. The organized businesses normally have paid employees with registered offices, while the unorganized businesses are mainly made up of employees who work in open spaces, at home or in temporary wooden structures, and employ little or in some case no salaried workers. They mostly rely on family members or apprentices (Boeh-Ocansey 1996). The rural businesses, on the other hand, are largely made up of family groups, individual artisans and women engaged in food production from local crops (Amu 2005; Kayanula and Quartey 2000).

Although, Ghanaians own most of these small businesses, few are foreign owned (Osei et al. 1993; Quartey 2003). Furthermore, most of these businesses are sole proprietorships with a few partnership and joint ventures (Osei et al. 1993; Quartey 2003). The owner-manager is either the founder of the business or inherited it from his/her family. In other instances the business is purchased, formed out of a merger or acquired through other means (Quartey 2003). The amount of capital available to these businesses is small, most often deriving from the personal savings of the owner's relatives or friends. Few small businesses are financed from commercial bank loans,

government assistance programmes or other informal sources (Bani 2003; Osei et al. 1993). These features bring to the fore the undeveloped nature of financial markets, and also indicate the limited extent to which formal credit institutions in Ghana directly reach small firms who need them (Cook and Nixson 2000). In addition, fixed assets such as building and equipment form the largest component of the firm's capital resources (Aryeetey et al. 1994; Boeh-Ocansey 1996). The proprietors and, in some cases, family workers make up the majority of the labour force and greatly influence business decisions and operations (Boeh-Ocansey 1996). Apprenticeship labour, however, is also important in some areas. Moreover, hired workers typically form the smallest segment of the small enterprise's employment. There is therefore a high degree of informality in the small business sector in Ghana.

6.3 Role of Small Businesses in Economic Development

Having examined the definition, nature and activities of small businesses in Ghana, this part of our discussions will focus on their role in economic development.

1. Small businesses enable individuals to develop entrepreneurial and managerial skills that are needed as a foundation for local investment and sustained industrialization.
2. The indigenous technology employed by these businesses is more likely to use local raw materials and equipment, thereby saving foreign exchange which might otherwise be spent on imports.
3. Largely resource based, small businesses in Ghana contribute to forward and backward linkages between agriculture and industry on the one hand and between different sub-sectors of industry on the other.
4. Small firms encourage rural-urban linkages in that some of the raw materials and finished goods they produce are consumed by the rural and urban sectors and vice versa.
5. In Ghana, small businesses are major sources of employment, income and personal development for the rural and urban poor and for women due to their labour intensive methods of operation. It is estimated that about three-quarters of the Ghanaian population derive their livelihood from this sector.
6. Large firms may bring in foreign capital but small businesses are funded initially from dormant capital that would otherwise not be usefully employed.
7. Small businesses make more efficient use of scarce factors of production than large-scale businesses because they are usually labour intensive, with only small capital investments.

In sum, we discussed the various definitions of small businesses given by the NBSSI, Steel and Webster and the Ghana Statistical Service. This was followed by describing the nature and activities of these small firms in Ghana. Finally, we examined their role in economic development.

Assess yourself answering the questions below.

Self-Assessment Questions

Exercise 1.6

1) What is a small business
2) List four activities undertaken by small businesses in Ghana
3) List five roles small business play in the Ghanaian economy.

Did you score above 8? Very good and keep it up!

Refer to the last page of the book for answers to all SAQ items.

UNIT OUTLINE

Session 1: Importance of Starting your own Business
Session 2: Finding a Sound Idea for a Business
Session 3: New Business Assessment
Session 4: Opportunities for Buying Existing Business
Session 5: The Importance of Buying an Existing Business
Session 6: Franchising

You are warmly welcome to the second unit of our module on entrepreneurship, which deals with the concepts of starting and buying a small business. In today's business world, the role and importance of small of businesses cannot be overemphasized. The degree and frequency at which domestic entrepreneurs are able to start their own businesses or buy businesses impact positively on the growth and development of the national economy. The advent and success of small businesses has been hailed as the savior of the entire world economy.

In this unit, we distinguish between starting and buying a small business. Throughout the unit, we discuss issues related to starting your own business and buying a small business.

Objectives

By the end of this unit, you should be able to:

(a) Discuss the reasons for starting a new business
(b) Outline the process of finding a sound idea for a business
(c) Explain how to evaluate a new business
(d) Highlight opportunities for buying existing business
(e) Summarize the advantages and disadvantages of buying an existing business
(f) Discuss the importance of franchising as a means of starting a small business.

We wish you a fruitful encounter in this unit. Good luck!

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: IMPORTANCE OF STARTING YOUR OWN BUSINESS

Welcome to the first session of Unit 2. I suppose you enjoyed all the issues discussed in the earlier units on the nature of entrepreneurship and importance of small business in the economy. With that understanding, we proceed to consider the issue of starting or buying your own small business. I hope you will equally follow and enjoy this topic.

This session discusses the issues relating to how potential new businesses are surfacing in record numbers. It focuses mainly on the reasons, advantages and disadvantages for starting a small business.

Objectives

By the end of this session, you should be able to:

(a) explain the reasons for starting up a new business;
(b) highlight the advantages for starting your own business; and
(c) outline the disadvantages for starting your own business.

Now read on…

1.1 Reasons for Starting up New Business

The reasons for entrepreneurs starting up new business are a lot. A research by Birley and Westhead (1994) reported seven components of new venture motivation:

- The need for approval,
- The need for independence,
- The need for personal development,
- Welfare (philanthropic) considerations,
- Perception of wealth,
- Tax reduction and indirect benefits, and
- Following role models.

These components are similar to the characteristics discussed in Chapter 1 concerning the "entrepreneurial perspective". Although researchers agree many reasons exist for starting a business, the entrepreneurial motivations for individuals usually relate to the **personal characteristics** of the entrepreneur; the **environment,** and the **venture** itself. The complexity of these key factors makes the assessment of new ventures highly difficult.

1.2 Advantages and Disadvantages of Starting Your Own Small Business

Some of the identified advantages and disadvantages of starting your own business are highlighted below.

1.2.1 Advantages

Advantages of starting your own small business include the following:

1. **Creation of the owners.** The owners have freedom of choice over what the business does, how it operates, and what its values are

2. **Control of the owners.** The owners have maximum control over the affairs of the business; external influences can be minimized.

3. **Satisfaction of the owners.** There is the inherent satisfaction of success due to the skill and effort of the owners.

4. **Clean Sheet.** The business starts with no backlog of problem. Although the business would create its own problems, yet at least they would be new ones and not inherited from the past.

5. **Help from various agencies.** Under normal circumstances there would be available government assistance and help from other agencies to encourage people starting their own business.

6. **Match between founder and enterprise.** New business founders could ensure that their individual strengths were well used, and their weaknesses minimized, by choosing a business well matched to their own qualities and experiences.

7. **Less funds required.** A new business start up that works would cost less than buying a similar existing business or franchise.

1.2.2 Disadvantages

Disadvantages of starting your own small business involve the following:

1. **Unproven idea.** The new business idea might be creative, but would it work? A new business can only prove itself in practice, even after the most thorough research.

2. **High failure rate.** It is generally admitted that the failure rate of business start-ups is high; less than 50 percent is said to survive the first five years. Other alternative routes, for example, franchising, are reckoned to have better track records.

3. **No market share or good will.** Comparatively, often the new business start up would have the problem of establishing its name from scratch; the goodwill in an established company name or loyalty of existing customers would take sometime to build up.

4. **Hard, lonely work.** Business start-ups involve unsociable working hours, which are often linked to feelings of being alone as there would be no support departments and services in the firm.

5. **Barriers to entry.** Obviously, there are many barriers to market entry. Among other things, premises has to be found, legislation considered, accounts with suppliers opened, and many other obstacles overcome before trading could begin.

6. **No track record.** In view of the fact that there would be no track record, starting one's own business would be very hard to predict for financial and other outcomes.

7. **Difficult to finance.** More often than not the banks and other lenders are keener to lend money to proven ideas than to new concepts.

Refer to other texts for further information on the importance of starting your own small business. Record your notes in your jotter for face-to-face discussion.

In this session, we have looked at the reasons, advantages and disadvantages of starting your own small business.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 2.1

1. List two reasons for starting up a new business
2. List two advantages of starting your own small business
3. List two disadvantages of starting your own small business.

This is blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 2: FINDING A SOUND IDEA FOR A BUSINESS

You are warmly welcome to Session 2. I suppose you enjoyed the previous session on the importance of starting your own business. Having gone through the introduction, I hope you will equally enjoy this topic.

This session is on the various methods for finding a sound business idea. There are a number of useful methods an entrepreneur can use to find a sound business idea. We will discuss mainly the sources of business ideas and the methods for generating business ideas.

Objectives

By the end of this session, you should be able to:

(a) identify some of the common sources of business ideas
(b) discuss the major methods for generating a business idea.

Now read on…

2.1 Sources of New Ideas

As revealed in the stories of majority of entrepreneurs across the globe, there are a number of sources of ideas available. Some of the more useful sources, as summarized by Hisrich and Peters (1991), are highlighted as below.

2.1.1 Consumers

Potential entrepreneurs should pay strict attention to the potential **consumer,** who should be viewed as the focal point of the idea for a new product or service. This attention may take the form of monitoring potential ideas and needs that are mentioned informally or of formally arranging for consumers to have an opportunity to make known their opinions. Care should be taken, though, to ensure that the idea or need represents a sizable market to support a new venture but is not just one person's.

2.1.2 Existing Companies

Potential entrepreneurs and entrepreneurs would also need to establish a formal method for monitoring and evaluating the products and services of existing companies on the market. It is common that this analysis uncovers ways to improve on these offerings, resulting in a new product that provides the basis for the formation of a new venture.

2.1.3 Distribution Channel

Distribution channel members are also good sources for new ideas. By reason of their knowledge about the needs of the market, channel members frequently have suggested for completely new products. These channel members can also be a source of help in marketing the entrepreneur's newly developed products.

2.1.4 Government Agencies

Government agencies can be helpful in finding and developing new product ideas in many ways. For example, the files of the Patent office contain a lot of new product possibilities. Although the patents themselves nay not be feasible new product introductions, they can frequently suggest other, more marketable, new product ideas.

2.1.5 Research and Development

As Hisrich and Peters point out, the largest source for new ideas is the entrepreneur's own "**research and development**", whether this is a more formal effort connected with one's current employment or an informal laboratory in the basement or garage. A more formal research and development department is often better equipped, enabling the entrepreneur to conceptualize, develop, and produce successful new product ideas.

2.2 Methods for Generating Ideas

There are several methods that can be used by the entrepreneur to help generate and test ideas, including focus groups, brainstorming, and problem inventory analysis.

2.2.1 Focus Groups

Focus Groups interviews, or **focus groups**, have been used in a different way over the years. A moderator leads a group of people through an open, in-depth discussion rather than simply asking questions to solicit response. The moderator focuses the discussion of the group on the new product area in either a directive or non directive manner. The group from 8 to 14 participants is stimulated by comments from other group members in creatively conceptualizing and developing a new product idea to fulfill a market need. Further to generating new ideas, the focus group is a very good method for initially screening idea and concepts.

2.2.2 Brainstorming

Brainstorming is the method of bringing people together and asking them to suggest alternatives to a problem or to generate new product ideas. The technique of brainstorming includes a strict series of rules. The basic rules are:

1. No criticism is allowed by anyone in the group – no negative comments.
2. State any ideas regardless of how extreme or outlandish.
3. Approach each idea as belonging to the group and build upon the ideas of others.

4. Generate, do not evaluate ideas.

The brainstorming session should be fun, not work-oriented, with no expert in the field present dominating or inhibiting the discussion.

2.2.3 Problem Inventory Analysis

Problem Inventory Analysis uses individuals in a manner similar to focus groups to generate new product ideas. However, instead of generating new ideas themselves, consumers are provided with a list of problems for a general product category. They are then asked to identify and discuss products in this category that have the particular problem. This method is often very effective as it is easier to relate known products to suggested problems and arrive at a new product idea than to generate an entirely new product idea by itself. The method can also be used to test new product idea.

Table 2.1 shows an example of a problem inventory analysis in the food industry. One of the most difficult aspects of this approach is developing an exhaustive list of problems, such as weight, taste, appearance, and cost. Once a complete list of problems is developed, individuals can usually associate products with each problem.

Physiological	Sensory	Activities	Buying Usage	Psychological/Social
A. Weight fattening empty calories	A. Taste bitter bland salty	A. Meal planning forget get tired of it	A. Portability eat away from home take lunch	A. Serve to company would not serve to guests too much last-minute preparation
B. Hunger filling still hungry after eating	B. Appearance colour unappetizing shape	B. Storage run out package would not fit	B. Portions not enough in package creates leftovers	B. Eating alone too much effort to cook for oneself depressing when prepared for just one
C. Thirst does not quench makes one thirsty	C. Consistency / texture tough dry greasy	C. Preparation too much trouble too many pots and pans never turns out	C. Availability out of season not in supermarket	C. Self image made by a lazy cook not served by a good mother
D. Health indigestion bad for teeth keeps one awake acidity		D. Cooking burns sticks	D. Spoilage gets mouldy goes sour	
		E. Cleaning makes a mess in oven smells in refrigerator	E. Cost expensive takes expensive ingredients	

Table 2.1 Problem Inventory Analys

Source: E. M. Tauber, ‘’Discovering New Product Opportunities with Problem Inventory Analysis” *Journal of Marketing* (January 1975) p. 69

Refer to other texts for further information on sources of and methods for generating business ideas. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that there are a number of sources of ideas available for starting a business. We have also looked at some of the major methods that are used to develop business ideas, including focus groups, brainstorming and problem inventory analysis.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 2.2

1. Identify two common sources of business ideas
2. List two common methods for generating ideas

Did you score all? That's great. Keep it up!
Refer to the last page of the book for answers to all **S.A.Q** items.

SESSION 3: NEW BUSINESS ASSESSMENT

You are warmly welcome to Session 3 of Unit 2. I suppose you enjoyed the previous session on finding sound business ideas. That's brilliant! Having gone through the initial step of a broader concept, I hope you will enjoy the second.

This session is on the assessment of new business. As ideas develop into new-venture start-ups, the real challenge is for those firms to survive and grow. To achieve this, there is the need for the entrepreneur to have a clear understanding of the critical factors for selecting ventures; the reasons for venture failure, and an effective evaluation process for new ventures. We discuss each of these issues in this session.

Objectives

By the end of this session, you should be able to:

(a) Identify the critical factors for selecting business ventures
(b) explain the reasons for business failure; and
(c) describe the basic evaluation process for new ventures.

Now read on…

3.1 Critical Factors for New-Venture Development

A number of critical factors is important for new-venture assessment. One way to identify and evaluate them is with a checklist, a general questionnaire approach.

3.1.1 The Phases of a New Venture

A new venture goes through three phases: pre-start –up, start-up, and post start-up.

- The **prestart-up phase** begins with an idea for the venture and ends when the doors are opened for the business.

- The **start-up phase** begins with the initiation of sales activity and the delivery of products and services and ends when the business is firmly established and beyond short-term threats to survival.

- The **post start-up phase** lasts until the venture is terminated or the surviving organizational entity is no longer controlled by an entrepreneur.

3.1.2 Critical Factors of Pre-Start-Up and Star-Up Phases

The pre-start–up and the start-up phases are the critical segment for the entrepreneur and, therefore, are the major focus in this section. Five factors are critical during these two phases:

1. The relative uniqueness of the venture,

2. The relative investment size at start-up,

3. The expected growth of sales and /or profits as the venture moves through its start-up phase

4. The availability of products during the pre-start-up and start-up phases, and

5. The availability of customers during the pre-start-up and start – up phases.

3.1.2.1 Uniqueness of the venture

A new venture should be unique. *Uniqueness* is the special characteristics and design concepts that draw the customer to the venture, which should provide performance or service that is superior to competitive offerings. A new venture's range of uniqueness extends from fairly routine to highly non-routine. The distinction between the routine venture and the non-routine venture is based on the need for new process technology to produce services or products and on the need to service new market segments. For instance, will new products, new technology, and new markets be required on a continuing basis?

3.1.2.2 Investment Size

The capital investment required to start a new venture can vary significantly. In some industries less than a million cedis may be required, whereas in other industries several millions of cedis would be required. Moreover, in some industries only large-scale start-ups are feasible. Another finance-related critical issue is the extent and timing of funds needed to move through the venture process. To determine the amount of needed investment, the entrepreneur would need to answer questions such as: Will industry growth be sufficient to maintain break-even sales to cover a high-fixed cost structure during the start-up period? Do the principal entrepreneurs have access to substantial reserves to protect a large initial investment? and so on.

3.1.2.3 Sales Growth

Key questions considered concerning the *growth of sales* include: What is the growth pattern anticipated for new-venture sales and profits? Are sales and profits expected to grow slowly or level off shortly after start-up? Are large profits expected at some point

with only small or moderate sales growth? Or are both high sales and high profit growth likely? In answering these questions, it is important to remember that most ventures fit into one of the three following classifications (Ronstadt 1985):

1. **Life style ventures** appear to have independent, autonomy, and control as their primary driving forces. Neither large sales nor profits are deemed important beyond providing a sufficient and comfortable living for the entrepreneur.

2. In **small profitable ventures,** financial considerations play a major role. Additionally, autonomy and control are important in the sense that the entrepreneur does not want venture sales (and employment) to become so large that he or she must relinquish equity or an ownership position and thus give up control over cash flow and profits, which, it is hoped, will be substantial.

3. In **high-growth ventures**, significant sales and profit growth are expected to the extent that it may be possible to attract venture capital money and funds raised through public or private placements.

3.1.2.4 Product Availability

The **availability of a sales good or service**, at the time the venture opens its doors, is essential to the success of any venture. Some ventures have problems in this regard because the product or service is still in development and needs further modification or testing. Other ventures find that because they bring their product to market too soon, it must be recalled for further work. Lack of product availability in finished form can affect the company's image and its bottom line.

3.1.2.5 Customer Availability

Similar to the issue of product availability, venture risk is affected by **customer availability** for start-up. At one end of the risk continuum is the situation where customers are willing to pay cash for products or services before delivery. At the other end of the continuum is the enterprise that gets started without knowing exactly who will buy its product. A critical consideration is how long it will take to determine who the customers are and what their buying habits are.

3.2 Reasons For New Venture Failure

Three main classes of then causes for new venture failure are: product/market problems, financial difficulties, and managerial problems.

3.2.1 Product/Market Problems

Product/market problems involve the following factors:

1. **Poor timing**. In 40 percent of the cases studied, a premature entry into the market place contributed to failure.

2. **Product design problems**. Although this may be related to timing, product design and development became a key factor at earlier stages of the venture, and when the essential make up of the product or service was changed, failure resulted.

3. **Inappropriate distribution strategy**. Whether it was based on commissioned sales representatives or direct sales at trade shows, the distribution strategy had to be geared toward the product and customer.

4. **Unclear business definition**. Uncertainty about the "exact" business they were in caused these firms to undergo constant change and to lack stabilization.

5. **Over reliance on one customer**. This resulted in a failure to diversify and brought about the eventual demise of some of the firms.

3.2.2 Financial Difficulties

In the financial difficulties categories were the following factors:

1. **Initial under capitalization:** In 30 percent of the case studies, under-capitalization contributed to failure.

2. **Assuming debt too early:** Some of the firms attempted to obtain debt financing too soon and in too large an amount. This led to debt service problems.

3. **Venture capital relationship problems:** Differing goals, visions, and motivations of the entrepreneur and the venture capitalist resulted in problems for the enterprise.

3.2.3 Managerial Problems

Managerial problems involved two important factors.

1. **Concept of a team approach:** These problems associated with the managerial team were found:

i. Hiring and promotions on the basis of nepotism rather than qualifications,

ii. Poor relationships with parent companies and venture capitalists,

iii. Founders who focused on their weakness rather than on their strengths, and

iv. Incompetent support professionals

2. **Human resource problems**. Inflated owner ego, employee-related concerns, and control factors were all problems leading to business failure. The study also revealed such interpersonal problems as:

i. Kickbacks and subsequent firings that resulted in an almost total loss of customers,

ii. Deceit on the part of a venture capitalist in one case and on the part of a company present in another,

iii. Verbal agreements between the entrepreneur and the venture capitalists that were not honoured, and

iv. Protracted lawsuits around the time of discontinuance.

3.3 The Evaluation Process of New Ventures

Entrepreneurs need to undertake a solid analysis and evaluation of the feasibility of the product/service idea before it gets off the ground. They would need to put their ideas through this analysis in order to detect if there are any inherent flaws.

3.3.1 Evaluation-Related Questions

According to Burch (1986), ten (10) sets of preliminary questions can be used to screen an idea, involving the following:

1. Is it a new product/service idea? Is it proprietary? Can it be patented or copy righted? Is it unique enough to get a significant head start on the competition? Or can it be easily copied?

2. Has a prototype been tested by independent testers who try to blow the system or rip the product to shreds? What are its weak points? Will it stand up?

3. Has it been taken to trade shows? If so what reactions did it receive? Were any sales made? Has it been taken to distributors? Have they placed any order?

4. Is the product or service easily understood by customers, bankers, venture capitalists, lawyers, accountants and insurance agents?

5. What is the overall market? What are the market segments? Can the product penetrate these segments? Can any special niches be exploited?

6. Has market research been conducted? Who else is in the market? How big is the market? How fast is it growing? What are the trends?

7. What distribution and sales methods will be used – jobbers, independent sales representatives, the company sales force, direct mail, door-to-door sales, supermarkets, service stations, company-owned stores? How will the product be transported: company-owned trucks, common carriers, postal service, or airfreight?

8. How will the product be made? How much will it cost? What is the present capacity of company facilities? What is the break-even point?

9. Will the business concept be developed and licensed to others or developed and sold away?

10. Can the company get – or has it already lined up – the necessary skills to operate the business venture? Who will be the workers? Are they dependable and competent? How much capital will be needed now? How much more in the future? Have major stages in financing been developed?

3.3.2 Profile Analysis

In most cases a combination of variables influence the outcome of the new venture. Hence it is essential to identify and investigate these variables before the new idea is put into practice. The results of such a profile analysis enable the entrepreneur to judge the business's potential.

3.3.3 Feasibility Criteria Approach

The **feasibility criteria approach** is another method developed as a criteria selection list from which the entrepreneur could gain understanding into the viability of their venture. It is based on the following questions (Baty, 1984):

1. **Is it proprietary?** The product does not have to be patented, but it should be sufficiently proprietary to permit a long head start against competitors and a period of extraordinary profits early in the venture to offset start-up costs.

2. **Are the initial production costs realistic?** Most estimates are too low. A careful detailed analysis should be made so no large, unexpected expenses arise.

3. **Are the initial marketing costs realistic?** This answer requires the venture to identify target markets, market channels, and promotional strategy.

4. **Does the approach have potential for very high margins?** This is almost a necessity for a fledgling company. Gross margins are one thing the financial community understands. Without them, funding can be very difficult.

5. **Is the time required to get market and reach breakeven realistic?** In most cases, the faster the better. In all cases, the venture plan will be tied to this answer, and an error here can spell trouble later on.

6. **Is the potential market large?** In determining the potential market, entrepreneurs must look three to five years into the future because some markets take this long to emerge. The cellar telephone, for example, had an annual demand of approximately 400,000 units in 1982. However, by the late 1990s this market was estimated to grow by at least 45 percent annually.

7. **Is the product the first of a growing family?** If it is, the venture is more attractive to investors. If they do not make a large return on the first product, they might on the second, third or fourth.

8. **Does an initial customer exist?** It is certainly impressive to financial backers when a venture can list its first ten customers by name.

9. **Are the development costs and calendar times realistic?** Preferably, they are zero. A ready-to-go product gives a venture a big advantage over competitors. If costs exist, they should be complete and detailed, and tied to a month-by-month schedule.

10. **Is this a growing industry?** This is not absolutely essential if profits and company growth are there, but it means less room for mistakes. In a growing industry, good companies do even better.

11. **Can the product and the need for it be understood by the financial community?** If the financiers can grasp the concept and its value, the chances for funding will increase.

This criteria selection approach provides a means of analysing the internal strengths and weaknesses that exist in a new venture by focusing on the marketing potential and industry potential critical to assessment.

3.4 Comprehensive Feasibility Approach

A Comprehensive Feasibility Approach includes external factors in addition to those in the criteria questions. A breakdown of the factors involved in a comprehensive feasibility study of a new venture, as presented in Figure 3.1, are: technical, market, financial, organizational, and competitive. Although all these factors presented in Figure 3.1 are important, two are given special attention here: technical and market.

3.4.1 Technical Feasibility

The *technical feasibility* involves identifying the technical requirements for producing a product or service that will satisfy the expectations of potential customers. The most important of these are the following:

1. Functional design of the product and attractiveness in appearance.

2. Flexibility, permitting ready modification of the external features of the product to meet customer demands or technological and competitive changes.

3. Durability of material from which the product is made.

4. Reliability, ensuring performance as expected under normal operating conditions.

5. Product safety, posing no potential dangers under normal operating conditions.

6. Reasonable utility – an acceptable rate of obsolescence.

7. Ease and low cost of maintenance.

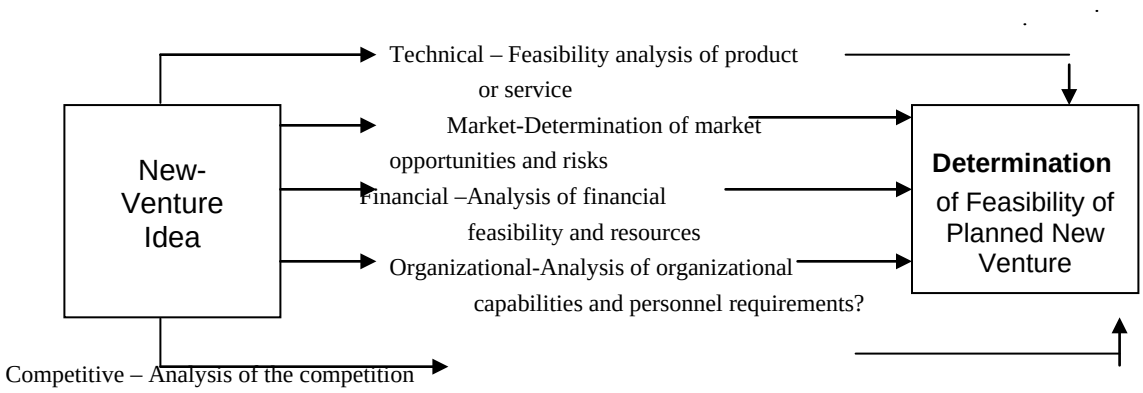
8. Standardization through elimination of unnecessary variety among potentially interchangeable parts.

9. Ease of processing or manufacture.

10. Ease in handing and use.

The results of this investigation provide a basis for deciding whether a new venture is feasible from a technical perspective.

Figure 3.1 Key Areas for Assessing the Feasibility of a New venture



Source: G. B. Baty, *Entrepreneurship: Playing to Win* (Reston, VA: Reston Publishing, 1974), 33-34

3.4.2 Marketability

Gathering of information about the *marketability* of a new venture is critical for determining its potential success. Three key areas in the marketability analysis are:

1. Investigating the full market potential and identifying customers (or user) for the goods or service,

2. Analyzing the extent to which the enterprise might exploit this potential market, and

3. Using market analysis to determine the opportunities and risks associated with the venture.

To address these areas, a variety of informational sources need to be found and used. For a market feasibility analysis, general sources would include the following:

1. General economic trends: various economic indicators such as new orders, housing starts, inventories, and consumer spending.
2. **Market data:** customers, customer demand patterns (e.g.; seasonal variations in demand, governmental regulations affecting demand).

3. Pricing data: range of prices for the same, complementary, and substitute products; base prices, and discount structures.
4. **Competitive data:** major competitors and their competitive strength.

Refer to other texts for further information on new venture assessment. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that there is the need for the entrepreneur to have a clear understanding of the critical factors for selecting ventures; the known reasons for venture failure, and an effective evaluation process for new ventures.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 2.3
1. Identify two critical factors for selecting a Business venture.
2. What are the three broad reasons for new venture failure
3. Identify three basic approaches for evaluating new ventures

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

SESSION 4: OPPORTUNITIES FOR BUYING EXISTING BUSINESS

You are warmly welcome to Session 4 of Unit 2. I suppose you enjoyed the previous session on new business assessment. That's great! Having gone through the first part of a broader concept, I hope you will enjoy the second.

This session is on the various opportunities that exist for buying existing business. An entrepreneur can establish a business venture by either starting his or her own, or buying an existing one. Having dealt with the first option in the previous sessions, we now focus on the second. We will first explain the various options that exist for small business buyers. We will then discuss the right way to buy a business.

Objectives

By the end of this session, you should be able to:

(a) explain the different options that exist for small business buyers

(b) describe the right approach to be adopted in buying a business

Now read on…

4.1 Options for Small Business Buyers

Some of the options available to the entrepreneur to become involved in the existing business include the following:

4.1.1 Outright purchase

A prospective entrepreneur might choose to purchase an existing business wholly, as a means of market entry. An on-going small business owner could also decide to expand by buying another small firm.

4.1.2 Buy-in

A buyer might not wish to buy an on-going business entirely. Instead, they might **buy into an existing firm** and become a new partner, or shareholder, with those that already exist. This is more commonplace in professional practices such as doctors, solicitors, and accountants. These are often large partnerships where the partnership agreement does allow for the recruitment of another partner into the practice, should some members leave.

Other types of small business, franchises inclusive, might also wish to allow in a new partner or shareholder.

4.1.3 Buy-out

Buy-outs commonly refer to the purchase of a business, or a significant part of it, by its current management. Although buy-outs could occur from small firms and franchises as well as forced sale by the parent company, large firms are often the sellers.

4.1.4 Buy-in Management buy-out

The **Buy-in Management Buy-out** (**BIMBO**) is a variation of the management buy-out concept. BIMBO combines outside and inside management in the purchase of a firm. It is the belief that the risk of buying into a firm from the outside could be minimized if the existing management of the firm are also involved.

4.2 The Right Way to Buy a Business

Buying an existing business should not be approached haphazardly in view of the risk involved. To avoid costly mistakes, a would-be business owner should follow a logical, methodical approach (Owens, 1990):

1. Analyse your skills, abilities and interests

Analyse your skills, abilities, and interests to determine what kind(s) of businesses you should consider. That is, conduct a **self-audit** to determine the ideal business for you.

2. Prepare a list of potential candidates

Typical sources for your search for acquiring a business include the following:

- Newspapers and trade journals listing businesses for sale.
- Industry contacts - suppliers, distributors, customers, etc.
- Investment bankers
- Business brokers
- Knocking on the doors of businesses you would like to buy.
- Networking-social and business contacts with friends and relatives.

3. Investigate the potential candidates and evaluate the best one(s)

Investigate the list of prospective candidates in terms of the following:

- What are the company's strengths and weaknesses?
- Is the company profitable? What is its overall financial condition?

- What is its cash flow cycle?
- Who are the major competitors?
- How large is the customer base? Is it growing or shrinking?
- Are the current employees suitable? Would they stay?
- What is the physical condition of the business, its equipment, and its inventor?

4. Explore financing options

After succeeding in placing a value on an existing business, the next challenging task in closing a successful deal is financing the purchase. A deal is typically structured so that the buyer makes a down payment to the seller, who then finances a note for the balance. The buyer makes regular principal and interest payments over-time until the note is paid off.

5. Ensure a smooth transition

Once the parties strike a deal, the challenging task in making a smooth transition comes up. As Zimmerer and Scarborough (1995) suggest, a business buyer should do the following:

- Concentrate on communicating with employees.

Business sales are fraught with uncertainty and anxiety and employees need reassurance.

- Be honest with employees. Avoid telling them only what they want to hear.
- Listen to employees. They have intimate knowledge of the business and its strengths and weaknesses and usually can offer valuable suggestions.
- Consider asking the seller to serve as a consultant until the transition is complete, for the previous owner can be a valuable resource.

Refer to other texts for further information on buying existing business. Record your notes in your otter for face-to-face discussion.

In summary, we have discussed in this session that there are different options available to the entrepreneur to become involved in an existing business. These include: outright purchase, buy-in, buy-out, and buy-in management buy-out. After considering the appropriate option, the entrepreneur should follow the right steps in purchasing the business.

Now assess your understanding of this session by answering the self-assessment questions set out below.

Self-Assessment Questions

Exercise 2.4

1. Identify two different options for small business buyers

2. Give an outline of the right way to buy a business

Did you score all? That's great. Keep it up!
Refer to the last page of the book for answers to all SAQ items.

SESSION 5: THE IMPORTANCE OF BUYING AN EXISTING BUSINESS

You are warmly welcome to Session 5 of Unit 2. I suppose you enjoyed the previous session on the opportunities for buying existing business. That's great! Having gone through the major parts of a broader concept, I hope you will enjoy the next.

This session is on the importance of buying an existing business. After considering the major aspects of the possibility of buying existing business, it is necessary to look at the importance of it. This session will focus mainly on the advantages and disadvantages of buying an existing business.

Objectives

By the end of this session, you should be able to:

(a) outline the possible advantages of buying an existing business; and

(b) discuss the possible disadvantages of buying existing business.

Now read on…

5.1 Advantages of Buying an Existing Business

Some of the possible advantages include the following:

- **Overcomes barriers to market entry**

In situations where there are significant barriers to market entry for a small business entrant, purchasing a thriving business might be the most feasible alternative.

- **Buying immediate turnover and income**

Purchasing a thriving business at an acceptable price increases the likelihood of success. Buying immediate turnover and income could be important, especially when the buyer has no other sources of income.

- **Buying market share**

In cases where the existing businesses controlled a significant percentage of the desired market then it might be favourable to buy into them rather than compete.

- **Existing assets of property equipment and staff**

Acquiring and installing new equipment and property can be financially tremendous and it might be more appropriate to focus resources and energy on the market place through an existing business.

- **Goodwill with existing customers**

Buying an existing business with a good customer base, which is a reflection of the viability of the business, would take some of the risk out of small business ownership. Also, it could provide a good base for future growth.

- **Existing track record**

If previous owners have succeeded to establish a good track record, in terms of trade credit relationships, the new owner could take advantage of it.

- **Insider Knowledge**

The advantage of insider knowledge only usually applies to situations where the existing management is involved in the purchase.

5.2 Disadvantages of Buying an Existing Business

Some of the possible disadvantages include the following:

- **Potential ill will**

The previous owner may have created ill will. The business may look great on the surface, but customers, suppliers, creditors, or employ might have extremely negative feelings about it.

- **Buying possible liabilities with assets**

Even if only assets are purchased, liabilities can still be attached to them; or example, employee liabilities, which may not be recognized at the time of purchase.

- **Employees inherited with the business may not be suitable.**

The present employees may not suit the new owner's needs, if he or she plans to effect changes in the business.

- **Risk in intangible assets**

The goodwill inherited in an existing business can disappear very quickly if a new owner makes inappropriate changes. If the previous owner-manager represents a significant part of the goodwill, it would go with them when they leave.

- **Equipment and facilities may be obsolete or inefficient**

The equipment may have been well suited to the business the buyer purchased, but not to the business the owner may want to build. Modernizing equipment and facilities is usually expensive.

- **The location may have become unsatisfactory**

The location of an existing business might have been deemed ideal, but it might become obsolete as market and demographic trends change.

- **Not all my own work**

Buying an existing business could diminish the entrepreneur's sense of achievement, and therefore the motivation to make it succeed.

- **"It's a dog" - Unprofitable**

A business may be for sale because it has never been profitable. Such a situation might be disguised; owners could employ various creative accounting techniques that make the firm's financial picture appear much brighter than it really is.

Refer to other texts on the topic discussed for further information. Record your notes in your jotter for face to face discussion.

In conclusion, we have recognised that there are possible advantages and disadvantages for buying an existing business. Some of the advantages are that a business venture can help overcome barriers to market entry and have immediate turnover and profits. Some of the possible disadvantages are that the location of the business may be unsatisfactory and it may be unprofitable.

Now assess your understanding of this session by answering the self-assessment questions set out below.

Self-Assessment Questions

Exercise 2.5

1. Outline two possible advantages of buying on existing business

2. Identify two possible disadvantages of buying an existing business

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 6: FRANCHINSING

You are warmly welcome to Session 6 of Unit 2. I suppose you enjoyed the previous sessions on starting your own small business and buying an existing business. That's great! Having gone through the major aspects of a broader concept, I hope you will equally enjoy this dimension.

Franchising has seen an impressive growth in recent years. Much of its popularity stems from its ability to afford those without business experience the opportunity to own and operate a business with a high probability of success. This session discusses the various aspects of franchising, including; the meaning of franchising; types of franchising; advantages and disadvantages of franchising; and the franchising agreement.

Objectives

By the end of this session, you should be able to:

(a) explain the concept of franchising
(b) identify the different types of franchising
(c) discuss the advantages and disadvantages of franchising
(d) highlight the guidelines for a successful franchising strategy and
(e) discuss the details of the franchising agreement

Now read on…

6.1 The Meaning of Franchising

Much of the popularity of franchising stems from its ability to afford those without business experience the opportunity to own and operate a business with a high probability of success. *Franchising* is a business agreement in which a company (the franchisor) grants others (the franchisees) the right and license (the franchise) to sell a product or service and possibly to use the business system developed by the company. It is a system of distribution in which a series of individually owned businesses operates as if it were a part of a large chain. In most instances, the franchisee is granted an exclusive right to distribute the franchisor's goods/services in a specific geographical area.

6.2 Types of Franchising

Basically, there are three types of franchising: trade name franchising, product distribution franchising, and pure franchising.

6.2.1 Trade name franchising

Trade name franchising involves a brand name such as Budget Rent-a-Car. Here, the franchisee buys the right to become identified with the franchisor's trade name without distributing particular products exclusively under the franchisor's name.

6.2.2 Product distribution franchising

With *product distribution franchising*, the franchisee is licenced to sell specific products under the manufacturer's (franchisor's) brand name and trademark via a selective, limited distribution network. This type of franchising is also referred to as dealerships. The system is commonly used to market automabiles (Toyota, Datsun), soft drinks (Coca- cola), bicycles (Rileigh), gasoline (Shell, Total), and others.

6.2.3 Pure (or comprehensive or Business format) franchising

Pure franchising provides the franchisee with a complete business format.
This is more in-depth relationship between the franchisor and the franchisee than a simple product or trademark licensing arrangement. The business format provided by the franchisor may include such aspects as:

- a license for a trade name,
- the products or services to be sold,
- the physical plant,
- the methods of operation,
- a marketing strategy plan,
- a quality control process,
- a two-way communication system, and
- the necessary business services.

Here, the franchisee purchases the right to use all the elements of a fully integrated business operation. Pure franchising is common among fast-food restaurants, car rental agencies, business service firms, lodging establishments, etc.

6.3 Advantages and Disadvantages for Franchisees

6.3.1 Advantages for Franchisees

(i) Product acceptance

The franchisee normally enters in a business that has an accepted name, product, or service. In this instance, the franchisee would not need to spend resources trying to establish credibility for the business.

(ii) Management training and support

Another important advantage to the franchisee is the management training and support provided by the franchisor. Franchisors usually offer managerial training programmes to franchisees that will educate the new owners in all aspects of operating the franchise before opening a new outlet. Many an established franchisor would also provide follow-up training and counselling services.

(iii) Capital requirements

The franchise offers an opportunity to start a new business with less start-up capital and with up-front support that would save the franchisee significant time.

(iv) Knowledge of the market

Established franchise businesses, such as McDonalds, offer the franchisee years of experience in the business and knowledge of the market. Such knowledge is normally reflected in a plan offered to the franchisee that gives a detail profile of the target customer and the strategies that should be implemented once the business has set off.

(v) Standardized quality goods/services

In view of the importance of maintaining quality control of products and services and establishing effective managerial controls, franchisors normally demand compliance with uniform standards of quality and service.

The franchisor will identify purveyors and suppliers who meet the quality standards established. Administrative controls would normally involve financial decisions relating to costs, inventory, and cash flow and personnel issues.

6.3.2 Disadvantages to Franchisees

(i) Franchise fees and profit sharing

The financial costs can be considerable with large up-front fees and high royalties. Franchisors impose some type of fees and demand a share of the franchisee's sales revenues in return for the use of the franchise's name, products/services, and business system.

(ii) Lack of independence

The franchise owner does not have the autonomy of an independent owner. To protect its public image, the franchisor demands that the franchisee maintain certain operating and structural control standards.

(iii) Limited product line

In most instances, the franchise agreement states that the franchisee can sell only those products approved by the franchisor. For example, a Challenge Bookshop franchise owner cannot sell any unapproved products through the franchise.

(iv) Less freedom

When signing a contract, a franchisee agrees to sell the franchisor's product or service, by adhering to its prescribed business formular. Franchisors wanting to ensure success would most closely monitor their franchisees' performance.

(v) Unsatisfactory training programmes

There is the potential danger of the unscrupulous franchisor who would promise extensive training programmes but would deliver nothing.

6.4 Advantages and Disadvantages for Franchisors

6.4.1 Advantages for Franchisors

Identified advantages for franchisors may include the following:

(i) Expansion risk

The franchisor can expand a venture quickly, with little capital. Franchising is a way of expanding a small business into a big business in a relatively short time.

The problem of raising capital to develop a business concept is shared with franchisees and fast expansion becomes easier to fund.

(ii) Availability of motivated franchisees

A proven business opportunity normally has a queue of potential franchisees waiting to start. As Stokes points out, franchisees tend to be motivated individuals prepared to accept rewards in line with the results of their business.

(iii) Cost advantages

The franchisor could purchase supplies in large quantities, thus achieving economies of scale that would not have been possible otherwise. As Hisrich and Peters (1995) submit, one of the biggest cost advantages of franchising a business is the ability to commit large sums of money to advertising. Each franchisee makes a contribution of a percentage of sales between one and two percent to an advertising pool. With this pooling of resources the franchisor is able to conduct advertising in major media across a wide geographic area.

6.4.2 Disadvantages for Franchisors

The franchisor also incurs certain risks and disadvantages in choosing franchising rather than a conventional business.

(i) Lack of quality franchisees

In some instances, the franchisor might find it very difficult to come across quality franchisees.

(ii) Risk of failure

Poor management, despite all the training and controls provided, could still result in individual franchise failures, which could have a negative impact on the whole franchise system.

(iii) Increasing pressure of franchisees

Franchisees are becoming more organised as groups in their dealings with franchisors. Their ability to bring pressure to bear on franchisors would increase as the franchising industry matures.

6.5 Guidelines for a Successful Franchising Strategy

The success of the franchising strategy generally depends on two basic elements: the commitment from both the franchisor and the franchisee, and an effective plan and support system.

6.5.1 Starting a Franchise: What Franchisors Should Look For

To start a franchise, potential franchisors should assess three essential issues (Ibrahim and Ellis, 1992) outlined below:

1. **The window of opportunity and the business concept:** A sound business concept and a product or service with a long life cycle are basic ingredients for success.

2. **Transferability of the business concept to different areas:** A business concept that is only attractive to a specific area or region is unfranchisable

3. **Adequate resources including financial management resources:** Franchising is an expansion strategy, and while it is pursued with others' money (franchisees') it nevertheless requires resources to support the national promotion programme, training and development of franchises, and standardization of key elements such as product and service, accounting system, design and layout.

6.5.2 Selecting a Franchise: What Franchisees Should Look For

In the same vein, to select a franchise, a potential franchisee should evaluate three very important issues:

1. Objectives and life style: potential franchisees should identify clearly their objectives keeping their own life styles in mind. They need to carry out a self-assessment exercise, assessing their strengths and weaknesses.

2. Time span of the opportunity: to insure that the opportunity is not a fad with a short life cycle, market research is essential.

3. Soundness of the business concept: assessment of the market acceptance of the product includes a thorough assessment of the franchise prospectus as well as undertaking market research.

4. Proven track record and support system including financial, trading and development support as well as local and national advertising campaign: assessment of the financial statement provided by the franchisor, as well as information gathered from other sources such as franchise associations and trade journals. Employees working in a franchised outlet could be an excellent source of information and may give clear indication of the positive and negative aspects of the franchise.

6.6 The Franchise Agreement

The *franchise agreement* or *contract* is the final stage in becoming a franchisee. At this stage, a lawyer experienced in franchising is required. The franchise agreement contains all of the specific requirements and obligations of the franchise. Obligation and relationship of both the franchisor and the franchisee must be clearly defined. The potential franchisee should give particular attention to different provisions that may restrict their freedom of choice or freedom to sell the franchise and/ or buy-back clauses.

Table 6.1 Information Required In Disclosure Statement

1. Identification of the franchisor and its affiliates and their business experience.
2. The business experience of each of the franchisors officers, directors, and management personnel responsible for franchise services, training, and other aspects of the franchise programmes.
3. The lawsuits in which the franchisor and its officers, directors, and management personnel have been involved.

4. Any previous bankruptcies in which the franchisor and its officers, directors, and management personnel have been involved.
5. The initial franchise fee and other initial payment that are required to obtain the franchise.
6. The continuing payments that franchisees are required to make after the franchise opens.
7. Any restrictions on the quality of goods and services used in the franchise and where they may be purchased, including restrictions requiring purchases from the franchisor or its affiliates.
8. Any assistance available from the franchisor or its affiliates in financing the purchase of the franchise.
9. Restrictions on the goods or services franchises are permitted to sell.
10. Any restrictions on the customers with whom franchises may deal.
11. Any territorial protection that will be granted to the franchisee.
12. The conditions under which the franchise may be repurchased or refused renewal by the franchisor, transferred to a third party by the franchisee, and terminated or modified by either party.
13. The training programmes provided to franchisees.
14. The involvement of any celebrities or public figures in the franchise.
15. Any assistance in selecting a site for the franchise that will be provided by the franchisor.
16. Statistical information about the present number of franchises; the number of franchises projected for the future, and the number of franchises terminated, the number the franchisor has decided not to renew, and the number repurchased in the past.
17. The financial statement of the franchisor.
18. The extent to which the franchisees must personally participate in the operation of the franchise.
19. A complete statement of the basis of any earning claims made to the franchisee, including the percentage of existing franchises that have actually achieved the results that are claimed.
20. A list of the names and addresses of other franchises.

Source: D. Hisrich and P. Peters, *Entrepreneurship,* Irwin, 1995, p. 523.

6.7 Disclosure

It is required of the franchisor to prepare a detailed disclosure document or the prospectus, to be given to potential franchisees. Franchisors are required to make full presale disclosure in a document that provides information about twenty (20) separate aspects of a franchise offering (Caffey, 1994). The information required in this disclosure is summarized in Table 6.1

Refer to other texts for further information on franchising. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that much of the popularity of franchising stems from its ability to afford entrepreneurs without business experience the opportunity to own and operate a business with a high probability of success. We have considered the different aspects of franchising, including; the meaning of franchising; types of franchising; advantages and disadvantages of franchising; and the franchising agreement.

Now assess your understanding of this session by answering the self-assessment questions set out below.

Self-Assessment Questions

Exercise 2.6

1. the two parties involved in franchising are referred to as------and—

2. identify the three maintypes of franchising

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

UNIT OUTLINE

Session 1: the Meaning of the Business Plan
Session 2: information Needs for the Business Plan
Session 3: writing the Business Plan
Session 4: writing the Business II
Session 5: writing the Business plan III
Session 6: using and implementing the Business Plan

Welcome to the third unit of our Entrepreneurship module, which deals with the business plan. In a competitive business environment, a strategic business plan helps in influencing the starting and managing of small businesses. The business plan indicates how the business is started and managed. It generally represents the entrepreneur's roadmap of the initial beginnings and management of the business venture.

In this unit we will look at the nature of a business plan; importance of a business plan; and information needs for the business plan. These will be followed up by the process for writing the business plan and a discussion of how to use and implement the business plan.

Objectives

By the end of this unit, you should be able to:

(a) Discuss the significance of planning in business
(b) Explain the nature of a business plan
(c) Discuss the information needs for the business plan
(d) Highlight the general format of the business plan
(e) Explain the process for writing the business plan
(f) Discuss how to use and implement the business plan.

We wish you a fruitful encounter in this unit. Good luck!

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: THE MEANING OF THE BUSINESS PLAN

Welcome to the first session of Unit 3. I suppose you enjoyed what was discussed about establishing a small business in the in the previous unit. Having understood the basic issues on small business establishment, it would be quite appropriate to follow it up with the issue of the business plan. And I hope you will equally enjoy studying it.

This session discusses mainly the meaning of the business plan, when to write the business plan and the importance of the business plan.

Objectives

By the end of this session, you should be able to:

(a) Explain what the business plan is
(b) Discuss who and when to write the business plan
(c) Highlight the important purpose of the business plan

Now read on…

1.1 What is the Business Plan?

The *business plan* is a written outline of the entrepreneur's proposed venture, its operational and financial details, its marketing opportunities and strategy, and its manager's skills and abilities (Zimmerer and Scarborough, 1994). It describes the direction the firm is going in, what its goals are; where it wants to be, and how it is going to get there. Thus, the business plan answers the questions, Where am I now? Where am I going? How will I get there?

1.2 When to Plan?

As Stokes points out, business plans can be triggered by various events and reasons, such the following:

1. Start- Up: After the concept stage of initial idea and feasibility study a new business start up may go through a more detailed planning stage of which the main output is the business plan.

2. Business purchase: Buying an existing business does not negate the need for an initial business plan. A detailed plan, which tests the sensitivity of changes to key business variables, greatly increases the prospective purchasers' understanding of the level of risk they will be accepting, and the likelihood of rewards being available.

3. Ongoing review: Ongoing review of progress, against the objectives of either a start-up or small business purchase, is important in a dynamic environment. To have lasting benefit, a business plan should be the live, strategic and tactical planning focus of how a small business responds to the unavoidable changes in the environment.

4. Major decisions: Planning is usually instigated at a time of major change. Again, it may be linked to a need for finance: for example, the need for major new investment in equipment.

1.3 The Importance of the Business Plan

The business plan serves several important purposes:

- It helps determine the viability of the venture in a designated market.

- It provides guidance to the entrepreneur in organizing his or her planning activities.

- It serves as an important tool in helping to obtain financing.

A well-written business plan also will provide broad parameters upon which progress toward goals can be assessed and control decisions made at a later time.

Refer to other texts for further information on the nature and importance of the business plan. Record your notes in your jotter for face-to-face discussion.

In summary, we have learned that the business plan is a written outline of the entrepreneur's proposed venture, its operational and financial details, its marketing opportunities and strategy, and its manager's skills and abilities. It serves several important purposes.

I hope you have enjoyed studying it. That's great!

Now assess your understanding of this session by answering the self-assessment questions set out below.

Self-Assessment Questions

Exercise 3.1

1. What is a business plan?

2. When should a business Plan be prepared?

Did you score all? That's fantastic! Keep it up.

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any;

SESSION 2: INFORMATION NEEDS FOR THE BUSINESS PLAN

Welcome to the second session of Unit 3. Having looked at the meaning and importance of the business plan, we follow up with the information needs for it. I hope you will enjoy studying it.

This session initially discusses feasibility study of the business concept. It then focuses on the information needs for the various components of the business plan.

Objectives

By the end of this session, you should be able to:

(a) Explain the significance of feasibility study of the business concept
(b) Discuss the information needs for the various components of the business plan

Now read on…

2.1 Feasibility Study of the Business Concept

The entrepreneur, before preparing the plan, should do a quick feasibility study of the business concept to make out if there are any possible barriers to success. The information gathered should focus on production, marketing and finance. The goals and objectives of the venture should be clearly defined before the feasibility study is embarked upon. These goals would help the entrepreneur define what needs to be done and how it would be achieved. Besides, these goals and objective would provide a framework for the business plan, marketing plan, and financial plan.

2.2 Market Information Needs

Information about the market potential for the product or service is one of the initial basic elements of information needed by the entrepreneur. To ensure effective determination of the size, it would be appropriate, first, for the entrepreneur to define the market. For example, is the product most likely to be purchased by men or women, high income or low income, highly educated or less educated, rural or urban, and so forth? It would be quite easier for the entrepreneur to project the market size and subsequent market goals for the new venture, if the target market is properly defined.

2.3 Operations Information Needs

The entrepreneur might need operation information on the following:

1. **Location** – The firm's location and its accessibility to customers, suppliers and distributors need to be determined.
2. **Manufacturing operations** – Basic machine and assembly operations need to be defined, as well as whether any of these operations would be subcontracted and by whom.
3. **Raw Materials** – The raw materials needed and suppliers' names, addresses, and costs should be determined.
4. **Equipment** – The equipment needed should be listed and whether it would be purchased or leased.
5. **Labour skills** – Each unique skill needed, the number of personnel in each skill, pay rate and an assessment of where and how these skills would be obtained should be determined.
6. **Space** – The total amount of space needed should be determined, including whether the space would be owned or leased.
7. **Overhead** – Each item needed to support manufacturing, such as tools, supplies, utilities, salaries, and so forth, should be determined.

Nearly all the above information would be included directly in the business plan.

2.4 Financial Information Needs

The entrepreneur must have a complete assessment of the profitability of the venture before embarking on the preparation of the business plan. This evaluation will generally give an indication to the potential investor if the venture will be profitable, how much money would be required to launch the business and meet short-term financial needs, and how the money required would be secured.

The three conventional areas of financial information that are required to determine the feasibility of the business are:

1. Expected sales and expense figures for at least the first three years,
2. Cash flow figures for the first three years, and
3. Current balance sheet figures and projected balance sheets for the

Refer to other texts for further information on the topic discussed.
Record your notes in your jotter for face-to-face discussion.

In summary, we have learned that the entrepreneur, before preparing the business plan, should do a quick feasibility study of the business concept to make out if there are any possible barriers to success. The information gathered should focus on production, marketing and finance.

I hope you have enjoyed reading it.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 3.2

1. Why should an entrepreneur undertake a feasibility study before preparing a business plan?
2. Identify the broad types of information needs for preparing a business plan.

Did you score all? That's superb! Keep it up.

*Refer to the last page of the book for answers to all SAQ items.

This is blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 3: WRITING THE BUSINESS PLAN

Welcome to the third session of Unit 3. I suppose you have enjoyed all the basic issues of the business plan that have been discussed so far in the previous sessions. That's great! I hope you will equally enjoy this topic.

This session gives a brief introduction to the issue of writing the business plan. It focuses mainly on who should write the business plan and the general format of the business plan.

Objectives

By the end of this session, you should be able to:

(a) Discuss the issue of who is responsible for writing the business plan
(b) Describe the general outline of the business plan

Now read on…

3.1 Who Should Write the Business Plan?

The entrepreneur should prepare the business plan. However, the entrepreneur may consult with a number of other sources in the preparation. What must be recognized is that a business plan must be tailor-made, emphasizing the company's strength.

3.2 The Format of the Business Plan

The precise format of the business plan will depend on the particular business and the intended audience of the plan. It is highly impossible to suggest heading for a plan that would have universal application. Suggested outline for a business plan is illustrated in Figure 3.1. Each of the items in the outline is detailed in the following paragraphs of the chapter.

Figure 3.1 Outline of a Business Plan

I. Introductory page
   A. Name and address of business
   B. Name(s) and address(es) of principals
   C. Nature of business
   D. Statement of financing needed
   E. Statement of confidentiality of report
II. Executive Summary – Three to four pages summarizing the complete business plan.

III. Industry Analysis
- A. Future outlook and trends
- B. Analysis of competitors
- C. Market segmentation
- D. Industry forecasts

IV. Description of Venture
- A. Product(s)
- B. Service(s)
- C. Size of business
- D. Office equipment and personnel
- E. Background of entrepreneurs

V. Production Plan
- A. Manufacturing process (amount subcontracted)
- B. Physical plant
- C. Machinery and equipment
- D. Names of suppliers of raw materials

VI. Marketing Plan
- A. Pricing
- B. Distribution
- C. Promotion
- D. Product forecasts
- E. Controls

VII. Organizational Plan
- A. Form of ownership
- B. Identification of partners or principal shareholders
- C. Authority of principals
- D. Management-team background
- E. Roles and responsibilities of members of organization

VIII. Assessment of Risk
- A. Evaluate weakness of business
- B. New technologies
- C. Contingency plans

IX. Financial Plan
- A. Pro forma income statement
- B. Cash flow projections
- C. Pro forma balance sheet
- D. Break-even analysis
- E. Sources and applications of funds

X. Appendix (contains backup material)
- A. Letters
- B. Market research data
- C. Leases or contracts
- D. Price list from suppliers

Source: D. Hisrich and P. Peters, *Entrepreneurship*, Irwin, 1995, p. 120.

Refer to other texts for further information on the topic discussed.
Record your notes in your jotter for face-to-face discussion.

In summary, we have learned that the entrepreneur should write the business plan, as much as possible. The precise format of the business plan will depend on the particular business and the intended audience of the plan.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 3.3

1. Who do you think is responsible for writing the business pan?
2. Outline the main items that should be highlighted in a business plan

Did you score all? That's fantastic! Keep it up.

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 4: WRITING THE BUSINESS PLAN II

Welcome to the fourth session of the Unit 3. I suppose you have enjoyed all the basic issues of the business plan discussed so far in the previous sessions. That's great! I hope you will equally enjoy this topic.

This session discusses the second segment of writing the business plan. It focuses mainly on the details of the various components of the business plan. This involves: introductory page, executive summary, industry analysis and description of venture.

Objectives

By the end of this session, you should be able to:

(a) Give the outline of the introductory page of the business plan
(b) Explain the executive summary as the overview of the business plan
(c) Describe the industry analysis and the venture

Now read on…

4.1 Introductory Page

The introductory page is the title or cover page. It provides a concise summary of the content of he business plan. This page should contain the following:

1. The name and address of the company.

2. The name of the entrepreneur(s) and a telephone number.

3. A paragraph describing the company and the nature of the business.

4. The amount of financing needed.

5. A statement of the confidentiality of the report. This is for security purposes and is important for the entrepreneur.

This cover page sets out the key concept that the entrepreneur is seeking to develop.

4.2 Executive Summary

The executive summary of the business plan should be written by the entrepreneur after the total plan is prepared. About two pages in length, it should be concise and should summarize all of the relevant points of the proposed venture. That is, it explains the nature of the venture, financing needed, market potential, and support as to why it will succeed. A well–developed executive summary establishes a favourable first impression of the owner(s) and the business and succeed in securing financing.

4.3 Industry Analysis

This section seeks to put the new venture in a proper context. It discuses the industry outlook, which should include future trends and accomplishment of past objectives, and insight on new product developments in the industry. This section also should include an analysis of each major competitor in the industry, with appropriate strengths and weaknesses described, indicating particularly how they might affect the new venture's potential success in the market.

The profile of the venture's customers should be given. The market should be segmented and the target market for the entrepreneur identified. Figure 4.1 illustrates some of the key questions that should be considered by the entrepreneur.

FIGURE 4.1 Critical Issues for Industry Analysis

1. What are total industry sales over the past five years?
2. What is anticipated growth in this industry?
3. How many new firms have entered this industry in the past three years?
4. What new products have been recently introduced in the industry ?
5. Who are the nearest competitors?
6. How will your business operation be better than this?
7. Are each of your major competitors' sales growing ,declining , or steady?
8. What are the strengths and weaknesses of each of your competitors?
9. What is the profile of your customers?
10. How does your customer profile differ from that of your competition?

Source: D. Hisrich and P. Peters, *Entrepreneurship*, Irwin, 1995, p. 122.

FIGURE 4.2 Describing the Venture

1. What are your product (s) and /or service(s)
2. Describe the product(s) and/ or service(s), including patent, copyright, or trademark status.
3. Where will the business be located?
4. Is your building new? Old? In need of renovations? (If renovations needed, state costs etc.?)
5. Is the building leased or owned? (state the terms.)
6. Why is this building and location right for your business?
7. What additional skills or personnel will be needed to operate the business?
8. What office equipment will be needed?
9. Will equipment be purchased or leased?
10. What is your business background?
11. What management experience do you have?
12. Describe personal data such as education, age, special abilities, and interests?
13. What are your reasons for going into business?
14. Why will you be successful in this venture?
15. What development work has been completed to date?

Source: D. Hisrich and P. Peters, *Entrepreneurship*, Irwin, 1995, p. 123.

4.4 Description of Venture

This section of the business plan should deal with a detailed description of the new venture. This section should begin with a statement of the venture's general business goals and a definition of immediate objectives. Together, they should specify what the business plans to achieve, how, when, and who will do it.

Other key elements in this section are the location and size of the business, the personnel and office equipment that will be required, the background of the entrepreneur(s), and the history of the business. In describing the product and service, the entrepreneur should include a summary of any patents, trademarks, or copyrights protecting the product or service from infringement by competitors. A summary of some of the important questions that need to be answered by the entrepreneur when preparing this section is illustrated in Figure 4.2.

Refer to other texts for further information on the components of the business plan that have been discussed. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed the details of some of the various components of the business plan. This involves: introductory page, executive summary, industry analysis and description of venture.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 3.4

1. What is the introductory page of the business plan?
2. What is the executive summary of the business plan?

Did you score all? That's fantastic! Keep it up.

Refer to the last page of the book for answers to all SAQ items.

SESSION 5: WRITING THE BUSINESS PLAN III

Welcome to the fifth session of Unit 3. I suppose you have enjoyed all the basic issues of the business plan discussed so far in the previous sessions. That's great! I hope you will equally enjoy this topic.

This session discusses the third segment of writing the business plan. It focuses mainly on the details of the remaining components of the business plan. This involves: production plan, marketing plan, organizational plan, assessment of risk, financial plan and appendix.

Objectives

By the end of this session, you should be able to:

(a) Highlight the outline of the production plan of the business plan
(b) Explain the details of the marketing plan of the business plan
(c) Discuss the details of the organizational and financial plans
(d) Outline the components of risk assessment and appendix

5.1 Production Plan

A production plan for the new venture should be included in the business plan. This should describe the complete process of production (or manufacturing). If the manufacturing is to be undertaken in whole or in part by the entrepreneur, he or she will need to describe the physical plant layout; the machinery and equipment needed to perform the manufacturing operations; raw materials and suppliers' names, addresses, and terms; costs of manufacturing; and any future capital equipment needs.

If the venture is a retail store or service and not a manufacturing operation, this section would be titled "merchandising plan " and the purchasing of merchandise, inventory control system, and storage needs should be described. A summary of the key questions for this section of the business plan is illustrated in Figure 5.1.

FIGURE 5.1 Production Plan

1. Will you be responsible for all or part of the manufacturing operation?

2. If some manufacturing is subcontracted, who will be the subcontractor(s)? (Give names and addresses)
3. Why were these subcontractors selected?
4. What are the costs of the subcontracted manufacturing? (Include copies of any written contracts.)
5. What will be the layout of the production process? (Illustrate steps if possible.)
6. What equipment will be needed for manufacturing?
7. What raw materials will be needed for manufacturing?
8. Who are the suppliers of new materials and appropriate costs?
9. What are the costs of manufacturing the project?
10. What are the future capital equipment needs of the venture?

If a Retail Operation or Service

1. From whom will merchandise be purchased
2. How will the inventory control system operate?
3. What are storage needs of the venture and how will they be promoted?

Source: D. Hisrich and P. Peters, *Entrepreneurship*, Irwin, 1995, p. 125.

5.2 Marketing Plan

This section of the business plan describes how the product(s) or service(s) will be distributed, priced, and promoted. Definite forecasts for product(s) or service(s) should be indicated in order to project profitability of the venture.

5.3 Organizational Plan

This section of the business plan should describe the form of ownership of the business. If the business is a partnership, the terms of the partnership should be included . Also, a description of the form, shares, and inclusion of the résumés of the business officers and key directors of the company. It is also helpful for the entrepreneur to provide an organizational chart identifying the business's key positions and the personnel occupying them.

Some of the key questions the entrepreneur should answer in preparing this section of the business plan are summarized in Figure 5.2.

FIGURE 5.2 Organization Structure

1. What is the form of ownership of the organization?
2. If a partnership, who are the partners and what are the terms of agreement?

3. If incorporated, who are the principal shareholders and how much stock do they own?
4. What type and how many shares of voting or nonvoting stock have been issued?
5. Who are members of the board of directors? (Give names, addresses, and résumés)
6. Who has cheque-signing authority or control?
7. Who is each member of the management team and what is his or her background?
8. What are the roles and responsibilities of each member of the management team?
9. What are the salaries, bonuses, or other forms of payment for each member of the management team?

Source: D. Hisrich and P. Peters, *Entrepreneurship*, Irwin, 1995, p. 125.

5.4 Assessment of Risk

In view of the fact that almost every new venture will be faced with some potential risks, it is important to the entrepreneur to recognize these risks and prepare an effective strategy to deal with them. Key risks for a new venture might result from competitors' reaction; weaknesses in the marketing; production, or management team; and new advances in technology that might render the new product obsolete. It is also important for the entrepreneur to provide contingency plans and strategies should any of the above risk factors occur.

5.5 Financial Plan

The *financial plan* is one of the most important sections of the business plan. It determines the potential investment commitment needed for the new venture business and indicates whether the business plan is economically feasible. Three financial areas should be included in this section.

First, the entrepreneur should prepare the *projected income statement*, indicating the forecasted sales and the appropriate expenses, for at least the first three years, with the first year's projections provided monthly.

Secondly, the entrepreneur should carefully prepare the *projected cash flow* figures for three years, with the first year's projections provided monthly.

Finally, the *projected balance sheet* is also provided in this section of the business plan. This shows the financial condition of the business at a specific time. It is a summary of

the assets of the business, its liabilities, the investment of the entrepreneur and any partners, and retained earnings (or cumulative losses). It is important that any assumptions made for the balance sheet or any other item in the finance plan should be included for the benefit of the potential investor and lender. The potential investor and lender want to know how the entrepreneur derived forecasts for sales, cost of goods sold, operating expenses, accounts receivable, collections, inventory, and other such items.

5.6 Appendix

This section of the business plan normally contains any additional information that is not necessary in the document. Reference to any of the documents in the appendix should be made in the plan itself.

Refer to other texts for further information on the components of the business plan that have been discussed. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed the details of the final components of the business plan. This involves: production plan, marketing plan, organizational plan, assessment of risk, financial plan and appendix.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 3.5

1. Explain the production plan component of the business plan
2. What is the marketing plan section of the business plan?

Did you score all? That's fantastic! Keep it up.

Refer to the last page of the book for answers to all SAQ items.

SESSION 6: USING AND IMPLEMENTING THE BUSINESS PLAN

You are warmly welcome to the sixth session of Unit 3. I suppose you have enjoyed studying all the basic issues of the business plan discussed so far in the previous sessions. That's great! I hope you will equally enjoy this topic.

This session discusses the topic of using and implementing of the business plan. It focuses on four main issues: the importance of the business plan, measuring plan progress, updating the plan and why business plans fail.

Objectives

By the end of this session, you should be able to:

(a) Highlight the importance of the business plan
(b) Describe each of the control elements of the business
(c) Explain why it is necessary to update the business plan
(d) Discuss why some business plans fail

Now read on …

6.1 The Importance of Business Plan

The business plan is designed to guide the entrepreneur through the first year of operations. It is important that the implementation of the strategy contains control points to ascertain progress and to initiate contingency plans, if necessary. Some of the controls necessary in manufacturing, marketing, financing, and the organization are discussed in subsequent units. Most important to the entrepreneur is that the business plan should not end up in a drawer somewhere once the financing has been obtained and the business launched.

Planning is an important part of any business operation. It is important to realize that without good planning the employees will not understand the company's goals and how they are expected to perform in their jobs. In addition, the entrepreneur can enhance effective implementation of the business plan by developing a schedule to measure progress and to institute contingency plans. These frequent readings or control procedures will be discussed further below.

6.2 Measuring Plan Progress

During the introductory phases of the start-up, the entrepreneur should determine the points at which decisions should be made as to whether the goals or objectives are on schedule. Typically, the business plan projections will be made on a 12-month schedule. However, the entrepreneur cannot wait 12 months to see if the plan has been successfully achieved. Instead, on a frequent basis (i.e., the beginning of each month), the entrepreneur should check the profit and loss statement, cash flow projections, and information on inventory, production, quality, sales, collection of accounts receivable, and disbursements for the previous month. This feedback should be able to provide key members of the organization with current information in time to correct any major deviations from the goals and objectives outlined.

6.2.1 Description of Control Elements

A brief description of each of these control elements is given below (Hisrich and Peters, 1996):

- ***Inventory control*** – By controlling inventory, the firm can ensure maximum service to the customer. The faster the firm gets back its investment in raw materials and finished goods, the faster capital can be reinvested to meet additional customer needs.
- ***Production control*** – Compare the cost figures estimated in the business plan against day-to-day operation costs. This will help to control machine time, worker hours, process time, delay time, and downtime cost.
- ***Quality control*** – This will depend on the type of production system but is designed to make sure that the product performs satisfactorily.
- ***Sales control*** – Information on units, revenue, specific products sold, price of sales, meeting of delivery dates, and credit terms are all useful to get a good perspective of the sales of the new venture. In addition, an effective collection system for accounts receivable should be set up to avoid aging of accounts and bad debts.
- ***Disbursements*** – The new venture should also control the amount of money paid out. All bills should be reviewed to determine how much is being disbursed and for what purpose.

6.3 Updating the Plan

The most effective business plan can become out of date if conditions change. Environmental factors such as the economy, customers, new technology, or competition and internal factors such as the loss or addition of key employees can all change the direction of the business plan. Thus, it is important to be sensitive to changes in the company, industry, and market. If these changes are likely to affect the business plan, the entrepreneur should determine what revisions are needed.

6.4 Why Some Business Plans Fail

Generally, a poorly prepared business plan can be blamed on one or more of the following factors (Hisrich and Peters, 1996):

- Goals set by the entrepreneur are unreasonable.
- Goals are not measurable.
- The entrepreneur has not made a total commitment to the business or to the family.
- The entrepreneur has no experience in the planned business.
- The entrepreneur has no sense of potential threats or weaknesses to the business.
- No customer need was established for the purposed product or service.

Setting goals requires the entrepreneur to be well-informed about the type of business and the competitive environment. Goals should be specific and not so mundane as to lack any basis of control. For example, the entrepreneur may target a specific market share, units sold, or revenue. These goals are measurable and can be monitored over time.

In addition, the entrepreneur who has not made a total commitment to the business or to his or her family will not be able to meet the demands of a new venture.

Generally, a lack of experience will result in failure unless the entrepreneur can either attain the necessary knowledge or team up with someone who already has it. For example, an entrepreneur trying to start a new restaurant without any experience or knowledge of the restaurant business would be disastrous.

The entrepreneur should also document customer needs before preparing the plan. Customer needs can be identified from direct experience, letters from customers, or from marketing research.

Refer to other texts for further information on using and implementing the business plan that has been discussed. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that control decisions are presented to ensure the effective implementation of the business plan. We have also discussed the issue of why business plans fail.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 3.6

1. Why do you think it is important for the entrepreneur to have a business plan?
2. Itemise some of the control elements that should contained in a business plan.

Did you score all? That's fantastic! Keep it up.

Refer to the last page of the book for answers to all SAQ items.

UNIT 4: MANAGING RESOURCES

UNIT OUTLINE

Session 1: Nature and Types of Resources
Session 2: Operating Resources
Session 3: Informational Resources
Session 4: Human Resource
Session 5: Technological Resources
Session 6: Local Resource Mobilization

You are warmly welcome to this unit on resources. I guess you all know the importance of resources to both the entrepreneur and small business owner. Resources comprise stocks of knowledge, physical assets, human capital, and other tangible and intangible factors that a business owns and controls, and which enable it to produce efficient and/or effective market offerings. In this unit we will discuss the nature, types and importance of resources for small firms.

Unit Objectives

By the end of this unit, you should be able to:

a. explain the term 'firm resources'
b. describe the various types of resources
c. state four importance of firm resources
d. examine the fundamental consideration in choosing and improving facilities
e. explain how firms can mobilize local resources

Enjoy your reading…

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: MEANING AND NATURE OF FIRM RESOURCES

Firm resources are one of the most important ingredients for the survival of every firm. Firms usually take advantage of financial resources, access to markets, geographical locations, physical resources, employee efficiency, quality of customer service, uniqueness of products, and operations efficiency as basis for their competitive advantage. This session will examine briefly the nature, characteristics and types of resources available to the entrepreneur and small firms.

Objectives

By the end of this session, you should be able to:

a) define firm resources;
b) list the characteristics of firm resources;
c) state the qualities of a firm's competitive resources; and
d) mention and explain briefly the types of firm resources.

Read on…

1.1 Nature of Firm Resources

Wernerfelt (1984 p. 172) defined a resource as 'anything thought of as a strength or weakness of a given firm'. More formally, a firm's resources are those tangible and intangible assets that are tied semi-permanently to the firm. Included are intangible resources such as innovation, idea generation, human resources, quality of product or service, as well as tangible resources which cover equipment and location. Several researchers have attempted to develop various resource categorisation schemes for small firms (Edelman, Brush, and Manolova 2005). These groupings comprise physical and financial assets, as well as intangibles such as brand names, in-house knowledge, technology, employment of skilled personnel, trade contacts, and efficient procedures. In other words, resources can be classified into human and social capital, along with financial, physical, technological and reputation capital (Edelman, Brush, and Manolova 2005).

1.2 Characteristics of Resources

A stated earlier, a resource is anything that the entrepreneur/ small business owner and his or her supporters can use to pursue or expand a venture. It is not so much the resources (capital, people, organization and operating) that entrepreneurs have access to that matters but what they do with them. Thus, all resources share the following characteristics:

- they are consumed
- they can only be used once
- they are in demand and are competed for

- they have a value – a price tag
- markets exist for them

1.3 Attributes of a Strategic Resource

A firm is not able to implement its strategy without adequate resources. This means that a firm's resources substantially affect how its business model is used. For new ventures, strategic resources may be limited to the competencies of founders, the opportunity identified and the unique way they plan to service the market.

The resource-based perspective sees organisational processes (schemes for manipulating resources) and organisational learning (schemes for modifying and developing organizational processes) as value creating resources in their own right. This perspective holds that competitive advantage is created when firms possess and employ strategic resources that are valuable, rare, imperfectly imitable and non substitutable.

Valuable Resources
Resources are valuable because they exploit some environmental opportunity. They are valuable when they help the organization implement its strategy effectively and efficiently. This means that a valuable resource exploits opportunities or minimizes threats in the firm's environment.

Rare Resources
Resources are rare in the sense that there are not enough for all competitors. Valuable resources shared by a large number of firms cannot be a source of competitive advantage. Because of their widespread availability, they are not rare and they are easily duplicated. An example might be legal resources, either independent professionals or staff. Their major purpose is to minimize threats of litigation from a contentious environment. Clearly these are valuable resources in the sense that they neutralize a threat. But lawyers are not rare, and most if not all, firms have access to approximately the same legal talent (at a price). So, retaining legal counsel or building a corporate legal staff cannot be the source of an advantage, common resources like these may be necessary under certain conditions and may improve a firm's chance for survival, but they are not a source of competitive advantage.

Imperfectly Imitable Resources
Resources are imperfectly imitable when competitors cannot merely copy them. Firms with rare and valuable resources clearly have advantages over firms lacking such assets. Indeed, such strategic endowments often lead to innovation and market leadership. However, at some price even rare resources can be procured. If the price is so high that no profit is made, there is no competitive advantage because the procuring firm has spent its advantage on the resource. Where duplication is not possible at a price low

enough to leave profits, the resource is said to be imperfectly imitable (that is, it cannot be imitated).

Non-substitutable
These are resources that are non-substitutable with other resources. That is, common resources are strategically equivalent to the valuable and rare resources of other firms.

1.4 Types of Resources

There are various types of resources available to a firm. These are financial, physical, human, technological and organisational resources.

Financial Resources
Financial resources represent money assets and financial stocks. Financial resources are generally the firm's borrowing capacity, the ability to raise new equity, and the amount of internal fund generation. Access to capital markets at below-average cost is an advantage attributable to the firm's credit rating and previous financial performance. Various indicators of a venture's financial resources are its debt-to-equity ratio, its cash-to-capital investment ratio, and its external credit rating.

Physical Resources
Physical resources are the tangible property the firm uses in production and administration. This includes the firm's plant and equipment, its location, and the amenities available at that location. Some firms also have natural resources such as minerals, energy resources, or land. These natural resources can affect the quality of its physical inputs and raw materials.

Human Resources
Human resources cover the knowledge, training, and experience of the entrepreneur and his or her team of employees and managers. It includes the judgment, insight, creativity, vision, and intelligence of the individual members of an organization.

In addition, human resources include relationship capital. Relationship capital refers not to what the organization's members know but rather to who the organization's members know and what information these people possess. Also included in relationship capital are the organization's non-personal relationships-those that are either contractual or based on habit, custom, or tradition.

Technological Resources
Technological resources are embodied in a process, system, or physical transformation. These may include labs, research and development facilities, and testing and quality control technologies. Moreover, knowledge generated by research and development and

then protected by patents is a resource, as are formulae, licenses, trademarks, and copyrights. Technological secrets and proprietary processes are resources as well.

Organizational Resources

The term organizational resources ordinarily refer to the firm's formal reporting systems, its information-generation and decision-making systems, and formal or informal planning. Organizational resources include the firm's structure, routines, and systems.

The organization's structure is an intangible resource that can differentiate the organization from its competitors. A structure that promotes speed can be the entrepreneur's or owner-manager's most valuable resource. Organizational structures that separate the innovation from the production function speed up innovation, while those that separate marketing from production speed up marketing. The appropriateness of designs however, depends on the complexity and turbulence in the environment.

To sum up, this session discussed the nature of firm resources including its characteristics and attributes of a strategic resource. A description of the types of resources ended the session.

Search the internet for other classifications of firm resources.

Assess yourself by answering the questions below.

Self-Assessment Questions

Exercise 4.1

a. Define firm resource in your own words.
b. List three characteristics of firm resources
c. State the qualities of a firm's strategic resource
d. Mention and explain four types of resources

What was your score?

Good and keep it up.

Refer to the last page for answers to SAQ

SESSION 2: OPERATING RESOURCES

One of the major management areas for the small business owner is the selection, acquisition, use and control of operating resources. Many of the impersonal resources that management controls include premises, materials, machinery, equipment and systems. Decisions in the operations area account for a large proportion of the small firm's costs, and are reflected in measures of efficiency and performance. This session will look at the meaning of operating resources, some fundamental considerations in choosing and improving operating facilities and steps in the purchasing process.

Objective

By the end of this session, you should be able to:

a. define operating resource;

b. state some fundamental considerations in choosing and improving operating facilities;

c. enumerate the steps in the purchasing process.

2.1 Meaning and Nature of Operation Resources

Operating resources are those things actually used by the people who run the venture. Examples include premises, motor vehicles, production machinery, raw materials, storage facilities and office equipment.

The entrepreneur/small business owner must ensure that the venture has the right level and balance of operating resources. Too high a level or a wrong mix of operating resources means valuable capital is being used up unnecessarily. Too low a level or a wrong mix of operating resources means that the business cannot fulfill its potential. The entrepreneur should always consider the possibility of out-sourcing operating resources to help cash flow and gain flexibility, especially when demand is unpredictable.

2.2 Fundamental Considerations in Choosing and Improving facilities

Planning for the most effective use of space in a business environment can produce dramatic improvement in a firm's operating effectiveness and efficiency. In choosing and improving facilities some factors need to be considered.

i. Size of building

Firms must choose a building that is large enough to accommodate the business operations. There must be enough room for free movement of machines and men. Customers must have enough space to move to any section of the building.

ii. Construction and External Appearance

It is necessary for the building and external appearance to be unique and attractive. Such nice layouts and structures are able to win potential customers into the business. Loyal customers will also be proud to stay with the business. It is therefore necessary to seek expert opinion before locating operating facilities.

iii. Signs

These serve as a means of communication. It tells the public about the firm and what it is offering. Thus, signs happen to be the first contact between a business and prospective customers. To attract the right customers, the sign must be clear, unambiguous, and well positioned.

iv. Internal Appearance

Proper arrangement of facilities (machines and men), lighting, partitioning, etc. benefits both the firm and the employees. For the firm, it can create a good image as well as efficient utilization of space. For the employees, it serves as a source of motivation for them. Working in a clean environment reduces stress level. The use of creative lights can also attract some customers to a specific display. It is important to use the right colour combination in interior decoration.

List other factors that may influence the choice of operating facilities.

2.3 The Purchasing Process

Procuring materials is a key management function for any type of business. The importance of this role can be appreciated when one takes into account that an average manufacturing company spends about half of its income on supplies of raw materials and services. Thus the purchasing department will aim to provide a firm with a steady flow of materials and services while at the same time ensuring a continuity of supplies. Further, the department also aims to obtain the best value for money and will try to provide the best service at a lower cost.

The use of value analysis often makes it possible for considerable savings to be made, though a particular danger is that quality could be sacrificed for cost considerations. A successful purchasing department will keep its costs down, produce a fast stock turnover, reduce obsolescence, ensure a continuity of supplies and reduce lead times (the interval between the realization of a need and its ultimate fulfillment upon delivery). For example, just-in-time (JIT) is a system that related purchasing decisions and stock levels to current production needs. It involves working with the lowest possible stock levels, but at the same time making sure that materials are available when required, that they are of good quality and that they are fit for the purpose intended. Expert systems have recently been developed for the purchasing function. These systems can:

- analyse a problem (e.g. economic ordering levels)
- explain a process (e.g. documentation)
- make a choice (e.g. from a selection of suppliers)

2.3.1 Steps in the Purchasing Process

The general pattern for handling purchase orders is as follows:

a. A department initiates a request for goods or services and sends it to the purchasing department. The requisition include;

- A description of the item or material desired
- The quantity and quality necessary
- Desired delivery dates
- Who is requesting the purchase

b. Purchasing staff verifies that the specifications are complete and selects potential sources. The purchasing department must identify suppliers who have the capacity of supplying the desired goods. If no lists of suppliers are currently on file, new ones must be sought.

c. Purchasing staff follow good business practices in determining the best offer for required materials or services. Quotations are reviewed based upon:

- unit costs and total costs;
- completeness of the order and adherence to the specifications listed;
- delivery costs;
- delivery time; and
- warranties, maintenance, installation, etc., e.g., service.

d. When an order is awarded, it is faxed or mailed.

e. The invoice with the purchase order number noted on the invoice is sent to the Accounts Payable Department before a payment can be made.

Purchase Orders are normally accompanied by terms and conditions which form the contractual agreement of the transaction.
The Supplier then delivers the products/service and the customer records the delivery (in some cases this goes through a goods inspection process).
An invoice is sent by the supplier which is cross-checked with the purchase order and document specifying that the goods have been received.

Go on the internet and examine Ghana's procurement law

In this session, we have examined what is meant by operating resources and some factors to be considered in choosing operating facilities. The session ended with an evaluation of the purchasing process as it is related to acquiring operating resources.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 4.2

a. Define operating resources
b. List three types of operating resources
c. Mention four fundamental considerations in choosing operating facilities
d. Describe the steps in purchase process

Did you score above 8?

Excellent!!!!

Refer to the last page for answers to SAQ

SESSION 3: BUSINESS INFORMATIONAL RESOURCES

Information plays an increasingly critical role in today businesses, both as a resource and a commodity. The volume of information available to businesses has grown rapidly over the last thirty years, and the speed with which this information can be accessed has increased with the introduction of new communications technologies and sophisticated computers. However, these increases have not always been accompanied by a corresponding increase in the quality of information. In this session we will look at the different types of business information, and the sources of these information.

Objectives

By the end of this session, you should be able to:

a. define information
b. mention the types of business information
c. list sources of business information
d. discuss the importance of business information

Read on…….

3.1 Meaning of Business Information

Information as a concept bears a diversity of meanings, from everyday usage to technical settings. Generally speaking, the concept of information is closely related to notions of constraint, communication, control, data, form, instruction, knowledge, meaning, mental stimulus, pattern, perception, and representation. Business information is therefore, the knowledge of specific events or situations that has been gathered or received by communication, intelligence or news about business.

3.2 Types of Business Information

Business information is usually categorized in one of two ways. First, there are locations of information, with the most common distinction being between whether the information source is located within the firm or externally to it. Second, information can be categorized according to purpose. This is the most common classification, as companies which set out to gather information usually do so for some particular purpose. The following common categories of business information are examined.

a. Market Information

This is a huge and complex field, and market information is now a major commodity in its own right with firms ranging from advertising agencies to banks (as well as dedicated market research companies) competing to offer market information to firms. Market information can be as specific as an analysis of the way and pattern customers shop. Companies depend on market information for new product development, market planning, communications and advertising planning and export decisions as well as for broader strategic decisions. The nature of market information varies depending on the

purpose for which information is sought. Information is commonly sought on market size, market growth, consumer spending power and habits, consumer needs and behavior, and market share.

b. Competitor Information

It is important for a firm to gather enough information on its competitors as much as possible. Companies may, for example, wish to know where their competitors are, what they are doing and the performance of their firms. However, accurate competitor information is difficult to collect.

c. Macroeconomic and geopolitical Information

This might not directly affect businesses but has an indirect relationship with business activities. This kind of information can be crucial in long-term strategy planning. Information on recent developments in Ghana, for example, has helped companies make decisions on whether or not to enter the Ghanaian market. It is also worthy to note that foreign companies which were first to enter the Ghanaian market were those with the best and most reliable sources of information on political and economic changes.

d. Supplier Information

Often overlooked, supplier information is nonetheless a critical new development. Supplier information usually focuses on factors such as cost, reliability, quality and speed of delivery. It helps businesses to plan effectively its production activities. It is necessary to know whether the business will be able to get the necessary raw materials for production and whether suppliers can meet the lead time.

e. External financial Information

Companies, particularly large ones with sophisticated investments and / or complex financial structures, require a large range of information on issues such as currency rates, share price movements, capital market trends and the sources and types of finance.

f. Information on regulations and taxation

Companies need information on their regulatory environment to ensure compliance. Assessing the regulatory environment is also a useful exercise in advance of any decision to enter foreign markets. Information on tax regimes is important, again for compliance and also to determine the most tax-efficient mode of operation. For example, there may be tax incentives for locating production in one country and out of another where high tax regimes are about to be introduced.

There is also internal information that serves as important resource for small firms. Some of these internal information are:

a. Production information

This type of information is wholly internal to the firm. Manufacturing companies require information on factors such as production efficiency and throughput, cost, wastage and quality as well as machine efficiency. Production information enables a

firm to know whether production can deliver the volume and quality which marketing and sales have promised to the customer.

b. Human Resources Information

This is a grey area in current information management, while many firms have sophisticated market, competitor and production information systems, few have anything like as sophisticated a system for human resources information. Human resource information is usually focused on factors such as staff training and skill levels, staff morale and staffing costs.

c. Internal financial information

This category of information describes what is usually called the 'bottom line'. It includes basic balance sheet information on profit and loss and on assets and liabilities, as well as a wide range of financial ratios such as price/earnings ratio, wage/earnings ratio and productivity measures. Such information usually provides the basic picture of the company's financial health and profitability.

3.3 Sources of business information

Information sources can either be primary, gathered as a result of research or analysis instigated by the firm, or secondary, gathered from existing sources. In addition, information sources can be either internal or external to the firm.

Secondary sources of information are:

- Public, available to any researcher;
- Proprietary, owned by a particular company or institution (but possibly available in exchange for a fee);
- Subscription, a halfway house between public and proprietary in that the information is owned but is routinely made available and updated for a limited number of qualified subscribers.

Other sources of business information include:

- Government agencies
- Libraries
- Trade associations
- Private research and information companies
- Journals and newspapers
- Business information services
- Online databases

List the sources of business information for small firms in Ghana.

3.4 Importance of Business Information

Entrepreneurs and small business owners are decision makers and effective decisions are based on information. Entrepreneurs and small business owners must judge information needs against the decisions to be made in a firm. The balance of this judgment is between making uniformed decisions based on too little information or being so concerned with gathering information and interpreting it that no decision is ever made. The following are the importance of business information to small firms.

Information reduces risk. Information has a cost, however, this may be a direct cost (commissioned market research, for example) or simply a cost in time and effort in collecting and interpreting it. As with any other investment, the entrepreneur needs to be sure that the cost of gathering information will be repaid.

Records are a specialized form of information. Essentially, records are information produced consciously or as by-products of business activities or transactions and retained because of their value. Sound records management ensures that the integrity of records is preserved for as long as they are required. Records may be retained because of their business value, as part of the corporate memory of the organization or to meet legal, fiscal or accountability requirements imposed on the organization.

Business information enables firms to overcome some of the barriers to ineffective communication. Some of the barriers that can cause communication breakdowns are physical barriers resulting from people not getting to know each other, perceptual barriers because people view things differently, emotional barriers which are based on fear and lack of trust, cultural barriers from a lack of understanding, language barriers, gender barriers, and interpersonal barriers which are based on thoughts and feelings. Management needs to encourage effective communication but can only effectively do so by example. To communicate in the best interest of the organization, all parties have to understand each other and this can be achieve if information is disseminated to all members of the organisation.

Research on the importance of business information to small firms in Ghana.

In summary, all business processes depend to some extent on information in order to reduce risk in decision making and strategy formulation. It is therefore necessary for a business to get the right sources of information and also to be able to manage the information to the advantage of the organisation.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 4.3

a. Define business information
b. State four types of business information
c. Mention four sources of business information
d. Explain any two importance of business information

What was your score?

Good and keep it up.

Refer to the last page for answers to SAQ

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 4: HUMAN RESOURCE

Human resources include those organisational activities that are concerned with determining the quantity and quality of employees necessary to achieve its objectives. In this session, we will explain the nature of human resources, its importance and how an organisation can maintain its human resources.

Objectives

By the end of this session, you should be able to:

a. explain the meaning and nature of human resource
b. list the steps in the human resource management process
c. discuss the four C's model for evaluating human resources

4.1 Definition of Human Resource

Human resource is a term used to describe the combination of traditionally administrative personnel functions with performance management, employee relations and resource planning. The field draws upon concepts developed in Industrial/Organisational Psychology.

Human resource management is the strategic and coherent approach to the management of an organisation's most valued assets. That is, people working in the firm who individually and collectively contribute to the achievement of the objectives of the business. It deals with activities such as the planning of human resources, job analysis, recruitment, selection and induction. Other human resource management issues include compensation and fringe benefits, personnel appraisal, training and development, equity and work place health and safety.

In small firms this function is characterized by high levels of informality and is performed by the owner-manager who usually lacks training in formal human resource management. Because wages in the small firms sector are low, performance-based incentives are used to motivate employees. Also, job security is low in small firms and informal recruitment sources are preferred. The three most important human resource activities for small firms are the identifying function (human resource planning and job evaluation), obtaining function (pre-employment testing, recruiting and hiring) and retaining function (administering personnel records, payroll processing, health and safety compliance and vacation processing).

4.2 Steps in Human Resource Management

a. Human Resource Planning

This is designed to ensure that personnel needs' will be constantly and appropriately met and this is accomplished through analysis of

(i) Internal factors, such as current and expected skill needs, vacancies, and departmental expansions and reductions; and

(ii) Factors in the external environment, such as the labor market. The use of computers to build and maintain information about all employees has enabled organisations to be more efficient in their planning of human resources.

Human Resource planning has four basic aspects.

i. Planning for future needs by deciding how many people and type of skills the organisation will need
ii. Planning for future balance by comparing the number of needed employees to the number of present employees who can be expected to stay with the organisation
iii. Planning for recruiting or laying off employees
iv. Planning for the development of employees, to ensure that the organisation has a study supply of experience and capable personnel.

b. Recruitment

This is concerned with developing a pool of job candidates in line with the human resource plan. Candidates are usually located through newspaper and professional journal advertisements, employment agencies, word of mouth, and visits to college and university campuses.

Before employees can be recruited, recruiters must have some clear idea regarding the new employee's activities and responsibilities. Thus, job analysis is an early step in the recruitment process. Once a specific job has been analyzed, a written statement of its content and location is incorporated into the organisational chart. At the operative level, this statement is called the job description; at the managerial level, it is called a position description.

An organisation's ability to recruit employees often hinges on the organisation's reputation and the attractiveness of its location and the specific job offer. If the people with the appropriate skills are not available within the organisation or in the local labor pool, they may have to be recruited from competing organisations and/or from other sources.

c. Selection

This involves using application forms, resumes, interviews, employment and skills tests, and reference checks to evaluate and screen job candidates for the managers who will ultimately select and hire a candidate.

The organisation decides whether or not to make a job offer and how attractive the offer should be. The job candidate then decides whether or not the organisation and the job offer fit his or her needs or goals. There are some basic steps in an organisation's selection process.

i. Complete job application form - it indicates the applicant desired position and provides information for interview.
ii. Initial screening interview - this provides a quick evaluation of applicant's suitability. Here, questions are asked on experience, salary expectations, and willingness to relocate.
iii. Testing – it measures the applicant's job skills and ability to learn on the job. It involves the applicant's technical, conceptual, diagnostic skills.
iv. Background investigation – this checks the truthfulness of applicant's resume or application form. The organisation normally calls the applicant's previous supervisor for him to confirm information on the applicant.
v. In-depth selection interview – it finds out more about the applicant as an individual. Some organisations will sometimes conduct scenario simulation to check on the applicant's capability. It is often conducted by the manager to whom the applicant will report.
vi. Physical examination – this is normally done to ensure that the applicant is physically fit for the job for which he has applied. It seeks to also protect other employees against diseases, also protect the firm against unjust workers compensational claims.
vii. Job offer- this is where the job is finally handed over to the applicant. Under this stage some organisations will want the applicant to undergo some form of training either within or outside the organisation.

d. Socialization

This is designed to help the selected individuals fit smoothly into the organisation. Newcomers are introduced to their colleagues, acquainted with responsibilities, and informed about the organisation's goals, policies, and expectations regarding employee behavior.

Typically, socialization conveys three types of information;

i. General information about the daily work routine
ii. A review of the organisation's history, purpose, operations and products or services, as well as how the employees job contribute to the organisations needs.

iii. A detailed presentation of the organisation's policies, work rules and employee benefits.

e. Training and development

Training and development aims to increase employee's ability to contribute to organisational effectiveness. Training is designed to improve skills in the present job and facilitate employee promotion.

Managers can use four procedures to determine the training needs of individuals in the organisation.

i. Performance appraisal – here each employees work is measured against the performance standard established by the organisation for his or her job.
ii. Analysis of job requirement – the skills and knowledge specified in the job description are examined and employees who fall short of those skills become candidate for the training program.
iii. Organisation analysis – the effectiveness of the organisation and its success in meeting its goals are analyzed to determine where difference exists. Where there are differences, these departments become target for the training program.
iv. Survey of human resource – normally the supervisors of the organisation surveys the type of human resource that they have and make recommendations on the type of training that they need.

f. Performance Appraisal

This compares an individual's job performance to standards or objectives developed for the individual's position. Low performance may prompt corrective action, such as additional training, a demotion, or separation, while high performance may merit a bonus or promotion. Although an employee's immediate supervisor will perform the appraisal, the HRM department is responsible for working with upper management to establish the policies that guide all performance appraisals.

Performance appraisal is one of the manager's most important tasks, but most managers freely admit it gives them difficulty. Apart from the tendency to judge subordinates, there are a number of other pitfalls that mangers must avoid.

i. Shifting standards – some manager's rate subordinates using different standards and expectations. A low performing but motivated employee for example, might be rated higher than a top performing but seemingly indifferent employee. To be effective, the appraisal method must be perceived by subordinates as based on uniform, fair standards.
ii. Bias – some managers allow their personal biases to distort ratings. This bias may be gross prejudice regarding sex, color, race or religion, as well as personal characteristics, such as age, style of clothing, or political viewpoint. An

increasing number of organisations try to deal with this problem by requiring documentation or explanations for rating reports.

iii. Different rater patterns – managers (like teachers) differ in their rating styles. Some managers rate harshly, others easily. The lack of uniform rating standards is unfair to employees, who can become confused about where they stand; it is also unfair to the organisation, since it makes it difficult to decide which employees should be rewarded. Differences in rating patterns can be reduced through precise definitions of each item on the rating form.

iv. The halo effect – there is a common tendency, known as the halo effect, to rate subordinates high or low on all performance measures based on one of their characteristics. For example, an employee who works late constantly might be rated high on productivity and quality of output as well as on motivation. Similarly, an attractive or popular employee might be given a high overall rating. Rating employees separately on each of a number of performance measures and encouraging raters to guard against halo effect are two ways to reduce this problem.

g. Promotions, Transfers, Demotions, and Separations

These reflect an employee's value to the organisation. High performers may be promoted or transferred to help them develop their skills, while low performers may be demoted, transferred to less important positions, or even separated. Any of these options will, in turn, affect human resource planning.

4.3 The Four C's Model for Evaluating Human Resources

To evaluate the effectiveness of the HRM Process within an organisation, the Harvard researchers have proposed a four C's model for human resources outcomes: commitment, competence, congruence, and cost effectiveness. It is hoped that managers will develop creative solutions to human resources problems when they address questions related to the four C's during the HRM evaluation. The following are issues covered under the four C's model.

i. Competence – how competent are employees in their work? Do they need additional training? Assessment centers and performance evaluations by mangers can help a company determine what talent it has available.

ii. Commitment – how committed are employees to their work and organisation? Surveys can be conducted through interviews and questionnaires to find answers to this question. Additional information can be gained from personnel records about voluntary separation, absenteeism, and grievances.

iii. Congruence – is there congruence, or agreement, between the basic philosophy and goals of the company and its employees? Incongruence can be detected in the frequency of strikes, conflicts between managers and subordinates, and

grievances. A low level of congruence results in low levels of trust and common purpose; tension and stress between employees and mangers may increase.

iv. Cost effectiveness – are HRM policies cost-effective in terms of wages, benefits, turnover, absenteeism, strikes, and similar factors?

To sum up, this session explained the nature and definition of human resources and human resource management. This was followed by an analysis of the steps in the human resource management process. Finally, the four C's for evaluating human resources in an organisation were discussed.

Visit a small firm and interview the owner-manager on how he/she performs the human resource function.

Assess yourself by answering the questions below.

Self-Assessment Question
Exercise 4.4

a. Define human resource using your own words
b. Mention and explain the steps in human resource
c. List some of the drawbacks of performance appraisal
d. Explain the four C's model for evaluating human resources
e. State two reasons for the training and development of employees.

Did you score above 10?

Excellent!!!!

Refer to the last page for answers to SAQ

SESSION 5: TECHNOLOGICAL RESOURCES

The challenge for most firms is that their customers and suppliers demand enhanced technological capabilities. Thus, with the introduction of micro computers, file servers and networks, coupled with changes in the global environment, small firms have to look to new directions of development to meet the current industrial context characteristics i.e. the changes in demand specifications. Needs for equipment flexibility, quality control and products electronisation are becoming the order of the day. This session will examine technological resources, the types and their importance to business activities.

Objectives

By the end of this session, you should be able to:

a. define technological resources
b. list the types of technological resources
c. discuss two importance of technological resources to small firms.

Enjoy the session……..

5.1 Meaning of Technological Resources

Technology is the branch of knowledge that deals with industrial arts, applied science, and engineering and a process, an invention, or a method. A technological resource is therefore anything thought of as a strength or weakness of a given firm in the areas of pure invention and process innovation.

5.2 Types of Technological Resources

Technological resources are generally classified into seven categories. These are discussed below.

People

The most important resource people have, are ideas and skills. This is because people do the work, make the products and services, and buy them, pollute the environment and sometimes clean it up.

Information

Information is a commodity (product) that is bought and sold, given away and traded for other information. Information is essential to technological problem solving. Sources range from books to the internet.

Knowledge

Knowledge is built by the individual (or group) as a consequence of practical experience through doing and by acquiring and internal processing of information. It is constructed by the individual or person and is not the same as just information, since it also encompasses

technical know-how and skills. Design teams collectively bring different kinds of knowledge to the process. Knowledge exists only in people's minds.

Time

Time is a critical resource. An hour, a day, a week or a month will dramatically affect what can be done. Knowing how much time is available allows for budgeting of time. If there are 2 days and 15 tasks to be done, they need to be scheduled with appropriate sequencing and amounts of time.

Tools and Machines

Traditionally, tools and machines have been physical devices. A tool was a simple device and a machine was a complex device with many subsystems and parts. The descriptions seem to have evolved to include computers as machines and software as tools. Associated with the selection and use of tools and machines are technical skills. Technical skills often involve several components. One is the know-how and ability to use the tool and the other is the know-how and ability to apply it to a useful purpose. For example, knowing how to use a music editing program is not the same as knowing how to write music.

Materials

Materials are generally consumed in the process of solving technological problems. Materials may be naturally occurring like wood or cotton, they may be synthetic like nylon or polyethylene, or they may be some composite of natural and synthetic like the 'marble' that is used to construct bathroom vanities.

Money

Money is, of course, an essential resource. Money is required for all other resources, either in the form of previous expenditures (where existing tools are being used) or for new expenditures (where new resources must be obtained).

5.3 Importance of technological Resources

Technology resources serve as a tool to help run a business. This is because small firms are now adaptive and hence, applying technological expertise to other industry segments. For example, patents initially developed for the automotive industry are being applied to the medical industry. They're inserting GPS-like systems into the human body so that, should a medical emergency occur, a care provider can dispatch someone to the person's aid whether he or she is capable of asking for help or not. These systems have been available in cars for years, but now they are being leveraged in new and creative ways.

Technological resources also enable a firm to sustain its competitive advantage. These resources if covered by patents make it difficult for competitors to imitate. Thus firms that possess proprietary technological resources are able to maintain their competitive advantage.

With increases in competition on the global markets, information and communications technology has surpassed its traditional role (word processing), and now plays a more central role in small businesses. The general trend away from costly mainframe computing with in-house development towards cheaper, user friendly, standard software packages means that sophisticated tools are becoming increasingly available to small firms. Small firms now use information and communications technology as tools for accounting, budgeting, word processing, inventory control and spreadsheet analysis.

List two disadvantages of technological resources in small firms.

In summary, this session examined one of the most important resources for small firms; technological resources. It begun with its definition followed by a brief description of the types of technological resources. The session ended with a discussion on the importance of technological resources to small firms.

Assess yourself by answering the questions below.

Self-Assessment Questions

Exercise 4.5

a. What is technological resources
b. Mention five types of technological resources.
c. Explain two importance of technological resources.

What was your score?

Good!!

Refer to the last page for answers to SAQ

SESSION 6: RESOURCE MOBILIZATION

Local resources can significantly contribute to national development if it is well harnessed. By identifying and using a full range of local resources, entrepreneurs and small business owners can help build partnerships among public, private, and government sectors and render social responsibility to the community in which they serve. There are a lot of local resources that are left untapped or underused. In this session, we will discuss how we can tap and efficiently and effectively use these local resources for business operations.

Objectives

By the end of this session, you should be able to:

a. explain how to assess local resources
b. develop strategies for mobilizing local resources
c. devise strategies for utilising resources

6.1 Assessing Local Resources

Every local setting has resources that entrepreneurs can use to improve their businesses. Before entrepreneurs can benefit from these local resources, however, they need to take some preparatory steps.

a. Identify and prioritize resource needs.

To identify what will help small firms better fulfill their mission and succeed in project implementation, they need to collect information on resources from various sources, including organizational and program documents, staff, and clients.

b. Conduct a local resource assessment

Many local sources of support are probably commonly known or can be easily identified by small businesses, their employees, or members of the local community. As firms collect this information, they should match what they find with what they need.

c. Develop simple profiles of potential sources of support

On a piece of paper or a card, firms should compile the following information for each potential source: name of organization or individual, key contacts, types of resources offered, what is required in exchange for the resources, and the cost to the business in meeting the exchange requirements.

d. Match appropriate resources with your organization needs

Weigh the costs and benefits of resources against the firm's mission. The selection of appropriate resources should be based on need and efficiency.

6.2 Mobilizing Resources

In mobilizing resources, firms need to consider the following;

a. Think beyond money
Firms should find ways to use every available resource required for the business. They should not assume additional financial resources are needed and get past the response "we do not have the money to do that." This is often used as a substitute for creative thinking.

b. Get people to connect with the work being done
Conduct site visits with potential stakeholders to encourage them to invest resources. Share the goals, objectives, and status of the business with stakeholders and the community.

c. Be cost-effective
Look for ways to keep costs low and limit administrative costs to make resources go further. Capture resources that complement what the firm is already doing. Only accept resources that add more value than they cost.

d. Build local skills
Implement cost-effective training programs. For example, in "cascade training," previously trained volunteers provide training to other volunteers, who train still more volunteers.

e. Keep records
Document experience to help others access mobilized resources and to encourage additional contributions. Quantify cash and in-kind contributions from different sources to demonstrate increased sustainability.

f. Stay in line with your mission
Seek resources that further organization's mission and goals, support long-term activities, and extend the reach of farm's activities.

g. Diversify sources of support
Firms will be less vulnerable if they have many sources of support, so that if one source is discontinued, they can fall back on others.

6.2.1 Developing Strategies for Mobilizing Local Resources

Before a firm begins to mobilize resources, it should ensure that it has the staff needed to plan, implement, monitor, and evaluate this effort. If it does not, the organization may need to train current staff, hire additional staff, or find partner organizations whose areas of expertise complement its own.

When a firm has assessed local resources and is working to increase community awareness of its services, it can decide which strategies to use to mobilize local resources. Some of the strategies that have worked in businesses around the world include:

• gaining the commitment of influential local individuals and groups;
• securing resources from local governments (venture capital)
• obtaining resources to procure and manage essential business activities
• mobilizing private-sector resources; and
• charging client fees to those who can afford to pay

6.3 Resource Utilisation Strategy

Successful entrepreneurs have a way of looking at resources compared to managers. This is reflected in one of the definitions of entrepreneurship; 'The process of creating and seizing an opportunity regardless of the resources currently controlled'. Entrepreneurs seek to use the minimum possible amount of all types of resources at each stage in the ventures growth. They seek to control resources rather than own them. Thus, entrepreneurs are advised not to own and control resources that are not of strategic importance. Advantages for controlling resources include:

Less capital
The amount of capital required is simply small, thereby reducing the financial exposure and the dilution of the founder's equity.

Flexibility
Entrepreneurs who do not own resources are in a better position to commit and decommit quickly.

Low sunk cost
Sunk costs are lower if the firm exercises the option to abort the venture at any point. Lower costs; fixed cost are lowered thus favoring affecting break even.

Reduced risk

In addition to reducing total exposure, other risks such as the risk of obsolescence of resource are lower.

However it must be noted that if strategic resources are never owned and controlled then no:

- Competitive advantage can be obtained
- No rents can be collected and if rents are raised it will create a cost push squeeze to the entrepreneur.

Entrepreneurs call upon a number of control mechanisms to co- ordinate the activities of their organisations and direct the use of resources. These include the following:

- direction and delegation of tasks;
- setting up of routines and standardised procedures;
- guiding action through strategic goals and frameworks;
- creating an organisational culture;
- leading through visionary management.

The mix of these control mechanisms will depend on the entrepreneur's personal style, the structure and stage of development of the organisation, the organisational groups being directed and the nature of the tasks facing the organisation.

Summary

Resources abound in our local communities and most of these resources are under-utilized by entrepreneur. Remember that the entrepreneur is supposed to make use of all available resources as tapping resources in communities tend to be cheaper than getting them from outside.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 4.6

a. Mention some of the untapped resources in your community. How can you tap them?
b. List three advantages for controlling resources rather than owning them.
c. Mention four factors to be considered when mobilizing resources.

Were you able to try the exercises?

Keep it up.

Refer to the last page for answers to SAQ

UNIT OUTLINE

Session 1: The Nature of Marketing
Session 2: Marketing Research
Session 3: Marketing Strategy
Session 4: Target Marketing
Session 5: Product and Price Strategies
Session 6: Place and Promotion Strategies

You are warmly welcome to Unit 5 of the Entrepreneurship module. So far we have looked at two of the four critical elements of small business management – operations management and human resources – in the pervious units. We suppose you have understood and enjoyed everything discussed so far. We are now going to consider another critical element of the process for small business management, which is managing small business marketing. We hope you will equally enjoy it.

We wish you a fruitful encounter in this unit. Good luck!

Objectives

By the end of this unit, you should be able to:

(1) Discuss the significance of the marketing concept;
(2) Explain the role of marketing research in identifying customers needs;
(3) Highlight the importance of marketing strategy;
(4) Outline the process of target marketing;
(5) Describe the elements of the product and price strategies; and
(6) Explain the importance and roles of distribution and promotion in marketing.

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 1: THE NATURE OF MARKETING

Welcome to the first session of Unit 5. I hope you have understood and appreciated the importance of distribution (i.e. place) discussed in the previous unit. We now move on to consider the role of marketing in the operations of small businesses. I hope you will equally enjoy reading it.

This session discusses the meaning of marketing, the importance of marketing and the marketing mix. It also looks at the philosophy known as marketing concept.

Objectives

By the end of this session, you should be able to:

(a) define marketing
(b) highlight the importance of marketing
(c) describe the elements of marketing mix

Now read on……

1.1 Meaning of the Marketing

Marketing may be regarded as the process of creating and delivering desired goods and services to customers and involves all of the activities associated with winning and retaining loyal customers. The marketing function permeates the whole organization, affecting every aspect of its operation. Operating in the highly competitive business world, the small business manager would need to understand the importance of developing relevant marketing strategies.

1.2 Importance of Marketing

In a small business, the marketing function cuts across the entire company, affecting every aspect of its operation as well as the company's ultimate success. As competition for customers becomes more intense, small business owners need to understand the importance of developing creative marketing strategies; their success and survival depend on it (Zummerer and Scarborough, 2005). Although they may be small, entrepreneurial companies can creatively develop effective marketing strategies, just like their larger competitors.

1.3 The Marketing Mix

The marketing mix entails the specific combination of interrelated and interdependent marketing activities in which an organization engages to meet its objectives. The basic elements of the marketing mix are: product, place (distribution), price and promotion. These are commonly referred to as the four Ps of marketing. They are also called the controllable variables of marketing, because they can be controlled and manipulated by the marketer.

1.3.1 Product

The term product refers to what the business offers to its prospective customers or clients. It may be a good, service or idea that offers a bundle of tangible and intangible attributes to satisfy consumers.

The quality of a product is capable of wide variation, according to the inputs specified for its production. For example, how it is designed, choice of materials, method of manufacture, how it is packaged.

1.3.2 Price

Price is refers to the amount of money, or sometimes goods or services, given in exchange for something. In other words, price is what is exchanged for the product.

Marketers must determine the best price for their products. To do so, they must ascertain a product's value, or what its is worth to consumers. Once the value of a products it established, the marketer knows what price to charge. However, because consumers evaluations of a products worth change overtime, prices are subject to rapid change (Zikmund, and D'Amico, 1996).

Generally, the price at which a product may be sold is dependent on its production costs, plus distribution costs, plus the margin of profit that the company requires to achieve an acceptable return on the capital invested in the business.

1.3.3 Place

Place (or distribution) is an element of the marketing mix involving all aspects of getting products to the consumer in the right location at the right time.

The place where the product should be made available must depend largely on what is considered to be most convenient to customers. The choice for channels of distribution for the product will vary widely (via wholesaler to retailer, direct to retailer, direct to customer via agents or mail orders).

1.3.4 Promotion

Marketers need to communicate with consumers. Promotion it the means by which marketers talk to existing customers and potential buyers. Promotion may convey a message about the company, a product, or some other element of the marketing mix, such as the new low price being offered during a sale period

The methods by which a firm may promote a product includes the various forms of advertising, sales promotion, the use of exhibitions, competitions, point of sale display and personal selling. The relative cost and effectiveness of these different forms of promotion vary considerably.

1.4 The Marketing Concept

Ashouston (1986) points out, the marketing concept is central to all effective marketing thinking, planning and action. The marketing concept is the idea that organizations should focus on satisfying consumers' wants and needs. It relates marketing to the company's overall purpose and requires of management and employees to do three things. These are:

1. To be consumer – oriented in all matters' from product development to honouring warranties and service contracts.
2. To stress long – run profitability rather than short – term profits or sales volumes.
3. To integrate and coordinate marketing functions and other corporate functions.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 5.1

1. What is marketing?
2. What is the marketing mix?

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 2: MARKETING RESEARCH

Welcome to Session 2 of Unit 5. Did you follow what was discussed in the previous session? I suppose you did. Having understood what marketing is about and the importance of it, we proceed to look at the marketing research process. I hope your will equally enjoy going through it.

This session discusses mainly the various phases involved in the process of marketing research beginning with the sender and ending with the receiver.

Objectives

By the end of this session, you should be able to:

(a) explain the process of marketing research;

(b) identify the different stages involved in the marketing research process,

Now read on……

2.1 The Nature of Marketing Research

Shifting patterns in age, income, education, race, and other population characteristics (i.e. demographics) would have a significant impact on companies, their customers, and the way they do business with those customers. Businesses that ignore demographic trends and fail to adjust their strategies accordingly run the risk of becoming competitively out-dated.

Small companies that identify demographic trends early and act on them can gain a competitive advantage in the market. Marketing research is a medium for gathering the information that serves as the foundation for the marketing plan. It is logically collecting, analysing, and interpreting data, which is relevant to the small business' market, customers, and competitors. Among other things, market research often uncovers unmet needs in the market that the owner can take advantage of.

2.2 The Value of Marketing Research

By undertaking some basic marketing research, small firm owners could detect key demographic trends. Obviously, all businesses could benefit from a better understanding of their markets, customers, and competitors.

In spite of the many benefits of marketing research, an increasing number of small businesses fail each year because their owners neglect to do research to identify the features and needs of the markets they are seeking to reach. The consequence is poor locations, improper product lines, inappropriate prices, and misaligned marketing strategies that eventually lead to failure.

The typical small business owner would find the match between their product or services and the appropriate market segments by means of market research.

2.3 Conducting Marketing Research

The goal of marketing research is to minimise the risks associated with making business decisions. Successful marketing research involves four steps:

1. Define the specific nature of the problem to be investigated.
2. Collect data from available sources.
3. Analyse the data and interpret the results.
4. Draw conclusions.

2.3.1 Defining the Problem

The first step in the marketing research process is defining the research problem clearly and briefly.

2.3.2 Collecting the Data

Successful marketing requires access to the right data. It is the basis on which an appropriate marketing campaign is built. Small business owner-managers have two main sources for collecting the right data: internal and external.

i) Internal data

The first place that the existing business owner should look for marketing information would be his or her own business records. Sales records, mailing lists, complaint files,

and other records could offer important information. For example, a business owner might realise that he or she could define his or her firm's trading area and pinpoint their customers from the addresses on cheques and sales receipts.

ii) External data

If need be, the small business owner would also need to turn to external data, the two sources of which are secondary and primary.

Secondary data are made up of information that already exists somewhere, having been collected for another purpose. Sources of secondary data include census reports, magazines, trade publications, advertising media, local colleges, trade associations, etc.

Primary data involve information collected for the specific purpose at hand. The various methods used for the data collection include: personal interviews, telephone interviews, mail surveys, or focus groups.

i) *Personal interviews* involve an interviewer asking respondents questions face-to-face. They are ideal for collecting complex information and can be longer than telephone or mail questionnaires. They are the most expensive method, though, and the interviewer may influence the results.
ii) *Telephone interviews* are the best method for gathering information quickly and it provides greater flexibility than mail questionnaires. Because they are less personal than face-to-face interviews, respondents often answer more confidential questions. However, the cost per respondent is higher than with mail questionnaires.
iii) *Mail surveys* are less expensive compared with the other methods, and they are convenient for the respondents, who could answer at their convenience. However, the researcher has no control over who actually answers the questionnaire. The biggest disadvantage is the low response rates.
iv) A *focus group* consists of eight to ten respondents who meet for an unstructured, free-flowing conversation with a moderator. The moderator guides the group's discussion, but individuals are free to express their true likes, dislikes, and anxieties. Researchers watch the respondents' body language for additional clues during the conversation.

2.3.3 Analysing and Interpreting the Data

The results of the research should be evaluated and interpreted, that is, meaning attached to them, in response to the research objectives that were specified in the first step of the research process.

There are no hard-and-fast rules for interpreting market research results; the owner would need to use judgment and common sense to determine what the numbers mean. Generally, summarising the answers to questions would offer some preliminary insights. Then data can be cross-tabulated in order to provide more focused results.

2.3.4 Drawing Conclusions

Based on the understanding of what the facts really mean, the owner would then need to decide how to use the information in their business. The market research process would not be complete until the business owner acted on the information collected.

Refer to other texts for further information on the topic discussed. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that marketing research is the process of collecting, analysing and interpreting data about the market, customers and competitors. All businesses can benefit from a better understanding of their markets, customers and competitors.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment questions

Exercise 5.2

1. What is marketing research?
2. Identify the main activities involved in the marketing research process

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

SESSION 3: MARKETING STRATEGY

You are warmly welcome to the third session of Unit 5. I suppose you understood and appreciate the role and importance of marketing research in the marketing operations of organizations. With this understanding we now move on to consider the various aspects of the marketing strategy.

This session focuses mainly on the meaning and types marketing strategy.It also deals with the significance of market segmentation.

Objectives

By the end of this session, you should be able to:

(a) define marketing strategy
(b) identify the basic marketing strategies
(c) explain market segmentation

Now read on…

3.1 Meaning of Marketing Strategy

Marketers need to develop strategies calculated to help them attain the objectives they seek. A marketing strategy consists of a plan identifying what marketing goals and objectives will be pursued and how they will be achieved in the time available. A strategy involves commitment to certain courses of action and allocation of the resources necessary to achieve the identified goals.

3.2 Choosing a Marketing Strategy

There are many marketing strategies that a small business could use to establish a competitive edge, which include the following: market penetration, market development, product development

3.2.1 Market penetration

A market penetration strategy seeks to increase sales of existing products in current markets through greater selling and advertising efforts and is feasible for many small businesses.

3.2.2 Market development

A market development attempts to increase sales by introducing existing products or services into new markets.

3.2.3 Product development

A product development strategy tries to raise sales by adding new goods or services to existing markets. These new products may be modifications of existing items or entirely new ones.

3.3. Market Segmentation

A market segmentation strategy seeks to segment the mass market, that is, subdivides it into smaller, more homogeneous segments. This affords an opportunity to attack each segment with a specific marketing strategy designed to maximize the effectiveness of the marketing effort.

To segment a market successfully, a small business owner would need to perform the following:

i) Identify the characteristics of two or more segments. Effective segmentation calls for the firm to differentiate among its customers on the basis of their traits, personalities, buying patterns, or some other characteristics.

ii) Verify that the segments are large enough and have adequate purchasing power to generate a profit for the firm. Segmentation would not be useful if the firm could not profit from serving its segments.

iii) Reach the market. To be profitable, the firm's market segment must be accessible.

Refer to other texts for further information on the topic discussed. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that a strategy entails commitment to certain courses of action and allocation of the resources necessary to achieve the identified goals. Small business can use such marketing strategies as market penetration, market development and product development.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment questions

Exercise 5.3

1. What is a marketing strategy?
2. Identify the basic marketing strategies that small businesses can adopt.
3. Explain market segmentation

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 4: TARGET MARKETING

Welcome to the fourth session of Unit 5. I suppose you understood and enjoyed what was discussed on marketing strategy in the previous session. That's good! I hope you will equally enjoy the topic we are going to look at now.

This session discusses target marketing. It focuses mainly on the meaning and importance of target marketing and steps in the target marketing process.

Objectives

By the end of this session, you should be able to:

(a) explain the meaning and importance of target marketing
(b) outline the three main steps involved in target marketing
(c) describe the activity of market segmentation
(d) distinguish between market targeting and market positioning

Now read on…

4.1 Meaning and Importance of Target Marketing

In ***target marketing*** the seller identifies market segments, selects one or more of them and develops products and marketing mixes tailored to each of them. One of the fundamental objectives of market research is identifying the small business's target market; that is, the specific group of customers at whom the firm aims its products. Majority of marketers argue that the greatest marketing mistake made by small businesses is failure to define clearly the target market to be served. This is against the assumption that small businesses are ideally suited to reaching the market segments that their larger competitors overlook or consider too small to be profitable.

4.2 Steps in Target Marketing

The three main steps in target marketing are: market segmentation, market targeting and market positioning (Kotler et al, 1996). We explain each of these steps next.

4.2.1 Market Segmentation

Owners of small businesses have limited resources to spend on marketing activities. Concentrating their marketing efforts on one or a few key market segments is the basis of target marketing. The major ways to segment a market are:

- **Geographic segmentation** involves dividing the market into different geographic units such as nations, regions, states, cities, countries, or neighbourhood.
- **Demographic segmentation** involves dividing the market into groups based on such variables as age, gender, family size, family life cycle, occupation, income, religion, education, race and nationality.
- **Psychographics segmentation** divides buyers into different groups based on social class, life style or personality characteristics.
- **Behavioural segmentation** divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product.

4.2.2 Market Targeting

The market segmentation process reveals the company's market segment opportunities. The company then has to evaluate the various segments and decide how many and which ones to target. ***Market targeting*** involves selecting which segments in a market are appropriate to focus on and designing the means of reaching them.

In deciding which and how many segments to serve, after evaluating different segments, the company would be dealing with the issue of **target - market selection**. The company can adopt one of three ***market coverage strategies***:

- **Undifferentiated marketing strategy.** A company using ***undifferentiated marketing strategy*** might decide to ignore market segment differences and go after the whole market with one product offer.
- **Differentiated marketing strategy.** Using a ***differentiated marketing strategy***, a company would decide to target several market segments and design separate offers for each.
- **Concentrated marketing** (or **niche marketing**). ***Concentrated marketing*** involves development of a marketing mix and direction of marketing efforts and resources to appeal to a single market segment. Concentrated marketing strategy is deemed ideal for small new businesses to get established against larger competitors.

4.2.3 Market Positioning

A product's ***position*** is regarded as the way the product is defined by consumers on important attributes - the place the product occupies in consumers' minds relative to competing products. Thus, ***product positioning*** involves the use of a carefully selected marketing mix to make a target market see a product as meeting important wants and needs. It is an attempt to direct customers' perceptions about a product's attributes in a way that would suit the marketer's marketing strategy.

Refer to other texts for further information on target marketing. Record your notes in your jotter for face-to-face discussion.

In summary, we have discussed that in target marketing the seller identifies market segments, selects one or more of them and develops products and marketing mixes tailored to each of them. The three main steps in the target marketing process are: market segmentation, market targeting and market positioning

I hope you have enjoyed going through this session. That's good!

Now assess your understanding of this session by answering the self-assessment questions set out below.

Self-Assessment questions

Exercise 5.4

1. What is target marketing?
2. Outline the main steps involved in target marketing.

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 5: PRODUCT AND PRICE STRATEGIES

You are warmly welcome to the fifth session of Unit 5. I suppose you have understood and appreciated the subject for discussion in the previous session. That's great! An equally important related topic is managing the marketing mix, which is our focus of discussion in this session and next. I hope you will equally enjoy studying it.

This session first explains the marketing mix concept. It then focuses on product: the meaning and roles of product, the product life cycle, new product development and packaging. It finally discusses the price strategy: the nature of price and approaches to pricing.

Objectives

By the end of this session, you should be able to:

(a) explain the meaning of the marketing mix;
(b) describe the different types of products;
(c) outline the stages of the product life cycle; and
(d) discuss the common approaches to pricing adopted by small firms.

Now read on…

5.1 The Marketing Mix

The key factors of a marketing strategy are the four Ps of marketing, namely, product, price, place, and promotion. These four factors are referred to as the *marketing mix*. These four variables, when coordinated, would increase the sales appeal of a product or service. Small business managers would need to try to integrate these variables in order to maximize the impact of their product on the customer.

5.2 Product

A *product* is basically anything that is offered to the marketplace. It can be a physical item, or an intangible service, or a mixture of both. Thus a product is any item or service that satisfies the needs of customers.

5.2.1 Product Classification

Products might be categorized in terms of who purchases them and what their intended use is.

- *Consumer products* are goods and services purchased for final consumption by people. These products are purchased frequently, and they include cars, clothing, and appliances bought for personal use.

- *Industrial products* are purchased by businesses for use directly in the production of other products. Examples of industrial products are raw materials, machinery, and equipment.

- *Commercial products* are products that are not used directly in the production of other goods but that assist in that production. Office supplies, typewriters, and filing cabinets are examples of commercial goods because they are indirectly consumed in the production of other goods.

Consumer products are often classified according to consumers buying habits. Such products usually fall into four categories: convenience, shopping, specialty, and unsought goods.

5.2.2 The Product Life Cycle

Products move through various stages of development. The *product life cycle (PLC)* measures these stages of growth, and these measurements enable the company management to make decisions about whether to continue selling a product and when to introduce new follow-up products. Figure 5.1 illustrates the product life cycle.

In the introductory stage, the marketers present their product to the potential consumers. Initial high levels of acceptance are rare. Instead, new products must generally break into existing markets and compete with established products. Advertising and promotion would help the new product gain recognition and acceptance. The cost of marketing at this level of the life cycle is usually high. Sales resistance would need to be met and overcome. Thus profits are mostly low or even negative at this stage.

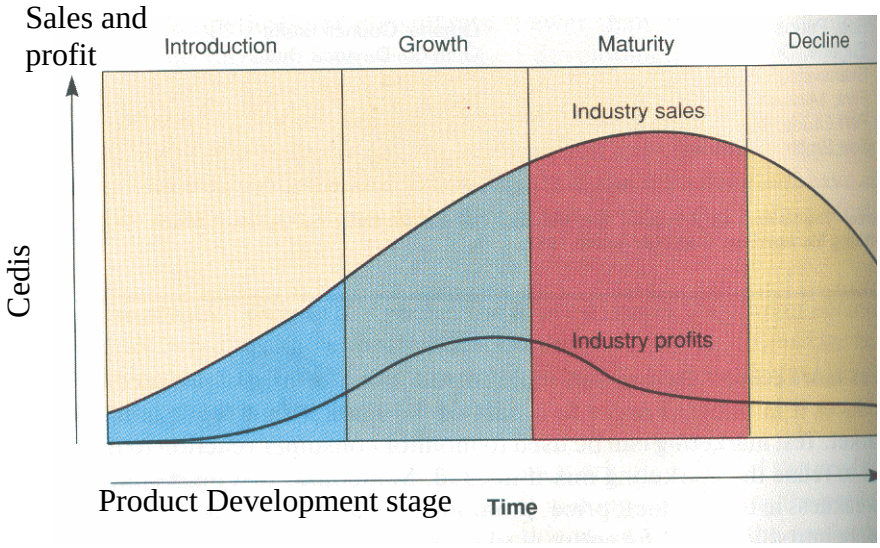
In the growth stage, consumers begin to compare the product in large enough numbers for sales to rise and profits to increase. Products that reach this stage, however, do not necessarily, become successful. For successful products, sales and profit margins would continue to rise through the growth stage.

In the maturity stage, sales volume would continue to rise, but profit margins would peak and then begin to fall as competitors enter the market. Usually, this causes reduction in the product's selling price in order to meet the competition and to hold its share of the market.

In the decline stage of the product, sales continue to drop, and profit margins fall drastically.

No firm can maintain its sales position without product innovation and change. As the PLC suggests, innovation is crucial to business success. In effect, innovation results in the creation of new products that would continue to satisfy consumers' needs.

Figure 5.1 The Produce Life Cycle



5.2.3 New Product Developme nt

An important part of marketing is creating new products. In most industries, survival depends on never-ending product innovation. Businesses rely on a constant flow of new products for a distinctive image in the market.

There is a high risk, though, involved in introducing new products. About eighty percent (80%) of all new products is reported to fail (Business Bulletins, 1988). The often cited reasons for product failure include the following:

i) Too little differentiation from existing products

ii) Inadequate knowledge of the market

iii) Poor planning and execution of the introduction

iv) Failure to adjust product strategy when changes dictate.

v) Inadequate funding for lack of commitment to the new product.

To minimize the risk of introducing a new product, as suggested in the *Small Business Report*, the small business owner should consider the following guidelines:

i) *Simplicity*. A new product should be user friendly.

ii) *Integrity*. A good design is well thought out from beginning to end.

iii) *Human focus*. Respect for the end user plays a complementary role to design integrity. Successful products are designed ergonomically.

iv) *Synergy*. A well-designed product relies on the combined experience, knowledge, and talents of a team of professionals.

v) *Creativity*. A successful product depends on the creative expertise of many people. Small business managers must foster a creative environment

vi) *Risk*. Good design shows a willingness to create products that reach beyond existing boundaries.

5.2.4 Packaging

Packaging is an essential element for most products. A well designed, environmentally - friendly, attractive package could help attract the consumer and so boost sales. Indeed, many firms rely on packaging and logos to help create a visual company identity.

Packaging performs vital functions for most products. It protects goods from being damaged before they are bought, helps keep, for example, foodstuffs hygienic and fresh, and is often necessary for labelling and information reasons.

5.3 Price

Obviously, the price of a product or service is a key factor in the decision to buy. *Price* affects both sales volume and profits. Marketers need to decide how much influence price fluctuations have on customers.

5.3.1 Approaches to pricing

Some of the common approaches to pricing that small business owners adopt include marketing pricing and cost-plus marketing.

5.3.1.1 Market pricing

Small businesses usually seek to price according to what the market will bear, in view of the question: What is the maximum price that a customer is prepared to pay for this? Even though market price makes sense in theory, yet there are some identified practical problems.

- In some markets prices are fixed sometimes to the advantage of the small firm.
- Consistency of prices is often necessary. Many small firms sell standard products from a price list. Even though some customers may be willing to pay more, pricing to what an individual will pay is clearly impractical in these circumstances.
- Competitors condition the markets reaction to what is an acceptable price. In a situation where there is established competitor which has set up its prices below what is theoretically the market price then it would be very difficult to persuade a customer to accept a higher price, without some other incentive.

5.3.1.2 Cost-plus pricing

Cost-plus pricing involves deciding prices by calculating costs and adding what is judged to be an adequate element of profit. This is perhaps the most popular method in use in small firms.

The argument against this approach, though, is that it does not always maximize the price that could be charged. In practice, however, pricing in small firms is more likely to be based on a compromise between an estimate of what the business needs to cover its costs and a view on what the customer expects and competitors are charging.

Refer to other texts for further information on personal selling. Record your notes in your jotter for fact to face discussion.

I hope you have enjoyed reading it. That's excellent!

In summary, we learned that the key factors of a marketing strategy are the four Ps of marketing, namely product, price, place, and promotion. These four factors are referred to as the marketing mix. A product is any item or service that satisfies the needs of customers. The price of a product or service is a key factor in the decision to buy. Price affects both sales volume and profits.

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment questions

Exercise 5.5

1. How important is the marketing mix to a marketing strategy?
2. Give an outline of the stages of the product life cycle

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

SESSION 6: PLACE AND PROMOTION STRATEGIES

Welcome to the last session of Unit 5. So far we have discussed two of the primary elements of the marketing mix. And I suppose you have fully understood and appreciated studying it. Equally important elements of the marketing mix are place (distribution) and promotion, which are our topic for consideration in this session. I hope your will equally enjoy studying it.

This session focuses on the meaning and roles of place, distribution channels, and distribution intermediaries. We will also discuss the meaning of promotion, personal methods of promotion and impersonal methods of promotion.

Objectives

By the end of this session, you should be able to:

(a) give the meaning and roles of place;
(b) discuss the different channels of distribution;
(c) describe the various distribution intermediaries;
(d) explain the nature and importance of promotion to small firms;
(e) describe the different methods of promotion.

Now read on…

6.1 Meaning and Roles of Place

Place (or method of distribution) refers to how goods reach the market place. Any activity involving the movement of goods to the point of consumer purchase provides place utility, which is affected by the marketing channels of distribution. A channel of distribution is the path that goods and services and their titles take in moving from producer to consumer.

6.1.1 Channels of Distribution

For any firm, there is a fundamental choice in deciding its channels of distribution of either: to distribute direct to end-users, or through intermediaries.

6.1.1.1 Direct to end-users

Where the small firm decides to distribute its products or services direct to the final user the various options might include the following:

i) Direct sales

Small firms often sell directly to the consumer through the personal representation of the owner-manager, employed sales people, or agents on commission visiting consumers.

ii) Retail and specialist outlets

Several small firms operate either a shop, or other form of outlet such as a restaurant, which is visited by the consumer.

iii) Mail order

Customers can be sold goods directly via a newspaper advertisement or a catalogue, which are then dispatched through the mail. Small firms sell different kinds of goods via mail order, for example, specialist publications.

iv) Multi-level marketing

This approach of distribution involves a chain of direct selling agents, of reaching consumers. "Party Plan", for example, is a method of distributing different types of products, including books and cosmetics by encouraging household gatherings at which the products are sold. This approach involves sales agents, usually operating on a part-time, self-employed basis, who organize the gatherings and earn commission on the sales.

6.1.1.2 Distributing through Intermediaries

Where products or services' distribution is being carried out through intermediaries, the available channels involve:

i) Retailers and Specialist outlets

Several small firms sell to retailers, and specialist outlets, such as restaurants and beer bars. These are often themselves small businesses.

ii) Wholesalers

The wholesaler link in the distribution is necessitated by the proliferation of products or retailers in some trades. This approach is where a small business could not possibly distribute directly to all the retailers for its products, so it sells through wholesalers.

(iii) Agents or distributors

Agents or distributors represent the supplier in a given territory or market, by buying the stock and selling it either direct to the end user to wholesalers or retailers. Agents are particularly useful for small firms, where the potential market is large, and the resources of the small business limited.

iv) Mail order companies

A small business could sell to specialist mail order companies, who offer different sorts of goods to consumers normally via a catalogue.

6.1.2 Choice of Channel

The choice of distribution channel for a small firm would be dependent on a number of factors, including the following:

(i) The Customer

The existing buying pattern of the target customer would not be easy to change. A small firm would usually wish to follow conventional distribution routes for their products or services leaving major innovative distribution methods to better-resourced companies. However, it might be appropriate to try different channels to reach a wider audience.

(ii) The Product

Distribution channels need to match the needs of the product that is on offer. For example, an electronics manufacturer, designing highly technical product, customised to client requirements, perhaps has no choice but to sell and distribute directly themselves.

(iii) Finance

The financial circumstances of a small firm would determine which factor predominates. A small firm's cash flow benefits from selling large volumes of stock to distributors and wholesalers. There would be decreased profitability, though, because of the need to give up margin.

(iv) Objectives
A small firm's marketing strategy would indicate objectives in between the extremes of high volume to wide markets, or lower volume to a select niche. The more the strategy tilts towards the former, the more intermediaries would be appropriate; the more it leans to the latter, the more direct distribution would be considered.

6.2 Promotion

Promotion aims to inform and persuade consumers. An organization's total marketing communications programme is referred to as its promotional mix. It is that which the organization utilizes in pursuit of its advertising and marketing objectives. Generally, there are personal, impersonal, and implied methods of communicating with the marketplace. Each of these is discussed below.

6.2.1 Personal methods of promotion

Personal methods of promotion involve direct contact between the customer, or prospective customer, and a representative of the small firm. This contact could take the following forms:

- Direct selling
- Telephone selling
- Retail selling
- Exhibitions or trade shows

6.2.1.1 Direct selling

Direct selling refers to face-to-face interviews with customers, usually on their premises with the objective of taking an order. It is most common in firms which sell to other businesses, such as manufacturers, distributors, or services. It could also be used for selling direct to consumers and is widely used by financial services and some home products, such as window and security systems.

6.2.1.2 Telephone selling

The telephone can be used as part of the process of making a sale by direct customer contact by making an appointment or answering an enquiry, for example. Telesales can complete the whole process by taking the order on the telephone. For a small firm with limited resources, the telephone has become an indispensable aspect of selling.

6.2.1.3 Retail selling

Small independent or franchised shops can be categorised into two main types in relation to retailing (Stokes, 1995):

- Convenience outlets, such as news agents and confectioners, and
- Specialist shops, such as fashion wear boutiques and art galleries. In both types, there is a form of customer contact. The advantage of a retail outlet is that it represents a convenience, permanent place of contact between the buyer and seller.

6.2.1.4 Exhibitions and trade shows

National trade shows and exhibitions cover every significant trade or industry, from art and craft to electronic equipment, for example, INDUTEC and AITEC in Accra.

6.2.2 Impersonal methods of promotion

Impersonal methods of promoting small firms include the following:

6.2.2.1 Media advertisements

Generally, the two distinct types of media advertising for the small firm are:

- **Press, radio or television advertising**

  There is a wide choice of media for a small firm to use on a more irregular basis, in the hope of creating or reinforcing awareness and demand for products or services.

- **Directories and trade listings**

  Directories and trade listings are permanent references, outlining the products or services offered by a small firm which can be consulted by potential buyers.

This form of advertising is widely used by owner-managers, who see the benefit of a permanent indication of their business in popular directories, such as "Yellow Pages" in the telephone directory and the Ghana Business Directory.

6.2.2.2 Direct Mail

Direct mail has gained popularity as a form of advertising in recent years. The identified reasons for this increased popularity include the following:

- **Direct mail is targeted**

  Small firms usually trade in very narrow or fragmented markets, which traditional media 'over-hit' or miss altogether. With Direct mail promotional messages can be directed very specifically.

- **Direct mail can be tested**

  There is the possibility for testing the response from direct mail on a limited basis, before extending the mailing to the full list. A small firm could thus minimize the risks involved in this type of promotional expenditure.

- **Direct mail results can be quantified**

  In terms of response back from recipients, the results of a direct mail campaign, unlike other forms of advertising, could be measured and valued. Depending on the results, the small firm could decide whether the campaign would justify its costs.

6.2.2.3 Press releases

Small firms, like larger companies, can benefit from good public relations, and the value of that could be obtained by working with the media. Public relations departments and agencies could point to free advertising on TV or in the press to justify their costs to the company.

6.2.2.4 Leaflets and brochures

Many small firms produce a leaflet or brochure describing their products or services. Using the desktop publishing tool most small firms can now produce more literature about themselves at a relatively modest cost.

6.2.3 Implied Communications

Marketing strategies can emerge from a pattern of a small firm's activities as perceived by customers. The image portrayed by marketing communications adds to this pattern of perceptions. As Stokes (1995) points out, an impression of a small firm, and its products or services, is given by its letter head, the signage on a shop or delivery van, the answering of the telephone, the style of leaflets and advertisements, the tone of its letters, the decor of its premises as well as the way a customer is served. These impressions form implied communications from the business which promote it either positively or adversely.

Refer to other texts for further information on place and promotion strategies. Record your notes in your jotter for face-to-face discussion.

In summary, we have learned that any activity involving the movement of goods to the point of consumer purchase provides place utility, which is affected by the marketing

channels of distribution. For any firm, there is a fundamental choice in deciding its channels of distribution to distribute either direct to end-users, or through intermediaries. Promotion aims to inform and persuade consumers. An organization's total marketing communications programme is referred to as its promotional mix. It is that which the organization utilizes in pursuit of its advertising and marketing objectives.

I hope you have enjoyed reading it. That's great!

Now assess your understanding of this session by answering the self-assessment questions set out below

Self-Assessment Questions

Exercise 5.6

1. Identify the two broad channels of distribution that have been discussed
2. Outline the various forms of personal methods of promotion.

Did you score all? That's great. Keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

UNIT 6: SMALL BUSINESS FINANCING

UNIT OUTLINE:

Session 1: Nature and Significance of Business Finance
Session 2: Long Term Business Finance
Session 3: Short Term Business Finance
Session 4: Government and Institutional Support to Small Scale Enterprises
Session 5: Analysing and Interpreting Financial Statement
Session 6: Analysing and Interpreting Financial Statement Continued

All economic activities in the modern world centre round the use of finance. The term finance means money or funds. Financing means, making money available when it is needed. Thus, business finance refers to money required for business purposes.

No one can start or run a business without adequate funds. Whether it be manufacturing or trading activities, business finance is very important. Every business requires some money to start, which is called initial capital or the seed capital. The type and amount of capital or finance required for a business depends on factors such as the type of business, success of firm and state of the economy.

In Ghana and other parts of the world, small businesses will have to struggle before acquiring finance to start their businesses. After the start up, sustaining the business with the needed finance becomes a burden. This unit will highlight on some sources from which business finance can be obtained, the types of business finance and an analysis of financial statements.

Unit Objectives

By the end of this unit, you should be able to:

- evaluate the significance of business finance
- state and explain the various sources of long term finance
- briefly explain the sources of short term finance
- analyze government and institutional support to small scale enterprises
- interpret financial statements using ratio analysis
- discuss the limitations to ratio analysis

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics, if any

SESSION 2: LONG TERM BUSINESS FINANCE

Some investors are more flexible than others because they have access to different sources of funds. Investors would like many financing alternatives in order to minimize their cost of funds at any point in time. Unfortunately, not many firms are in this enviable position during the duration of a business cycle. In order to develop the best financial plan one needs to consider two things. Firstly, what sources are available for the money that a firm needs? Secondly, what is the best or the most appropriate source?

At the time any financing decision is made, the investor is never sure if a particular source is the right one. However, in most cases the investor will balance short-term versus long-term considerations against a composition of the firm's assets and the willingness to accept risk. Thus, depending on the nature and purpose of finance, we may distinguish between two main types of financing, long term and short term financing. This session will however, focus only on long term financing.

Objectives

By the end of this session, you should be able to:

a) list the sources of long term finance
b) discuss the sources of long term finance

Now read on…

2.1 Sources of Long Term Finance

Long term sources of finance are those that are needed over a longer period of time, generally over a year. Long term finance tends to be spent on activities such as expansion projects, buying new premises, developing new products or acquiring another company that will pay back over a longer period of time. This source is risky so lenders tend to ask for some form of insurance or security in case the company is unable to repay the loan. The various sources of long term finance are examined below.

a. Shares

Shares are the most important source for raising long term capital by a company. These shares are the best source because they are only paid back on winding up of the company. Shareholders are usually the real owners of the company and get dividend when the company is earning profits. A company can issue different classes of shares to raise its own capital. The kind of shares will be issued according to the needs of the company and preferences of the investors.

Two types of shares may be issued by a company to raise capital:

i. Equity shares

ii. Preference shares.

Equity Shares

The amount raised by the issue of equity shares is known as equity share capital. Equity capital represents ownership capital as equity shareholders collectively own the company. They enjoy the reward as well as bear the risk of ownership. There is no promise to shareholders of a fixed dividend. This means when the business does not make enough profit to pay bond holders and preference holders their dividend, equity share holders forfeit their dividends. In addition, the liability of equity shareholders is generally limited to an agreed amount by the shareholders. Since shareholders are the primary risk bearers they enjoy the residual of whatever is left after having paid dividend to bond and preference holders.

List five advantages and disadvantages each of issuing equity shares.

Preference Shares

The amount of share capital which is raised by the issue of preference shares is called preference share capital. It is referred to as preference shares because the owners of these shares have a preferential claim over dividends and repayment of capital. Preference shares represents a hybrid form of financing in that, it consists of some characteristics of equity shares as well as debentures. It resembles equity shares because preference dividend is payable only out of profit after tax and the payment of preference dividend are entirely within the discretion of directors. It is not an obligatory payment, even if there is a profit. It resembles debentures because it gets a fixed rate of return. Preference shares comes in different forms, it can either be cumulative or non-cumulative; participating or non-participating; redeemable or non-redeemable; or convertible cumulative preference shares.

b. Debentures

A company also raises long term finance through borrowing. These loans are raised by the issue of debentures. A debenture is an instrument issued by a company to acknowledge the loan taken by the company under its common seal.

When a company decides to raise loans from the public, the amount of loan raised from a particular issue of debentures is divided into units of similar value. A debenture certificate is issued by the company to acknowledge its debt. Those who invest money in debentures are known as debenture holders.

Debentures are usually secured and are said to have either fixed or floating charges. A secured debenture is one that is specifically tied to the financing of a particular asset such as a building or a machine. Just like a mortgage for a private house, the debenture

holder has a legal interest in that asset and the company cannot dispose of it unless the debenture holder agrees. If the debenture is for land and/or buildings it can be called a mortgage debenture.

Debenture holders have the right to receive their interest payments before any dividend is payable to shareholders and even if a company makes a loss it still have to pay interest charges on debentures.

c. Asset Leasing

A lease is an agreement between two parties, the "lessor" and the "lessee". The lessor owns a capital asset, but allows the lessee to use it. The lessee makes payments under the terms of the lease to the lessor, for a specified period of time. Leasing is, therefore, a form of rental. Leased assets have usually been plant and machinery, cars and commercial vehicles. There are two basic forms of lease; operating leases and finance leases.

Operating lease are rental agreements and all installments are charged against profit. The lessor supplies the equipment to the lessee and the period of the lease is fairly short, less than the economic life of the asset. At the end of the lease agreement the lessor is responsible for servicing and maintaining the leased equipment. Finance leases on the other hand, are lease agreements between the user of the leased asset (the lessee) and a provider of finance (the lessor) for most, or all, of the asset's expected useful life.

d. Mortgage

A mortgage is a form of long-term loan, usually on a property or some other fixed asset. It is also known as a secured loan because it is secured to the asset it was borrowed for. If the money was borrowed, for example, to finance the purchase of a plot of land and the firm fails to make the required loan payments, then the lender can start legal proceedings to repossess the land. This means that they will then take possession of the land and can sell it to get their money back. Any surplus would however, be returned to the firm.

e. Venture Capital

Venture capital is a type of private equity capital typically provided by a outside investors to new and growing businesses. Venture capital investments are generally made as cash in exchange for shares in the invested company. A venture capitalist (VC) is a person who makes such investments. A venture capital fund is a pooled investment vehicle (often a limited partnership) that primarily invests the financial capital of third-party investors in enterprises that are too risky for the standard capital markets or bank loans. Venture capital can also include managerial and technical expertise.

Most venture capital comes from a group of wealthy investors, investment banks and other financial institutions that pool such investments or partnerships and sometimes the government. This form of raising capital is popular among new companies, or ventures, with limited operating history, and cannot raise funds through a debt issue. The downside for entrepreneurs is that venture capitalists usually get a say in company decisions, in addition to a portion of the equity.

Venture Capital in Ghana will be looked at in subsequent sessions.

To sum up, this session discussed a number of long term sources of finance available to a firm. Sources examined included shares, debentures, mortgage loans, asset leasing and venture capital.

Search the internet for other sources of long term finance not discussed in this session.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 6.2

a. Explain the term ‘long term finance’.
b. Mention the two types of shares that can be raised by a business.
c. Mention and explain four types of long term finance available to a business.
d. What is a secured debenture?
e. Differentiate between a preference share and a debenture.

What was your score?

Good and keep it up.

Refer to the last page for answers to SAQ

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics, if any

SESSION 3: SHORT TERM BUSINESS FINANCE

Hello and welcome to this session. I hope you have not forgotten what we discussed in the previous session. When you go to the boutique to buy a dress or suit, you make sure that it is neither too large nor too small but rather that it fits you perfectly. In the same way, the "financial dress or suit" of your business should fit perfectly or it will cause problems. Whenever possible, short-term assets, such as stock and debtors, should be financed by short-term sources of money, e.g. overdrafts. Thus, in this session we will move a step further by looking at some forms of short term finance.

Objectives

By the end of this session, you should be able to:

a. mention the various sources of short term finance
b. evaluate the sources of short term finance

Now read on …

3.1 Sources of Short Term Finance

Short term finance is a loan or credit facility with a maturity period of one year or less. Creditworthiness is an important aspect which the venture must satisfy before any short term financing will be granted. The following factors are considered when assessing creditworthiness.

i. **Character**: The reputation, honesty and reliability of the borrower must be considered.
ii. **Capacity**: The business sense of the borrower, ability of pay, the level of experience and business history.
iii. **Circumstances**: The general business circumstances in the industry and the economy.
iv. **Insurance Cover**: The extent of the cover of insurable risks taken out by the borrower.
v. **Guarantees**: The lender may require the borrower to use assets to guarantee the loan.

Let's now look at some sources of short term finance.

a. Bank Overdraft

This is probably the most available and appropriate source of short-term borrowings. Subsequently to negotiation, the bank allows the borrower to overdraw his account up to a specified limit, which is reviewed on a regular basis, normally annually. This gives the borrower the flexibility of altering his financing requirements from day to day according to his cash flow. With overdrafts, interest is calculated on the daily outstanding balance. This means that no interest is paid on any unutilized portion of the facility. Interest rates charged fluctuate with the prime rate and this facility is generally used for financing working capital. However, it is also useful when bridging finance is required where a gap exists between a long-term debt and the long-term source of finance becoming available. It is important to realize that bank overdrafts are repayable on demand.

b. Factoring

Factoring involves raising funds on the security of the company's debts, so that cash is received earlier than if the company had waited for the debtors to pay. The sale is normally with recourse to the "seller" for uncollectable debts. It may include all or some of the debts sold. The system may require the debtor to pay direct to the factor or via the original creditor as an agent for the factor, and completes the transaction as agent of the factor. This latter method has the advantage of maintaining the confidentiality of the arrangement between the seller and the factoring house.

Factoring is a very convenient method of financing shortages in working capital and is frequently an attractive proposition to a new business faced with a substantial growth in sales which need to be financed. However, one needs to ensure that gross income margins generated by these sales can satisfactory absorb the costs of the factoring procedure.

An additional advantage of factoring accrues to the seller by the possible savings in staff and paperwork associated with maintaining accounts and monitoring debtors. Furthermore, cash is received immediately and the seller is not obliged to include a discount for prompt payment. Most banks have factoring divisions.

c. Trade Credit

This is an excellent source of low –or no-cost money. Suppliers may be willing to extend interest-free credit on purchases of goods or services to well established customers. This means that customers may be able to order, obtain delivery, and sell an

item before they pay for it. This is the same as an interest free loan. To keep this source available to customers, however, it is essential that they build and safeguard their relationships with their suppliers carefully.

d. Customers

Firms can raise money from their customers by expediting their collections from them. If firms can get money moving into their businesses faster, they will have more available for their needs. For instance, if customers pay quickly, the business will have the cash necessary to take advantage of cash or quantity discounts. These discounts can reduce the cost of merchandise and thereby increase profits.

Customer collections can be increased in two ways. Firstly, firms can encourage partial payments on long term projects where appropriate. Secondly, they can put an aggressive credit collection policy into effect. This should reduce the number of bad debts that they might acquire as well as encourage customers to pay their debts quickly. Both of these methods will increase a firm's cash flow.

In sum, short term finance refers to money that is needed to finance activities that are usually going to last less than one year. Such sources are generally used to manage the day to day operations of a business.

Assess yourself by answering the questions below

Self-Assessment Questions
Exercise 6.3

a. What do you understand by the word 'short term finance'?
b. Mention three sources of short term finance
c. ……..... ……. is a method of financing trade, but goods rather than money are used to fund the transaction
d. Factoring is a long term source of finance (True or False)

How did your fare?
Well done! Refer to the last page for answers to SAQ

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 4: GOVERNMENT AND INSTITUTIONAL SUPPORT TO SMALL SCALE ENTERPRISES

The Ghanaian government in an attempt to strengthen the response of the private sector to economic reforms undertook a number of measures in 1992. Prominent among them was the setting up of the Private Sector Advisory Group and the abolition of the Manufacturing Industrial Act, 1971 (Act 356). Government later proposed the establishment of the Export Development and Investment Fund (EDIF), operational under the Exim Guarantee Company Scheme of the Bank of Ghana, National Board for Small Scale Industries (NBSSI), Micro-Finance and Small Loan Centre (MASLOC), the Venture Capital Trust Fund among others. All these institutions were established to provide some form of support for entrepreneurs and small business owners who want to either establish a business or probably expand on an existing one. In this session we will be looking at the activities of some of these institutions and their role in the Ghanaian economy.

Objectives

By the end of this session, you should be able to:

a. identify some institutions that give support to small businesses
b. explain the role of these institutions to entrepreneurship and small business development

4.1 Venture Capital Trust Fund (VCTF)

The Government of Ghana established the Venture Capital Trust Fund (VCTF) to provide low cost financing to businesses so they can grow, create wealth and jobs. The vision of Government is that this scheme will enrich businesses with enough resources to create jobs. Consequently, with enough wealth and jobs created, Government revenues would increase (through taxes) and ultimately add to the pool of funds available to be down-streamed to businesses for investments.

The functions of the VCTF are basically twofold:

i. The provision of credit and equity financing to eligible venture capital financing companies to support small and medium-scale enterprises which qualify for equity, quasi-equity and credit financing.
ii. The provision of monies to support other activities and programs for the development and promotion of venture capital financing in the country.

Who Benefits or Qualifies

Any individual or business entity that needs financing to establish/start up or run a business. The money of the Venture capital scheme is available to qualifying Ghanaian businesses.

How to Access Venture Capital Funds

Currently the priority sectors are ICT, Agriculture & Agro-processing, Tourism and Pharmaceuticals. These priority sectors may benefit from about 55% of the total funds available. Venture funds are not limited to only the priority sectors, all sectors of the economy except direct imports for resale can receive funding.

The basic requirements for accessing the fund are:

i. A comprehensive business plan
ii. Incorporation Papers (if applicable)
iii. Audited financials (if company is already in business) and projections for 3 years
iv. Tax Clearance Certificate
v. Any other information that may be requested

SSE's seeking funding will submit the basic requirements stated above to the respective VCFC. However businesses are encouraged to talk to any of the VCFCs before they prepare any new documentation.
Currently Venture Financing companies established and running include Activity Venture Finance Company, Bedrock Venture Capital Finance Company and Gold Venture Capital Limited

4.2 National Board for Small Scale Industries (NBSSI)

The NBSSI was established in 1981 by an Act of Parliament, Act 433, as an apex body for development of SSEs in Ghana. The Board became operational in 1985. There are six main functions of the Board are to:

1. define and establish what constitutes the small-scale industry sector in Ghana.
2. organize a field of extension network for the identification of projects, data collection, and dissemination of information and provision of feedback.
3. promote entrepreneurship programs for the development of new and existing industries.
4. encourage the formation of co-operatives, the building of industrial estates and other infrastructure for small-scale industry development.
5. define the roles and the responsibilities of the implementation of special programs in the areas of finance, technology, and management.

6. implement all policies in relation to small-scale industries as approved by the government and seeing that the infrastructure needed for small-scale industry development is established.

4.2.1 NBSSI Loan Revolving Fund Scheme

The revolving loan Fund scheme (RLF) of NBSSI became operational in 1992 with a seed capital of 80million cedis with the principal objective of promoting the development of SSEs in Ghana. The RLF was set up to benefit both existing and new businesses and was targeted at enterprises in the manufacturing and service sectors of the economy.

The beneficiaries of RLF credit lines are normally required to be organized into sectoral or sub-sectoral associations, co-operatives or societies. Individuals, who operate under a registered name with the RLF scheme permits, are granted loans through the purchase of raw materials.

The application for assistance is submitted to the Regional Secretariat of NBSSI, specifying in writing, quantity, quality, specification and source of supply to enable the exact type of equipments to be procured by the Board. A simple report on the feasibility of the request is required from the applicant. This can be prepared by the NBSSI for the client for a fee of 4% of the project cost. Requests that are found to be viable by the loan committee are recommended and forwarded to the management committee for disbursement.

For limited liability companies, two personal guarantors are required, while a guarantee of a registered association is required from co-operatives or for group requests. The agreement forms and deeds of assignment forms are further guarantees of the credit secured. The policy and guidelines for the administration of the RLF are silent about the credit recovery as detailed in the PAMSCAD credit line.

4.3 Business Assistance Fund (BAF)

The BAF was launched in 1995 with an initial capital of 10 billion cedis from the government's budget. The facility was introduced to restore the productive capacity of enterprises and industries of proven potential but which because of the vagaries of ERP could not perform satisfactorily. In order to ensure a more equitable spread of beneficiaries of the BAF and also to make it more accessible to SSEs, the fund was decentralized in 1996. The SSEs were to be allocated 2 billion cedis of the seed capital. The interest rate of the BAF is 15% per annum, subject to changes when necessary.

The regions received a minimum of 50 million cedis paid into the Regional BAF Account with the regional Coordinating Director, the Regional Manager of NBSSI and the Regional Planning Officer signatories to the account. The Agricultural Development

bank was given the responsibility of managing the BAF account but restructured rural banks were to participate where feasible. The limit to regional credit under the BAF is pegged at 300,000 cedis at the maximum and minimum of 100,000 cedis. Loan application forms are available at SSB Bank at 2,000 cedis each.

The SSEs wishing to access the credit facility are required to be duly registered in Ghana and engaged in the productive sectors of the economy, including manufacturing, agro related industries, industrial support services and tourism. Enterprises worth more than 10 million cedis in fixed assets, excluding land and buildings are eligible for the regional BAF finance. Other considerations include SSEs producing for exports contributing to reduction of post harvest losses (preservation and food processing), the introduction of new technology and innovative idea. The BAF policy document stipulates that all loans are paid within a maximum period of ten months.

4.4 The Program of Action to Mitigate the Social Cost of Adjustment (PAMSCAD) Credit Line for SSEs

The PAMSCAD was meant to soothe the adverse effect of the ERP and SAP programs. Among the project portfolio under the PAMSCAD were employment generation projects including a credit line for SSEs. The target group under this PAMSCAD credit scheme was the redundant workers and unemployed who require credit to establish small businesses. The existing SSEs were also to benefit from this scheme (PAMSCAD, 1989). The policy framework sets the maximum loan limit under the PAMSCAD credit scheme as not above 2.5 million cedis. This limit was considered as high enough to meet the needs of the target group. The guideline further stipulated that at least 80% of loan funds should be earmarked for SSEs.

Applications are to be submitted through The Regional Secretariat of NBSSI or the District Administrative office. An initial screening is carried out after the submission of the application.

4.5 Other Institutional Support

Apart from the above mentioned institutions, there are other schemes that have been established to assist in financing SSEs. One of such schemes is the Export Development and Investment Fund (EDIF) which was established in 1997 and operational under the Exim Guarantee Company Scheme of the Bank of Ghana. This scheme was established to aid industrial and export services and also to improve the industrial sector mainly in textiles and garments, wood and wood processing, food and food processing among others.

Ghana Regional Appropriate Technology Industrial Service (GRATIS) was established in 1987 with branches in all the regions to offer technical and managerial support through training to small and medium-scale enterprises. Training being offered by

GRATIS cover activities in foundries, engineering, masonry, soap making, carpentry, food processing and preservation, and metal fabrication.

The Ghana Enterprise Development Commission (GEDC) was also established to assist Ghanaian Businessmen to enter into fields where foreigners operate.

This session has taken us through some governmental and institutional support to SSEs. These funds have been created purposely for SSEs and therefore with the right documentation, one should be able to get assess some of these funds to start or expand their businesses.

Assess yourself by answering the questions below

Self-Assessment Questions
Exercise 6.4

a. Write short notes on the following
    i. Venture capital trust fund
    ii. Business Advisory Fund
    iii. NBSSI
    iv. PAMSCAD

What was your score?

Well done! Keep it up
Refer to the last page for answers to SAQ

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topic if any.

SESSION 5: ANALYSING AND INTERPRETING FINANCIAL STATEMENTS I

Hello again and welcome to this session. In previous sessions we have considered the importance and sources of funds for small firms. In this session, we examine a firm's financial statements and the ways in which they can be analyzed. Thus, the emphasis here is to provide guidelines on the subject and to provide students with some basic tools of analysis.

Objectives

By the end of this session, you should be able to:

a. state the users of financial statements
b. analyze financial statements
c. interpret financial ratios
d. explain the limitation of financial ratios

Read on…

5.1 Financial Statements

The basis for financial planning, analysis and decision-making for small firms is financial information. Financial information is needed to predict, compare and evaluate the firm's earnings ability. It is also required to help in economic decision-making such as investment and financing.

A firm communicates financial information to the users through financial statements and reports. The financial statements contain summarized information of the firm's financial affairs organized systematically. It normally consists of the balance sheet, income statement, statement of changes in the financial statement, as well as explanatory materials. This information becomes useful to a number of interest groups. These identified groups include the following:

i. Owner/Investor Group: Existing and potential shareholders and stockholders.
ii. Employee Group: Existing and potential employees including management, trade unions and past employees.
iii. Loan Creditor Group: Existing and potential debenture holders, and loan stockholders and providers of short term secured and unsecured loans.
iv. Business Contact Group: customers, suppliers, clients, bankers, potential mergers and take over bidders.
v. Advisor/Analyst Group: economists, statisticians, researchers, investment advisors, management consultants, credit rating agencies, etc.

vi. Government: Central government, agencies like IRS, CEPS, Price and Incomes Board (PIB) and local government agencies.

vii. General Public: Community, political parties, pressure groups, tax payers and environmentalists.

These interest groups must be able to interpret the financial statements in order to:

- evaluate the performance of the entity to assess its viability.
- assess the effectiveness of the entity in achieving the objectives established by its management, its owners or the general public at large.
- evaluate managerial performance, efficiency and objectives.
- assess the economic stability and vulnerability of the reporting entity.
- assess the liquidity of the entity.
- estimate the future prospects of the entity, including its capacity to pay dividends and other cash outflows.
- attest to compliance with company law and other legal obligations.
- ascertain the ownership and control of the entity.

5.2 Interpreting Financial Ratios

To evaluate the financial condition and performance of a firm, the financial analyst needs certain yardsticks. The yardstick generally used is a ratio or index, relating two pieces of financial data to each other. A financial ratio is a relationship that indicates something about a company's activities, such as the ratio between current assets and current liabilities. Financial ratios enable an analyst to make a comparison of a company's financial condition over time or in relation to other firms. The relevant ratios can be grouped under the following headings:

a. Profitability Ratios
b. Liquidity /Solvency Ratios
c. Activity Ratios/Efficiency Ratios
d. Leverage/Gearing Ratios(Long-term solvency) Ratios
e. Investment Ratios

a. Profitability Ratios

This ratio measures how effectively a firm's management is generating profit on sales, total assets, and most importantly, stockholders' investment. These ratios are of great significance to company's owner and its creditors. Profitability ratios include the following:

i. Return on Capital Employed (ROCE)

This is described as a primary ratio or "mother of all ratios" and it indicates the overall profitability of the business. It is a measure of a firm's operating performance and indicates the earning power of the firm. It has different meanings and bases of calculation depending on how one defines capital employed.

Where Capital Employed is defined as Total Capital, i.e. Shareholders Funds and Total Liabilities, ROCE is computed as:

$$\frac{\text{Net Profit before Interest and Tax}}{\text{Total Capital}}$$

Where Capital Employed is defined as long-term capital then ROCE is:

$$\frac{\textit{Net Profit before Interest and Tax}}{\text{Shareholders Fund + Long Term Liability}}$$

Where Capital Employed is defined as shareholders fund, then ROCE is:

$$\frac{\textit{Net Profit after Interest and Tax}}{\text{Stated Capital + Surpluses}}$$

ii. Return on Assets (ROA)

The return on assets ratio (ROA) is considered an overall measure of profitability. It measures how much net income was generated for each GH¢1 of assets the company has. ROA is a combination of the profit margin ratio and the asset turnover ratio. It can be calculated separately by dividing net income by average total assets or by multiplying the profit margin ratio times the asset turnover ratio. It is computed as:

$$\frac{\textit{Net Profit after Interest \& Tax}}{\text{Total Asset}}$$

iii. Return on Equity (ROE)

ROE measures the rate of return that the firm earns on stockholders' equity. Since the stockholders' equity appears as the denominator, the ratio is influenced directly by the amount of debt a firm is using to finance assets. It is measured as:

$$\frac{\textit{Net Profit after Tax (PAT)}}{\text{Shareholders' Equity}}$$

iv. Gross Profit Ratio

Gross profit ratio is one of the trading account ratios and it indicates the average gross margin on sale of goods. It measures the relative profitability of a firm's sales after the

cost of sales has been deducted, thus revealing how effectively the firm's management is making decisions regarding pricing and the control of production cost. It is computed as:

$$\frac{\text{Gross Profit}}{\text{Sales}}$$

A high gross profit ratio is better in terms of profit earning potential. However, it does not necessarily result in a large absolute figure of gross profit unless it is accompanied by a large volume of sales.

v. Net Profit to Sales Ratios/Net Profit Margin

It indicates the relative efficiency of the business after taking into account all revenues arising from operations and expenses. Net profit is obtained when operating expenses, interest and taxes are subtracted from the gross profit. Where extraordinary items/figures are substantial it may be determined from the profit. It is computed as:

$$\frac{\text{Net Profit (after interest \& tax)}}{\text{Sales}}$$

vi. Expenses to Sales Ratio

Expenses to Sales Ratio indicates the proportion of Sales Value spent on administrative and selling overheads. The lower the expenses to sales ratio, the more efficient the cost control system. It is computed as:

$$\frac{\text{Profit and Loss Expenses}}{\text{Sales}}$$

b. Liquidity Ratios

A firm that intends to remain viable must have enough cash on hand to pay its bills as they fall due. Therefore liquidity ratios can be seen as a quick measure of a firm's ability to provide sufficient cash to conduct business over the next few months.

Liquidity ratios, by establishing a relationship between cash and other current assets and current liabilities, provide a quick measure of liquidity. A firm should ensure that it does not suffer from lack of liquidity as this can lead to poor creditworthiness, loss of creditors' confidence or even bankruptcy. A very high degree of liquidity is also bad as the firm ties up funds unnecessarily. The most important liquidity ratios are:

i. Current Ratio

The current ratio is also called the working capital ratio. Working capital is the difference between current assets and current liabilities. This ratio measures the ability of a company to pay its current obligations using current assets. The current ratio is calculated by dividing current assets by current liabilities.

$$\frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Generally, a Current Ratio around 2:1 is preferred but what is an ideal current ratio differs from industry to industry. The higher the ratio, the more solvent (in the short-run) the business is. However, if the ratio is too high it indicates under-trading or holding of excessive liquid funds.

ii. Liquidity or Quick Ratio

Liquidity or quick ratio indicates the relative amount of assets in cash, or current assets which can quickly be converted into cash, available to meet current liabilities. Liquid or quick asset consists of cash and bank balances, debtors and marketable securities. It is computed as:

$$\frac{\text{Current Assets} - \text{Inventories}}{\text{Current Liabilities}}$$

A ratio of about 1:1 is preferred but what is an ideal liquid ratio depends on the industry.

iii. Acid Test Ratio

This indicates the amount of cash and cash equivalents available to meet current liabilities. It is calculated as:

$$\frac{\text{Cash + Cash Equivalents}}{\text{Current Liabilities}}$$

In computing for cash + cash equivalents, stocks and debtors are deducted from current assets.

c. Activity Ratios

This can also be called Asset Management Ratios or Efficiency Ratios. One objective of financial management is to determine how a firm's resources can be distributed among various asset accounts. If a proper mix of cash, receivables, inventories, plant, property, and equipment can be achieved, the firm's asset structure will be more effective in generating sales revenue.

Asset management ratios indicate how much a firm invested in a particular type of asset (or group of assets) relative to revenues the asset is producing. By comparing asset management ratios for various asset accounts of a firm with established industry norms, the analyst can determine how efficiently the firm is allocating its resources.

i. Stock Turnover/Inventory turnover Ratio

The inventory turnover ratio measures the number of times the company sells its inventory during the period. It is calculated by dividing the cost of goods sold by average inventory. Average inventory is calculated by adding beginning inventory and ending inventory and dividing by 2. If the company is cyclical, an average calculated on a reasonable basis for the company's operations should be used such as monthly or quarterly.

$$\frac{\text{Cost of Sales}}{\text{Average Stock}}$$

ii. Stock Turnover Period

This reveals the average number of days, weeks or months taken to turnover average stock. It is computed as:

$$\frac{\text{Average Stock}}{\text{Cost of Sales}} \times 365 \text{ days}/52 \text{ weeks}/12 \text{ months}$$

Or

$$\text{Stock Turnover Ratio} \quad \frac{365\text{days}/52\text{weeks}/12\text{months}}{}$$

iii. Debtor Collection Period

This indicates the average period measured in months, weeks or days for which debtors remain uncollected. It shows the average credit period granted to credit customers and calculated as:

$$\frac{\text{Average Debtors} \times 356\text{days}/52\text{weeks}/12\text{months}}{\text{Credit Sale}}$$

Debtors reflect only credit sales. The denominators should contain only credit sales often total sales is given in the financial statement where the credit sales cannot be found, use total sales. In other words, this ratio is a measure of the efficiency of a firm’s credit policy.

iv. Creditor Payment Period

Creditor Payment Period indicates the average period measured in months, weeks or days for which creditors remain unpaid. It shows the average credit period granted by credit suppliers and is calculated as:

$$\frac{\text{Average Creditors} \times 356\text{days}/52\text{weeks}/12\text{months}}{\text{Credit Sales}}$$

Use the purchases figure where you cannot find credit purchases. Purchases figure can be determined if you have your closing and opening stock and the cost of sales.

v. Sales to Total Assets Ratio

This ratio indicates efficiency or utilization of assets in generating revenue. It is calculated as:

$$\frac{\text{Sales}}{\text{Total Assets}}$$

vi. Sales to Capital Employed Ratio

This ratio indicates the efficiency or utilization of capital employed in generating revenue. It is calculated as:

$$\frac{\text{Sales}}{\text{Capital Employed}}$$

To sum up, this session introduced the users of financial information and the importance of financial information. This was followed by a discussion on a few selected ratios and how they are computed. The description of other ratios including how they are computed will be continued in session six.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 6.5

a. What are ratios
b. Who are the users of financial statements
c. Mention four profitability ratios

Did you score above 5?

Well done!

Refer to the last page for answers to SAQ

This is a blank sheet for your short notes on;

- Issues that are not clear; and
- Difficult topics if any.

SESSION 6: ANALYSING AND INTERPRETING FINANCIAL STATEMENT II

Hi, did you enjoy the previous session? Well we are going to continue with our discussion on ratios in this session. We will also try some exercises to enrich our understanding of the computation of ratios.

Sit back and enjoy the session

a. Leverage/Gearing Ratios (Long-term solvency) Ratios

The liquidity ratios measure the firm's ability to meet its short-term obligations when they fall due. Therefore, short-term creditors like suppliers of goods and bankers are more concerned with these ratios. On the other hand, long-term creditors like debenture or bond holders and financial institutions are more concerned with the firm's long-term financial strength. To judge the long-term financial position of the firm, financial leverage of capital structure (gearing) ratios are calculated. These ratios indicate the mix of funds provided by owners and lenders. They include the following:

i. Debt Ratio

This ratio measures a firm's degree of indebtedness, that is, the proportion of the firm's assets financed by debt relative to the proportion financed by equity. Debt ratio is measured as:

$$\frac{\text{Total Debt}}{\text{Total Asset}}$$

Where, total debt comprises current liabilities and long-term liabilities. Total assets here represent fixed assets and current assets.

ii. Debt to Equity Ratio

Debt to Equity Ratio calculates the percentage of assets provided by creditors. It is calculated by dividing total debt by total assets. Total debt is the same as total liabilities.

$$\frac{\text{Total Debt}}{\text{Equity (Net Worth)}}$$

iii. Capital Employed to Net Worth Ratio

Another alternative way of expressing the relationship between debt and equity is to determine funds that are contributed together by lenders and owners for each cedi of owners' contribution. Such measurement is the capital employed to net worth ratio. It is calculated as:

$$\frac{\text{Capital Employed}}{\text{Net Worth}} \quad \text{or} \quad \frac{\text{Net Assets}}{\text{Equity}}$$

iv. Coverage Ratio

Coverage ratio measures the degree to which fixed payments are covered by operating profit. The emphasis here is on assessing a firm's ability to service its financial expenses. It is computed as:

$$\frac{\text{Net Profit before Interest and Tax}}{\text{Interest}}$$

b. Investment Ratios

These ratios indicate the potential and actual growth rate of a business. These ratios help equity shareholders and other investors to assess the value and quality of an investment in the ordinary shares of the company. Therefore, it is of great importance to potential investors who are thinking of investing in a company. Investment ratios include:

i. Earning per share (EPS)

Earnings per share (EPS) represent the net income earned for each share of outstanding common stock. In a simple capital structure, it indicates the amount of Net Profit after tax and preference dividend (but before taking account of extra-ordinary items) attributable to each ordinary share in issue and ranking for dividend during the period. This is calculated as:

$$\frac{\text{Earnings available to Ordinary Shareholders}}{\text{Number of Ordinary Shares}}$$

ii. Dividend per share

This indicates the amount of dividend payable on each share in a particular accounting year. When related to Earnings per Share, it shows the dividend and retention policy of the company. It is calculated as:

$$\frac{\text{Total Dividend}}{\text{Number of Ordinary Share}}$$

Where total dividend refers to net dividend proposed or actually paid plus associated tax credit.

iii. Dividend Cover

This indicates the number of times earnings available to equity holders could cover ordinary dividends payable. This is calculated as:

$$\frac{\text{Total Equity Earnings}}{\text{Total Equity Dividend}}$$

It can also be calculated as:

$$\frac{\text{Earnings per Share}}{\text{Dividend per Share}}$$

iv. Payout Ratio

This ratio shows the ratio between Equity Dividend and Equity Earnings and is the reciprocal of Dividend Cover. It can be calculated as:

$$\frac{\text{Equity Dividend}}{\text{Equity Earnings}}$$

v. Price/Earning Ratio

Price/Earnings Ratio indicates the number of years' purchase of the earnings that make up the current market value of an ordinary share and is regarded as an indicator of future performance. It is calculated as:

$$\frac{\text{Market Price per Ordinary Share}}{\text{Earnings per Share}}$$

vi. Earnings Yield

This indicates potential return on investment. Like the P/E ratio, it highlights the amount earned on the ordinary shares relative to their market price. It is calculated as:

$$\frac{\text{Earnings per Share}}{\text{Market Price per Share}}$$

vii. Dividend Yield

Dividend Yield shows current return actually received on investment by ordinary shareholders. It is calculated as:

$$\frac{\text{Dividend per Share}}{\text{Market Price per Share}}$$

Lets try this illustration

Illustration
Towards the end of 2007 the directors of Nketsiaba Company Ltd. decided to expand their business. The annual accounts of the company for 2007 and 2008 may be summarized as follows:

NKETSIABA COMPANY LTD

Financial Statements

2007				**2008**		
		GH¢		**GH¢**	**GH¢**	**GH¢**
Sales:	Cash	42,000			45,600	
Credit	378,000			478,000		
			420,000			523,600
Cost of sales			330,400			417,200
Gross profit			89,600			106,400
Expenses:						
Warehouse	18,200			19,600		
Transport	8,400			14,000		
Administration	26,600			26,600		
Selling	15,400			19,600		
Debenture interest	-			2,800		
	68,600			82,600		
Net Profit		**21,000**			**23,800**	

	On 31st Dec. 2007		On 31st Dec. 2008	
Fixed Assets (less depreciation)		42,000		56,000
Current Assets:				
Stock	84,000		131,600	
Debtors	70,000		114,800	
Cash	14,000	168,000	9,800	256,200
Less current liabilities		70,000		106,400
Net current assets		98,000		149,800
Net Assets		**140,000**		**205,800**

Financed by:		
Share capital	105,000	105,000
Reserves and undistributed profit	35,000	58,800
Debenture loan	-	42,000
Capital employed	**140,000**	**205,800**

Are informed that:

a. All sales were from the stocks in the company's warehouse.

b. The range of merchandise was not changed and buying prices remained steady throughout the two years.

c. Budgeted total sales for 2007 were ¢390,000.

d. The debenture loan was received on 1st January 2008, and additional fixed assets were purchased on that date.

You are required to calculate the relevant major ratios.

Solution:

1. **Profitability Ratios:**

a. Return on Capital Employed (ROCE) = $\frac{\text{Net profit before interest and tax}}{\text{Total Capital}}$

2007	**2008**
21,000 x 100	26,600 x 100
210,000	312,200
= 10%	= 8.52%

Note: Total capital = shareholders' fund + total liability

b. Return on Equity (ROE) = Net profit after interest and tax / Shareholders' fund

	2007	**2008**
ROE	21,000 x 100	23,800 x 100
	140,000	163,800
	= 15%	= 14.53%

Note: Shareholders' fund for 2008 = 205,800 – 42,000

c. Gross Profit ratio = Gross profit x 100 / Sales

2007	**2008**
89,600 x100	106,400 x 100
420,000	523,600
= 21.33%	= 20.32%

d. Net Profit Ratio = Net profit after interest and tax / Sales

2007	**2008**
21,000 x 100	23,800 x 100
420,000	523,600
= 5%	= 4.55%

e. Return on Assets = Net profit after interest and tax / Total Assets

2007	**2008**
21,000 x 100	23,800 x 100
210,000	312,200
= 10%	= 7.62%

2. LIQUIDITY RATIOS

a. Current Ratio = Current Assets / Current Liabilities

2007	2008
168,000	256,200
70,000	106,400
= 2.4 times	= 2.4 times

b. Quick Ratio = $\frac{\text{Current Assets - Stock}}{\text{Current Liabilities}}$

2007	2008
106,400	256200-131600 / 168000-8400
	70,000
= 1.20 times	= 1.17 times

c. Acid Test = $\frac{\text{Cash + Cash equivalents}}{\text{Current Liabilities}}$

2007	2008
14,000	9,800
70,000	106,400
= 0.2 times	= 0.092 times

3. Activity Ratios

a. Stock turnover ratio = $\frac{\text{Cost of goods sold}}{\text{Average stock}}$

2007	2008
330,400	417,200
84,000	131,600
= 3.93 times	= 3.87 times

b. Stock turnover period = $\frac{\text{Average stock}}{\text{Cost of goods sold}}$ x 365 days

2007	2008
84,000 x 365	131,600x 365
330,400	417,200
= 92.80 days	=115.134 days

Note: We assume average stock to be the closing stocks for the respective years.

c. Debtors collection period = $\frac{\text{Average Debtors}}{\text{Credit Sales}} \times 365$

2007	**2008**
$\frac{70,000}{378,000} \times 365$	$\frac{114,800}{478,000} \times 365$
= 67.59 days	= 87.67 days

d. Sales to Capital Employed Ratio = $\frac{\text{Sales}}{\text{Capital employed (long term capital)}}$

2007	**2008**
$\frac{420,000}{140,000}$	$\frac{523,600}{205,800}$
= 3.0 times	2.54 times

4. Leverage/Gearing Ratios

a. Debt Ratio = $\frac{\text{Total Debts}}{\text{Total Assets}} \times 100$

2007	**2008**
$\frac{70,000}{210,000} \times 100$	$\frac{148,400}{312,200} \times 100$
= 33.33%	= 47.53%

b. Debt to Equity Ratio = $\frac{\text{Total Debts}}{\text{Equity}} \times 100$

2007	**2008**
$\frac{70,000}{140,000} \times 100$	$\frac{148,400}{163800} \times 100$
=50%	= 90.6%

Limitations of Ratio Analysis

i. The selection of the appropriate basis for the comparison is as difficult as it may be misleading.

ii. Different conditions exist in one business in different years; different companies may be operating under different conditions, using different policies and bases; this may make comparison difficult or may negate the usefulness for the comparisons as a means of assessing operational performance.

iii. Instability of price levels may negate the potency of performance ratios as a means of assessing operational performance and make interpretation of ratios unreliable, unless adjustments are made for price level change.

iv. Many accounting ratios use end of period figures which might not be a true representation of the actual situation existing over the entire accounting period. Unless weighted mean values for the period are used the correct picture may not come out.

v. If ratios are computed on the basis of historic cost accounts figures, the results obtained and their interpretation may be at variance with the current value and may not portray current existing situation.

vi. Many ratios are computed from past financial statements and can therefore not be regarded as a reliable tool for future prediction, unless a number of periods' ratios are arranged for a trend to be discerned.

vii. The interpretation of the ratios must take into consideration the existing circumstance and the nature of the business; otherwise the interpretation may be misleading. For example a stock turnover rate of five (5) times may be low for one business but not acceptable to another.

In this session we continued our discussions on ratios and computed and discussed investment and gearing ratios. A practical example and its solution were given to students for hands on exercise. The session concluded with the limitations of ratios as a means of assessing a firm's financial performance.

Assess yourself by answering the questions below.

Self-Assessment Question
Exercise 6.6

CCC is a company owned by Mr. Boohene an entrepreneur and a business consultant. He has given you the following information.

Income statement for the year ended 31st Dec. 2007

	2007	2008

	GH¢	GH¢
Sales	1950	2250
Less cost of goods sold	1170	1400
Gross profit	780	850
Less selling, general and administration cost	390	480
Operating profit	390	370
Less Interest expenses	40	30
Net profit before tax	350	340
Less tax	190	120
Net profit after tax	160	220
Dividend	60	60
Retained profit	100	160

Balance sheet as at 31st Dec 2007

		2007 GH¢		2008 GH¢
ASSETS				
Property, Land & Building		1200		1380
Less Accumulated Dep.		120		140
		1080		1240
Current Assets				
Stock	700		800	
Debtors	350		450	
Cash	300	1350	180	1430
		2430		2670
FINANCED BY:				
Equity share capital		1400		1500
10% Preference share		100		100
Retained Earnings		100		160
		1600		1760
Long term loans		700		600
Current liabilities				
Trade creditors		100		200
Tax and dividends		30		110
		2430		2670

Notes

a. Equity share capital outstanding was GH¢1000 at end of 2008

b. The market price per equity share at end of 2008 was GH¢2

You are required to calculate the relevant ratios for Mr. Boohene

Were you able to complete the exercise?

Well done and keep it up!

Refer to the last page of the book for answers to all SAQ items

This is a blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

SESSION 1: NATURE AND SIGNIFICANCE OF BUSINESS FINANCE

The importance of finance in business has increased with the growth in size of business firms. The necessity of finance arises when there is the need for business expansion, modernization and introduction of new methods of production and distribution. Finance plays a vital role in small business enterprises and hence it is often described as 'the life blood of a business'. Finance is needed at every stage in the life of a business and therefore, it must be available at the appropriate time and sufficient for the purpose for which it is needed. Insufficient funds may affect the development of a firm adversely.

Objectives

By the end of this session, you should be able to:

a) explain why businesses need finance
b) mention and explain the factors which influence the choice of sources of finance

Now read on ….

1.1 The Importance of Finance in Business

Finance has being defined as the money available to spend on business needs. Right from the moment one thinks of a business idea to the point where a business grows there are indications for more money to finance the business start-up and expansion. Most small businesses have collapsed due to inadequate finance to either sustain or carry out business expansions. Finance therefore plays a vital role in business activities through the following:

a. **Start-ups**
   Finance is needed to start a business. The amount of finance needed depends on the type of venture, the amount needed to finance the purchase of assets, materials, employing people and also funds needed to cover running costs.
b. **Expansion**
   As a business grows, it needs higher capacity and new technology to cut unit costs and keep up with competitors. Thus, finance is needed to embark on business expansions.
c. **Develop and market new products**
   Funds will be needed to develop and market new products. Where competitors are constantly updating their products, a business needs to spend money on developing and marketing new products if it is to survive.
d. **To enter new markets**
   When a business seeks to expand, it may look to sell its products on new markets. These can be new geographical areas (e.g. export markets) or new

types of customers. This activity costs money in terms of research and marketing (e.g. advertising campaigns and setting up retail outlet) hence, the need for more funds.

e. **Take-over or acquisition**
When a business buys another business, it will need funds or money to pay for the acquisition (acquisitions involve significant investment). These funds will be used to pay the previous owners of the new business.

f. **Moving to new premises**
Finance is needed to pay for simple expenses such as the cost of renting of removal vans through to the relocation packages for employees and the installation of machinery.

g. **Operating expenses**
A business needs cash on a day to day basis to cover operating expenses ranging from paying a supplier of raw materials through to the buying a new building or equipment for the firm.

Can you think of any other importance of finance to a firm?

Now that we have seen the need for finance in business, it is important to discuss how to choose the right type of finance.

1.2 Factors that Influence the Choice of Finance

A business needs to assess the different types of finance based on the following criteria:

a. **Amount of money required**
Large amounts of money are not available through some sources, while other sources of finance may not offer enough flexibility for a smaller amount.

b. **How quickly the money is needed**

The longer a business spends trying to raise money, the cheaper the source. The opposite is true, although it may not always be the case.

c. **The cheapest option available**

The cost of finance is normally measured in terms of the extra money that needs to be paid to secure the initial amount (the typical cost is the interest that has to

be paid on the borrowed amount). For instance, the cheapest form of money to a business comes from its trading profits.

d. **The amount of risk involved**

A venture which has less chance of leading to profits is deemed more risky than one that does not. Potential providers of finance (especially external sources) take this into account and may not lend money to higher risk business ventures unless there is some sort of guarantee that the money will be paid back.

e. **The length of time**

A good entrepreneur will judge whether the finance needed is for a long-term project or short term and therefore decide what type of finance they wish to use.

Summary

In sum, we started this session with the meaning of finance. This was followed by a discussion on the importance of finance to a business. The factors that influence the choice of business finance were examined to end the session.

Assess yourself by answering the questions below.

Self-Assessment Questions
Exercise 6.1

1. Define business finance
2. Mention and explain five importance of finance
3. Mention five criteria that a business will use to assess the choice of finance

Were you able to answer all the questions?

Well done and keep it up!

Refer to the last page of the book for answers to all SAQ items.

This is blank sheet for your short notes on:

- Issues that are not clear; and
- Difficult topics if any.

ANSWERS TO SELF-ASSESSMENT QUESTIONS

Exercise 2. 1

1. Need for approval; Need for independence; Need for personal development; perception of wealth; Welfare considerations
2. creation of the owners; control of the owners; satisfaction of the owners; cleans sheet
3. Unproven idea; High failure rate; No market share or good will; Hard, lonely work.

Exercise 2.2

1. consumers; Existing Companies; Distribution channels; Research and development
2. focus groups; Brain storming; Problem inventory analysis

Exercise 2.3

1. Unique of the venture; Investment size; Sales growth; Product availability
2. product/market problems; Financial difficulties; Managerial problems
3. evaluation-related questions approach; Profile analysis approach; Feasibility criteria approach

Exercise 2.4

1. Buy-in; Buy-out; Buy-in Management buy-out;
2. Analyse your skills, abilities and interests; prepare a list of potential candidates; investigate the potential candidates and evaluate the best ones); explore financing options; ensure a smooth transition

Exercise 2.5

1. Overcome barriers to market entry; Buying immediate turn over/income; existing assets of property equipment and staff; goodwill with existing customers
2. potential ill with; Buying possible liabilities with assets; unsuitable employees; Risk in intangible assets.

Exercise 2.6

1. Franchisor and franchisee
2. Trade name franchising; Product distribution franchising; pure or comprehensive franchising

Exercise 3.1

1. A business plan is a written outline of the entrepreneur's proposed venture its operational and financial details, its marketing opportunities and strategy, and it's managers skills and abilities.

2. Start-up; Business purchase; ongoing review; Major decisions

ANSWERS TO SELF-ASSESSMENT QUESTIONS

Exercise 3.2

1. The goals / objectives of the venture are clarified. Land this will help the entrepreneur to define what needs to be done and how it would be achieved
2. Market information needs; Operations information needs; Financial information needs

Exercise 3.3

1. The entrepreneur should, as much as possible, prepare the business plan
2. Introductory page; Executive summary; Industry analysis; Description of venture; Production plan; Marketing plan; Organization plan; Assessment of risk; Financial plan; Appendix

Exercise 3.4

1. **t**he introductory page of the business plan provides a concise summary of the content of the plan
2. **T**he executive summary of the business plan summarizes all of the relevant points of the proposed venture.

Exercise 3.5

1. **T**he production plan of the business plan describes the complete process of production (or manufacturing).
2. **T**he marketing plan section of the business plan describe ho0w the product(s) will be distributed, priced, and promoted

Exercise 3.6

1. **It** important to have a business plan because it is designed to guide the entrepreneur through the first year of operations.
2. Inventory control; Production control; Quality control; Sales control; Disbursements

Exercise 5.1

1. Marketing is the process of creating and delivering desired goods and services to customers. It involves all of the activities associated with winning and retaining customers.
2. the marketing mix consists of the four key. Factors of marketing, which are price, place and promotion

Exercise 5.2

1. Marketing research is the process of collecting, analysing and interpreting data about the market, customers and competitors
2. Define the problem; collect the data; analyse and interpret the data; Draw conclusions

Exercise 5.3

1. A marketing strategy consists of a plan identifying what marketing goals and objectives will be pursued and how they will be achieved in the time available.
2. Market penetration; Market development; Product development

Exercise 5.4

1. Target marketing consists of identifying market segments, selecting one or more of them and developing products and marketing mixes tailored to each of them.
2. Market segmentation; Market targeting; Market positioning

Exercise 5.5

1. The four elements of the marketing mix (Product, Price, Place and Promotion) are the key factors of a marketing strategy. These factors, when coordinated, will increase the sales appeal of a product
2. Introduction stage; Growth stage; Maturity stage; Decline stage

Exercise 5.6

1. Distribute direct to end-users; Distribute through intermediates
2. Direct selling; Telephone selling; Retail selling; Exhibitions or trade shows